OECD ECONOMIC SURVEYS

BELGIUM

1997

SPECIAL FEATURES

- LABOUR MARKET
- PRODUCT MARKET COMPETITION

OECD ECONOMIC SURVEYS

1996-1997

BELGIUM

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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This Survey is based on the Secretariat's study prepared for the annual review of Belgium and Luxembourg by the Economic and Development Review Committee on 27th and 28th January 1997.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 21st February 1997.

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The previous Survey of Belgium and Luxembourg was issued in September 1995.

BASIC STATISTICS OF BELGIUM

THE LAND (1993)

Area (1 000 sq. km)	30.5
Agricultural area (1 000 sq. km)	13.4

Major urban areas (thousand inhabitants):	
Brussels	949.1
Antwerp	933.8
Liège	594.7
Ghent	490.3

THE PEOPLE (1994)

Population (thousands)	10 101
Inhabitants per sq. km	331
Net natural increase	11 000
Net migration	19 000

Total labour force (thousands)	4 287
Total domestic employment (thousands):	3 686
Agriculture	87
Industry and construction	982
Other	2 617

PRODUCTION (1995)

Gross domestic product (billion BF)	7 936
Gross domestic product per head (US$)	26 541
Gross fixed investment:	
Per cent of GDP	17.6
Per head (US$)	4 668

Gross domestic product by origin, at market prices (per cent):	
Agriculture	1.4
Industry and energy	22.3
Construction	5.0
Other	71.4

THE GOVERNMENT (1995)

General government (per cent of GDP):	
Current expenditure	53.3
Current revenue	50.8
Gross debt	133.7

Composition of the House of Representatives (number of seats):	
Socialists	41
Christian-socials	41
Liberals	39
Others	29
Total	150

Last election: 21.5.1995

FOREIGN TRADE (1994)

Exports of goods and services (per cent of GDP)	67.2
Main exports (per cent of total), SITC (BLEU):	
Iron and steel products (67 + 68)	8.4
Chemical products (5)	17.0
Machinery and equipment (71 to 77)	11.9
Textile products (65)	5.0
Transport equipment (78 + 79)	16.3

Imports of goods and services (per cent of GDP)	62.5
Main imports (per cent of total), SITC (BLEU):	
Iron and steel products (67 + 68)	5.0
Chemical products (5)	13.2
Machinery and equipment (71 to 77)	14.8
Textile products (65)	2.9
Transport equipment (78 + 79)	10.8
Energy (3)	6.8

THE CURRENCY

Monetary unit: Belgian franc

Currency units per US$, average of daily figures:	
Year 1996	30.975
January 1997	33.072

Note: An international comparison of certain basic statistics is given in an annex table.

BELGIUM

Assessment and recommendations

Growth has resumed after a dip in mid-1995

The recovery from the pronounced recession of 1993, which had been projected to continue in the previous *Survey*, came to a halt in 1995. But after two quarters of slightly negative growth, the economy picked up again in late 1995 and the recovery continued in the first three quarters of 1996. While in Belgium upturns are typically export-led, this time domestic demand seems to have played a major role. Business fixed investment has been boosted by good profits and an increase in the rate of capacity utilisation. Although less buoyant, private consumption has supported growth throughout the cycle – also an unusual development. Faced with a near-stagnation in real disposable income as a result of soft labour market conditions and the freeze on real wages, households have apparently chosen to broadly preserve their spending pattern and reduce their saving ratio – which had been at an historically high level for a few years. Real GDP is estimated to have grown by a little over 1¼ per cent in 1996, compared with 1.9 per cent in 1995. Despite the lacklustre performance of exports, due to sluggish activity in neighbouring countries, the current-account surplus of the Belgium-Luxembourg Economic Union (BLEU) has continued to rise – reaching some 5¾ per cent of GDP.

Inflation is subdued but non-employment remains preoccupying

Conditions in the labour market have generally remained slack. The improvement in some unemployment indicators has been partly due to administrative measures which have resulted in an important shift of older unemployed from the normal unemployment programme to special programmes which are not included in traditional measures of unemployment and labour force. With a real wage freeze and a sizeable output gap, the cost-price performance has generally been good. The increase in the wage rate and in compensation per employee in the private sector seem to have been among the lowest in the OECD area in 1996; and unit labour costs may have fallen slightly, contributing to a broad stabilisation of employment in the face of weak GDP growth. Consumer price inflation accelerated from 1.5 per cent in 1995 to 2.1 per cent in 1996, but this was largely accounted for by fiscal measures, *i.e.* an increase in VAT rates and excise taxes.

The outlook is favourable, except for the labour market

Real GDP growth is expected to accelerate to 2¼ per cent in 1997 and to a little over 2½ per cent in 1998, reducing somewhat the output gap. The recent rebound of the National Bank's conjunctural indicators points to a continuation of the recovery in the near future. Beyond that, the expected acceleration of the upturn in neighbouring countries should provide further support to exports and to activity in general. Monetary policy and monetary conditions are not projected to change substantially: the recent decline in long-term interest rates can be expected to underpin residential investment, which in Belgium is rather sensitive, with a lag to changes in mortgage rates. Budgetary policy will be somewhat more restrictive in 1997 but, given their sizeable net financial asset position, households are likely to preserve their spending pattern by further reducing the saving ratio. Business profits and the rate of capacity utilisation should continue to rise. Hence, business fixed

investment, along with exports, is expected to be the driving force of the expansion, while private consumption and residential investment may show only moderate strength. Although conditions in the labour market may improve somewhat, they will remain generally unsatisfactory. With a significant output gap, the introduction of the recent law on employment and competitiveness, and no new increases in indirect taxes scheduled, the cost-price performance should remain good, despite the end of the two-year freeze on real wages.

Monetary conditions have eased distinctly...

Reflecting the credibility of the firm link between the Belgian franc and the Deutschemark, the National Bank of Belgium has repeatedly reduced interest rates over the last year and a half, generally in line with the Bundesbank but occasionally ahead of it. Interest rates have fallen by some 150 basis points since mid-1995 both at the short and long-end of the market, with differentials with Germany fluctuating around zero in the money market and turning slightly negative on long-term government bonds – an unprecedented situation since the mid-1970s.

... and progress in fiscal consolidation has been substantial

Since 1992, when the Government introduced the ''Convergence Plan'' to formalise the medium-term goal of meeting the Maastricht deficit criterion, fiscal consolidation has been at the top of the policy agenda. The Convergence Plan has been broadly respected, but to offset the negative budgetary impact of generally unfavourable conjunctural conditions, the Government had to introduce repeated packages of corrective measures. On the other hand, given the size of the public debt, the decline in interest rates has greatly helped: reduced net interest payments as a percentage of GDP have accounted for over 40 per cent of the decrease in the general government deficit – from over 7 per cent of GDP in 1992 to a little over 3 per cent

in 1996. In cyclically-adjusted terms, the deficit has been cut by some 6 percentage points, to an estimated 1½ per cent of GDP – one of the best performances among OECD countries. The primary surplus has increased to over 5 per cent of GDP and to an estimated 6½ per cent in cyclically adjusted terms. The corrective effort has been broadly based. It has included: new direct and indirect taxes; cuts in primary expenditure; and various other savings and additional revenues, many of them, however, reflecting one-off measures – especially in 1996.

The Maastricht deficit limit is within reach...

The 1997 budget includes a new package of saving measures estimated to represent nearly 1 per cent of GDP. The saving effort, which is essentially of a structural character, is split evenly between spending cuts and revenue increases. Reductions in primary expenditure of the federal authorities (compared to baseline) are focused on subsidies granted to public enterprises, international aid, and military expenditure. Reductions in social security expenditure stem largely from savings in health care. The full impact of measures reforming other social security sectors will be felt only over the longer term. For instance, the reform of pensions in the private sector, with an increase in the retirement age for women from 60 to 65 – the same as men – will start having an effect only in the second half of 1997. Revenues will be boosted by, among other measures, increases in petrol and some other excise taxes, and a clamp-down on tax fraud. Expenditure on investment will be reduced through a multi-annual programme of asset sales (mainly buildings). The Government also announced BF 367 billion of debt reduction measures, the most important one being the use of a foreign exchange surplus on past sales of official gold. The aim of these measures is to set the debt-to-GDP ratio on a firmly declining trend. With a projected GDP growth rate similar to that assumed in the

1997 budget but with significantly lower short-term interest rates, the OECD Secretariat expects the general government deficit to fall to slightly less than 3 per cent of GDP in 1997 and to around 2¾ per cent in 1998. On a cyclically adjusted basis, the deficit may decline to around 1¼ per cent of GDP in both 1997 and 1998. On both bases, the improvement compared with 1996 is relatively modest since well over one half of the 1997 saving package is required to offset the end of the one-off measures in the 1996 budget. The debt-to-GDP ratio is expected to decline from an estimated 130 per cent in 1996 to 127 per cent in 1997 and 124½ per cent in 1998, representing a 10 percentage point decline in the four years from 1993 to 1997. While the risks attaching to these projections do not seem particularly high, given the importance of the outcome the Government needs to be especially vigilant and, in case of a revenue shortfall or expenditure overshooting, to use the special powers received from Parliament and promptly take additional corrective measures.

... but fiscal consolidation must be pursued

Fiscal consolidation will need to be continued well into the next century for many reasons: first and foremost, to reduce the debt-to-GDP ratio to a sustainable level; second, to create, in due course, room for manoeuvre to meet the demand for additional public spending arising from population ageing as well as to step up investment in infrastructure and reduce the tax burden, particularly on labour; and third, to provide fiscal policy with a comfortable degree of cyclical flexibility. Hence, the primary surplus of the general government should be kept at around 6 per cent of GDP, as envisaged by the Belgian authorities (Convergence Plan 1997-2000). Under reasonable assumptions concerning growth and interest rates, this should allow the progressive decline of the public debt and interest payments as a percentage of GDP to interact in a positive way – the so-called

reverse ''snowball effect'' – and accelerate the fall of the overall budget deficit towards zero. At that stage, the primary surplus could be allowed to decline in line with interest payments by increasing primary expenditure and/or reducing revenue. But to set fiscal consolidation firmly on this long-term track, further corrective measures are needed. The growth of health expenditure – which in spite of a strict norm has re-accelerated – must be brought under better control. The recent reform of pensions in the private sector must be pursued with a view to keep the system on a financially sound basis. Finally, there is an urgent need to extend reform to pensions in the public sector, and reconsider the system of indexation to wages and the determination of reference salaries.

Structural reform remains insufficient, particularly in the labour market

While progress in monetary stability and in fiscal consolidation has been remarkable since the early 1990s, structural reform has lagged behind, especially in the labour market and, to a lesser extent, in product markets. Labour market performance has deteriorated sharply over the past two decades or so, although in some respects it has improved since the early 1980s. Unemployment remains high – over 9 per cent on a standardised basis – and seems to be largely of a structural character, with a large share of low-skilled, long-term, and female unemployment. Moreover, for social and equity reasons, Belgium has relied heavily on special unemployment-related programmes – notably for early retirement and older unemployed – which have resulted in the exclusion of a large number of persons from the labour force and unemployment (as usually recorded). Hence, the participation rate and the employment rate are very low by international standards – especially for older people. The ''broad unemployment'' rate – representing unemployed persons and persons in unemployment-related programmes as a percentage of the ''broad labour force'' – is around

25 per cent. It gives an idea of the proportion of working-age persons either partially or totally inactive with (for a large proportion of them) a social security benefit or working in a subsidised job.

The Government has taken many measures...

Over the past few years, the Government has taken a large number of measures, most of them centred around three axes. First, it has reduced non-wage labour costs, with cuts in employers' social security contributions targeted at sectors exposed to international competition or at specific labour market groups – *i.e.* low-skilled workers, youths and long-term unemployed. Second, there has been a redistribution of employment and, in certain cases, a reduction in the labour force, combined with increased flexibility at the workplace. For instance, rules governing temporary work and fixed-term contracts have been relaxed, and part-time work has been made easier. Third, it has introduced a new law on employment and competitiveness aimed at keeping wage and labour cost growth in line – on an *ex ante* basis – with the average increase in the three major trading partners in the EU, *i.e.* Germany, France and the Netherlands. This law also aims at taking into account, in the bargaining between the social partners, the requirements of international competitiveness and the consequences of structural rigidities.

Not all of these measures have followed a sound and coherent blueprint. For instance, the reduction (albeit on a temporary and selective basis) of the age limit for early retirement, some decisions promoting work sharing, and recent initiatives encouraging older unemployed and other unemployed to leave the labour force have been inconsistent with the goal of increasing participation and the employment rate. Moreover, social security contribution cuts targeted at specific sectors go against EU rules. Finally, the law on employment and competitiveness which, to a certain extent,

replaces the 1995-96 real wage freeze – introduces new rigidities and increases the already considerable degree of government involvement in the labour market.

... but the scope for improving labour market performance is large...

Further corrective efforts need to be undertaken in a forceful and coherent way, with the overriding aim of phasing-out government involvement in the labour market in general and in the wage determination process in particular. The new law on employment and competitiveness is in the Belgian tradition of focusing on international competitiveness rather than on structural rigidities which are at the root of the problem. The implementation of the strategy discussed below should allow the phasing-out of this law. Also, the bewildering number of programmes in favour of employment should be greatly reduced. A more flexible labour market would largely ensure competitiveness and would make most of these programmes unnecessary, if not harmful.

... and this calls for a wide-ranging strategy

The appropriate policy response should integrate structural reforms in the labour market and the social security system with initiatives to make the whole economy more dynamic and responsive to change. As most of the required measures are mutually reinforcing, by proceeding simultaneously on a broad front it should be possible to exploit synergies and minimise the unavoidable cost of adjustment. On the contrary, if taken in isolation, many corrective measures may fail to translate into additional employment. Ideally, the interaction of all these measures should add up to a major change in attitude of players in the labour market and in the country in general – something akin to a socio-cultural revolution. But the overall strategy should also include initiatives – such as employment-conditional benefits – to alleviate possible conflicts between equity and efficiency considerations. Moreover, during a transition period a few

second-best measures could still be used. They include certain forms of voluntary worksharing which increase the participation rate and employment (in terms of persons), and do not entail an increase in labour costs.

Wage flexibility should be increased...

Despite heavy government intervention – such as the recent wage freeze – real wages and labour costs remain too high to allow full utilisation of human resources. The problem is exacerbated by microeconomic rigidities, with a relatively narrow wage structure which may be especially detrimental for low-skilled workers. These rigidities largely reflect the wage setting process, which should be liberalised – a particularly urgent task, in view of Economic and Monetary Union (EMU). Automatic indexation should be abolished and wage negotiations, which currently take place at the national, sectoral and firm levels, should be simplified to keep wage increases more in line with productivity gains. With a view to providing better opportunities for the unemployed to price themselves into jobs and allow wages to better reflect differences in local and enterprise conditions, the minimum wage arrangement should be relaxed and the administrative extension of sectoral wage agreements – which often include minimum wage scales well above the statutory minimum wage – should be curbed or abolished. To facilitate these reforms, during a transition period the social partners could create new sectoral wage scales at the statutory minimum wage level; greater use could be made of ''opening clauses'' allowing firms to negotiate with their work force to pay below the minimum set in collective contracts; and the still limited use of exceptions for the statutory minimum wage could be generalised to employers hiring members of various target groups, such as older persons, youngsters or long-term unemployed. If the level of wages required to employ low-skilled workers were unacceptable on grounds of social equity, wages could be

complemented by means-tested in-work benefits – a form of transfer which minimises work disincentives and unemployment traps.

... non-wage labour costs are still too high...

Non-wage labour costs – essentially social security contributions – are high by international standards and contribute to keeping total labour costs at levels incompatible with a high level of employment. Over the past few years, the Government has actively pursued a policy of reducing non-wage labour costs through the so-called ''alternative financing'' of the social security system – *i.e.* by shifting some of the financing from employers' contributions to various special contributions on taxable income and indirect taxes. Some of the cuts in contributions have been rightly targeted at low-skilled workers, young people, and long-term unemployed. However, some of the cuts (the *Maribel-bis* and *Maribel-ter* operations) have been targeted at the sectors most exposed to international competition – an unfortunate approach which is not permitted under EU rules. These cuts should thus be re-targeted at specific groups at the lower end of the labour market, where both the need for, and the effect of cost reductions are the greatest.

... and employment protection rules remain restrictive

For the demand for labour to actually increase in response to a reduction in wage and non-wage costs, employment protection legislation needs to be sufficiently flexible not to discourage firms from hiring. Although progress has been made in recent years, employment protection legislation in Belgium still has a number of restrictive elements, and labour turnover is very low, resulting in few vacancies being open to unemployed people. For white-collar workers, notice-periods should be shortened, and for blue-collar workers, short notice-periods already in force in certain sectors should be generalised to the entire economy. Also, to enhance labour mobility and reduce mismatches, fiscal

and notary real estate transaction fees should be reduced – a measure which could have a significant impact given the relatively high proportion of Belgian households owning a dwelling.

Incentives to work should be strengthened...

On the supply side, to enhance incentives to work, unemployment benefit replacement rates, which on average are among the highest in the OECD area, should be reduced. Benefit duration is still virtually unlimited for a large proportion of unemployed and should also be reduced. Job-search controls and sanctions for refusing reasonable job offers need tightening, which requires better co-operation and co-ordination between the federal body (ONEM) administering benefits and the regional placement services (VDAB, FOREM and ORBEM). Special unemployment-related programmes which result in the premature withdrawal of older people from the labour force – such as *pré-pension* and *chômeurs âgés* – should be tightened and progressively phased-out. Programmes which favour work sharing and tend to increase the participation rate and employment (in persons) – such as part-time pre-retirement – are relatively less damaging: provided they are voluntary and do not increase labour costs, they might be acceptable as a second-best policy and for a transition period, *i.e.* until most of the measures suggested here can be implemented.

... and active policies should be stepped up along with subsidised job creation

To facilitate the return of persons currently in special unemployment-related programmes to the active labour force their skills and qualifications need to be brought into line with what is required in the market. Hence, the *plan d'accompagnement* – which is the main programme covering active policies – should be broadened to include persons aged over 46 and no longer restricted to persons with a low level of education. Admittedly, this could be quite

expensive, but the overall strategy suggested here should result in a major decrease in expenditure for passive measures as well as an increase in social security revenues as employment rises. The evaluation of the *plan d'accompagnement* and other programmes that include active policies should be stepped up and carried out in a systematic way: following the introduction of the measures discussed here, a more flexible labour market can be expected to provide better signals as to the type of skills actually demanded and hence training needed (a new evaluation of the *plan d'accompagnement* is scheduled for 1997). But for most of the people in *pré-pension* or *chômeurs âgés* programmes, even with the help of active measures, the prospect of finding a job through normal market forces is probably very faint. For some of them, the only realistic alternative to an inactive status could be to join subsidised social-work programmes. Such programmes could also be appropriate for youngsters lacking job experience and the required work attitudes who are therefore virtually unemployable.

The education system could be strengthened

To improve the intermediate level of qualification – *i.e.* upper secondary education – there is a need to reduce the number of repeaters and drop-outs. At the level of compulsory schooling the curriculum content should be redesigned, the number of options decreased, and the incentives to ensure that all pupils will master a basic education of good quality increased. This could be partly achieved by upgrading the status of vocational education and preventing it from being used to absorb pupils failing in other sectors of secondary education. There is also a need for better partnership between, on the one side, educational and training institutions and, on the other side, employers in order to identify required skills and competences, and assess the results of schooling and apprenticeship schemes.

Much regulatory reform has been accomplished, but more is needed

Much of the Belgian economy has been open for years to competition from domestic and foreign sources and reforms are in progress in many areas. Some of these involve networks that may give rise to legitimate concerns about natural monopolies. In some cases, the desire to assure minimum levels of service also justifies government involvement of some sort. EU initiatives have provided the impetus for major liberalisation in some areas. This will allow for appropriate regulation of the networks, while also opening access to them and providing for public service functions. Belgium has been participating fully in this liberalisation effort. The enhanced product market competition resulting from these efforts should create incentives for improving management and the overall economic performance of these sectors.

Barriers to competition persist in some sectors, though. Public ownership continues to be important in both telecommunications and air transport (though, in both cases, the capital of state-owned companies has been opened up in recent years). Consideration should be given to fuller privatisation of these companies. It is no longer clear what societal objectives are being achieved through such ownership. Indeed, public ownership carries risks. In air transport, the greatest risk is to the budget. Experience in Belgium and elsewhere in the OECD area has shown that public ownership of airlines can entail large subsidies that Belgium can ill afford. Furthermore, the effective governance of such companies requires expertise – in forming alliances in the travel sector and in mass marketing – that the Belgian government presumably does not have and that it has no reason to develop. In telecommunications, the risks are that having a government as a major shareholder will give rise to lax management. Perhaps more importantly, Member Countries' experience has shown that most telecommunication sectors dominated by publicly owned

firms are less innovative and less consumer-oriented than their private counterparts.

Two other areas are identified in this *Survey* where serious impediments to competition exist and where little or no liberalisation is planned. Distribution – which is hemmed in by a comparatively strict regulation for establishment of shops and opening hours – is one of these. Since other OECD countries' distribution sectors have been a major source of private sector job creation, the absence of a dynamic, competitive sector is a particular source of concern in view of high non-employment. The system for authorising new establishments should be refocused on urban planning objectives (in particular, this would involve a diminished voice for incumbent shopkeepers in authorising new establishments). Electricity is another area where further measures would be useful. Few other electrical power companies in the OECD area have such extensive market power as Electrabel. The competition authorities and regulators may wish to scrutinise this situation with a view to enhancing entry opportunities for other generators and expanding choice for households and small businesses.

Summing up

Since the beginning of the decade, Belgium has recorded some remarkable macroeconomic achievements. First, well-devised financial reforms and a sound monetary policy have allowed the Belgian franc to be closely linked with the Deutschemark. Second, fiscal consolidation, which in the early 1990s seemed in jeopardy, has been resumed and steadfastly pursued in the face of unfavourable conjunctural conditions, bringing Belgium within reach of the Maastricht budgetary criterion. At the same time, inflation has been low and the current-account surplus has continued to widen. As all these positive effects have interacted, confidence in the country has grown appreciably, as witnessed by the fall of interest differentials with Germany to around

zero. On the other hand, conditions in the labour market – which has long been one of the weak points of the economy – have remained particularly unsatisfactory, with high non-employment, a disturbing level of government involvement, and a growing array of special programmes. While over the past few years, joining EMU from its inception has rightly been the overriding priority of the Belgian authorities, it should now be possible to shift progressively the focus of attention to the remaining major problem, namely non-employment.

This *Survey* presents a wide-ranging strategy of structural recommendations to enhance the ability of the labour market, product markets and the economy as a whole to better adjust and adapt, as required by EMU and globalisation. While this strategy can be expected to foster non-inflationary growth, due attention should also be paid to political and social goals, as well as to country-specific factors – in the case of Belgium, the tradition of social consensus and equitable income distribution. The suggested reform of social protection does not mean that the Belgian society should be less caring: rather that efforts should be made to reach equity targets with smaller losses of employment than in the past, thereby strengthening the economy and preserving an adequate welfare system. The overall strategy represents a set of first-best measures – a sort of blueprint for the future – which would take time to implement fully. But it is essential that, taking advantage of the economic upturn, an early start be made toward reducing government involvement, cutting rules and regulations, and liberalising the labour market. After successfully restoring a strong currency and consolidating public finances, the Belgian authorities need to show the same determination, skill and long-term vision in addressing this challenge.

I. Recent trends and prospects

The current cycle in perspective

Following the severe recession of 1993, the economy expanded at a robust pace until the end of 1994, largely driven by exports. It then weakened again, reaching a new conjunctural trough in mid-1995, with two quarters of slightly negative growth (on a quarter-on-quarter basis). Exchange rate tensions in Europe and the weakness of the dollar translated into a sizeable appreciation, in effective terms, of currencies closely linked to the Deutschemark, including the Belgian franc. This weakened exports and had a dampening effect on the whole economy. But activity started to pick up again in the final quarter of 1995 and continued to accelerate in the first two quarters of 1996. The turning point was first reached in construction and trade as well as in the export-oriented part of manufacturing; more buoyant conditions then spread to most sectors of the economy.

These cyclical developments have been broadly in line with those in neighbouring countries. Nonetheless, both upturns and downturns seem to take place earlier in Belgium than in Germany, France and the Netherlands on average, a situation which was particularly in evidence in 1995-96 (Figure 1, Panel A). This lead in the cycle has often been ascribed to the strong specialisation of the Belgian economy in the production and export of intermediate goods which represent a large component of stocks and hence react quickly and strongly to cyclical variations. However, this factor does not seem to explain satisfactorily the lead in the 1995-96 upturn (Figure 1, Panel B).

Compared with previous cycles, and on the basis of the conjunctural indicators of the National Bank of Belgium, the current cycle seems about average, with a somewhat weaker upturn than in 1993-94 but stronger than in 1987. What is interesting and atypical about the current cycle, especially compared with that of 1993-94, is the relative role of domestic demand and the foreign balance.

Figure 1. **THE BUSINESS CYCLE IN BELGIUM AND THREE NEIGHBOURING COUNTRIES**[1]

1. Germany, France and Netherlands (weighted average).
2. Percentage changes from previous period, seasonally adjusted at an annual rate, volume.
3. Contributions to changes in real GDP (as a per cent of real GDP in the previous period).
4. Imports of goods and services.

Source: OECD Secretariat and National Bank of Belgium.

While business fixed investment and, to a lesser extent, private consumption have continued to grow throughout the current cycle (see below), exports have failed to show the strength normally associated with an upturn. After picking up in late 1995, they have grown only moderately, reflecting the hesitant recovery in Belgium's main European trading partners. On the other hand, imports have been buoyed by the strength of business investment and private consumption, so that the contribution of the foreign balance to growth seems to have been unusually weak or even negative.[1] Hence, while exports may have helped to trigger the conjunctural turnaround in late 1995, the continuation of the upturn in 1996 has been driven mainly by domestic demand – an unusual development.

On a yearly basis, the current cycle looks shallow indeed, with no negative growth – unlike in 1993, when real GDP actually fell by 1.4 per cent. Reflecting the high level of activity at the end of 1994 and hence the sizeable ''carry over'' effect, real GDP growth merely slowed in 1995 – to 1.9 per cent; and the small decline in economic activity recorded in the second and third quarters of that year was partly carried over into 1996, which contributed to a further slowdown in the yearly rate of growth of GDP – to an estimated 1.3 per cent – in 1996.

Not surprisingly, the output gap, as calculated by the OECD Secretariat, has been little affected by recent conjunctural developments. After turning negative and reaching 3 per cent of potential GDP in 1993 as a result of that year's recession, the gap narrowed somewhat in 1994-95 – to 2½ per cent – but widened again in 1996, returning to 3 per cent. Most labour market indicators have followed a similar pattern, first deteriorating in the wake of the 1993 recession and then broadly stabilising. For instance, the unemployment rate (on a national definition) has risen and stabilised at around 13 per cent, a level significantly above the non-accelerating wage rate of unemployment (NAWRU), estimated by the OECD Secretariat at around 10½ per cent (based on the national definition of unemployment rate). Combined with the freeze on real wages, this has resulted in the virtual absence of underlying inflationary pressures, the recent acceleration in consumer price inflation being largely accounted for by the increase in VAT rates and excise taxes.

Demand and output

Business fixed investment has been the strongest component of demand, consistently supporting growth throughout the cycle. It has been buoyed by good profits and, with the normal lag of around four quarters, by the sharp increase in the rate of capacity utilisation in manufacturing recorded over the two years ending in early 1995. This indicator peaked at a little over 81 per cent in the first quarter of 1995 and then declined moderately until the first quarter of 1996, before rebounding again in the second and third quarter. Hence, after increasing by over 5 per cent in 1995, business fixed investment seems to have progressively lost some strength in 1996, but for this year as a whole it may still have grown by over 4 per cent (Table 1), compared with 3½ per cent for the EU average. Investment has been especially strong in the car industry and manufacturing in general. On the other hand, it may have declined in the textile and steel industries.

Residential investment has also shown considerable resiliency over the recent period. At around 2¾ per cent, its rate of growth in 1996 may have been only a little less than in 1995. In Belgium, house building is quite sensitive (with a lag) to mortgage rates, which were over 1 percentage point lower in 1996 than the previous year. Moreover, the VAT rate has been reduced from 21 to 12 per cent for the first two million francs spent on the construction of social dwellings – *i.e.* dwellings of a limited surface. On the other hand, the near-stagnation of real disposable income, concern about labour market prospects, and the weak increase in prices on the secondary market all had a dampening effect.

Although not as buoyant as fixed investment, private consumption has continued to support growth throughout this cycle – a rather unusual development. Real disposable income has barely increased since 1992, reflecting a tight fiscal policy, soft labour market conditions and the freeze on real wages in 1995-96. Faced with this situation, households have apparently chosen to broadly preserve their medium-term spending pattern and to reduce progressively the saving ratio, from a recent high of 21 per cent in 1993 to an estimated 17 per cent in 1996 – a level still slightly above the average of the past 15 years. A factor which gives Belgian households considerable leeway in their spending pattern is their net financial asset position which has recently been estimated by the National Bank to represent some 200 per cent of GDP, one of the highest in

Table 1. **Demand and output: recent trends and projections**

Annual percentage change, 1990 prices

	1993 current prices		1995	1996	1997	1998
	BF billion	Per cent of GDP				
A. Demand and output						
Private consumption	4 602.1	62.9	1.2	1.2	1.6	1.8
Government consumption	1 081.1	14.8	1.0	0.6	0.4	0.6
Gross fixed investment	1 299.3	17.8	3.0	3.3	4.5	4.9
Final domestic demand	6 982.5	95.4	1.5	1.5	2.0	2.2
Stockbuilding [1]	–3.4	–0.1	0.1	–0.2	0.0	0.1
Total domestic demand	6 979.1	95.4	1.6	1.3	2.0	2.4
Exports of goods and services	5 011.7	68.5	5.0	4.0	5.4	6.3
Imports of goods and services	4 674.2	63.9	4.8	4.1	5.3	6.2
Foreign balance [1]	337.5	4.6	0.4	0.1	0.3	0.4
GDP at constant prices	. .	. .	1.9	1.3	2.2	2.6
GDP price deflator	. .	. .	1.4	1.6	2.0	1.7
GDP at current prices	7 316.6	100.0	3.4	3.0	4.2	4.4
B. Memorandum items						
Private consumption deflator	. .	. .	1.6	2.0	1.9	1.7
Private compensation per employee	. .	. .	1.8	1.4	2.5	2.6
Total employment	. .	. .	0.4	–0.1	0.5	0.8
Unemployment rate (per cent) [2]	. .	. .	13.0	12.9	12.6	12.3
Breakdown of gross fixed investment						
Public sector	104.7	1.4	–12.9	–2.0	6.0	4.5
Private sector residential	375.2	5.1	3.3	2.7	2.5	2.7
Private sector non-residential	819.4	11.2	5.1	4.2	5.3	6.0
Interest rates (per cent)						
Short-term	. .	. .	4.8	3.2	3.1	3.7
Long-term	. .	. .	7.4	6.4	6.2	6.4
Current balance (per cent of GDP) [3]	. .	. .	5.3	5.7	5.6	5.7

1. Contribution to growth of GDP.
2. National definition (*population active en chômage*).
3. Balance for BLEU.

Source: OECD Secretariat.

the OECD area. They may also have been encouraged to reduce their saving by increased confidence as a result of progress in fiscal consolidation. Consumption was especially buoyant in the first half of 1996, as the biennial car show boosted car sales – up some 15 per cent compared with the first half of 1995. For the whole year, consumption may have grown by 1.2 per cent.

The other components of domestic demand either contributed little to growth or actually declined. Owing to fiscal consolidation, the growth of public consumption is expected to have abated in 1996 – to around ½ per cent, compared with 1 per cent in 1995 – with most of the slow-down being accounted for by the stagnation of wages and pensions in real terms. Employment in the public sector, after falling for five years in a row, levelled off in 1996, as the effect of the abolition of conscription was no longer felt and various measures to promote time sharing in the federal administration are likely to have resulted in new hiring. Public purchases of goods and services probably continued to grow at around 1 per cent. Over the past few years, the rate of growth of public investment has turned negative as a result of important sales of buildings – often schools – by Communities and Regions and, more recently, also by the Federal government.[2] Apart from these sales, public investment is estimated to have grown by over 5½ per cent in 1996.

The labour market

Longer-term trends and problems in the labour market as well as policy measures are discussed in some detail in Chapter III. This section briefly reviews recent developments.

After suffering severely from the 1993 recession, the labour market – which reacts with a lag to changes in economic activity[3] – has not yet shown a convincing recovery. But an assessment of recent developments has been made difficult by various administrative measures taken at the beginning of 1996. These included: an easing of conditions under which older unemployed[4] may be exempted from job search and hence can shift from the normal unemployment programme to the special programme for older unemployed (*chômeurs âgés non demandeurs d'emploi*); and the introduction of stronger incentives to interrupt unemployment for social or family reasons (*interruption de chômage*). A large number of unemployed have already taken advantage of the new rules – especially the one concerning older unemployed – and have shifted to the relevant special programmes, thereby leaving the labour force and reducing the number of unemployed and the unemployment rate as usually calculated. In 1996 as a whole, the number of persons in the older unemployed programme increased by 35 000.

Table 2. **Standardised unemployment rates**

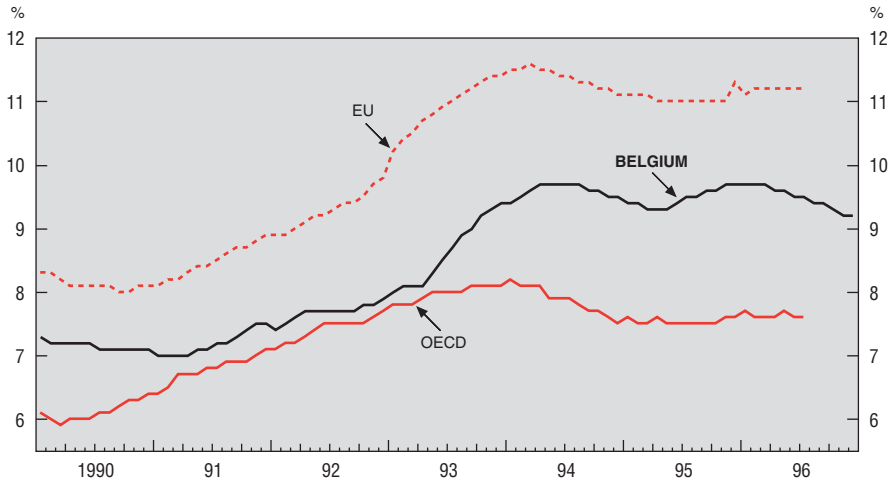
	Annual averages			1993	1994	1995	1996[2]
	1970-79	1980-89[1]	1990-93				
Belgium	**4.8**	**10.8**	**7.7**	**8.6**	**9.6**	**9.5**	**9.5**
Finland	3.6	4.9	10.4	17.7	18.2	17.1	16.1
Ireland	. .	15.9	14.8	15.6	14.3	12.9	12.5
Netherlands	3.6	9.7	6.6	6.2	6.8	6.5	6.2
Norway	1.7	2.8	5.7	6.0	5.4	4.9	4.9
Portugal	. .	7.3	4.6	5.5	6.8	7.1	7.2
Spain	4.2	17.5	18.1	22.4	23.8	22.7	22.1
Sweden	2.1	2.7	5.1	9.5	9.8	9.2	9.8
OECD small Europe[3]	3.3	9.2	9.1	11.4	11.8	11.2	11.1
Germany	2.3	5.9	5.4	7.9	8.4	8.2	8.9
France	3.8	9.0	10.1	11.7	12.3	11.6	12.4
United Kingdom	4.3	10.0	9.1	10.4	9.6	8.7	8.3
Italy	6.3	9.5	10.2	10.2	11.1	12.2	12.1
OECD Europe[3]	3.6	9.2	9.0	11.0	11.3	10.9	10.8

1. 1983-89 for Ireland, Portugal and the OECD totals.
2. Average of monthly data if annual data is not available.
3. Excluding Ireland and Portugal for 1970-79.

Source: OECD Secretariat.

Partly as a result of these administrative changes, the labour force may have declined in 1996. Total employment may also have declined, reflecting mainly a net reduction in jobs in the business sector, where a decrease in the number of workers and employees more than outweighed an increase in the number of self-employed. The unemployment rate (national definition)[5] is estimated to have been close to 13 per cent in 1996, virtually the same as in 1995 (Table 2). The standardised unemployment rate has also remained broadly stable over the past couple of years: at around 9½ per cent, its level is significantly below the EU average but above the OECD average (Figure 2). Over this period, employment of specific groups – such as young and long-term unemployed – has continued to be boosted by targeted programmes – notably the *Plan avantage à l'embauche* for long-term unemployed which, from January 1995 to September 1996, enrolled some 77 000 persons. However, as noted by the National Bank, there may have been important substitution effects, and the net impact of all these plans and measures on total employment is difficult to quantify.[6]

Figure 2. **UNEMPLOYMENT RATE:[1] AN INTERNATIONAL COMPARISON**



1. Standardised rate.
Source: OECD Secretariat.

A broader concept (''broad unemployment''), which adds people in special unemployment-related programmes to unemployment as usually defined (''narrow unemployment''), confirms that, on balance, labour market conditions did not change greatly in 1996. The trend decline in the number of persons in special programmes in evidence since 1992 came to a halt in 1996, as the effect of earlier measures to tighten most of these programmes was largely offset by the impact of the administrative changes discussed above. Hence, broad unemployment as a percentage of the broad labour force, merely edged down last year, to 24.0 per cent from 24.4 per cent in 1995 (Chapter III, Table 6 and Figure 13, Panel D). On the other hand, the number of persons on social assistance (MINIMEX), most of whom are not included in broad unemployment, has continued to rise rapidly, bringing to 50 per cent the increase since the beginning of the decade – from less than 50 000 in 1990 to nearly 75 000 in 1996.[7] According to the Belgian authorities this increase has not been related to the more stringent use of article 80[8] which has resulted in the exclusion of a large number of persons from the unemployment scheme on account of abnormally long spells of unemployment (see Chapter III).

Costs and prices

With a real wage freeze and a sizeable output gap, the cost-price performance of Belgium has been generally good over the past couple of years, and better than that of its trading partners on average. But the increase in consumer prices relative to labour costs has been significantly affected by fiscal measures which have boosted the former and dampened the latter.

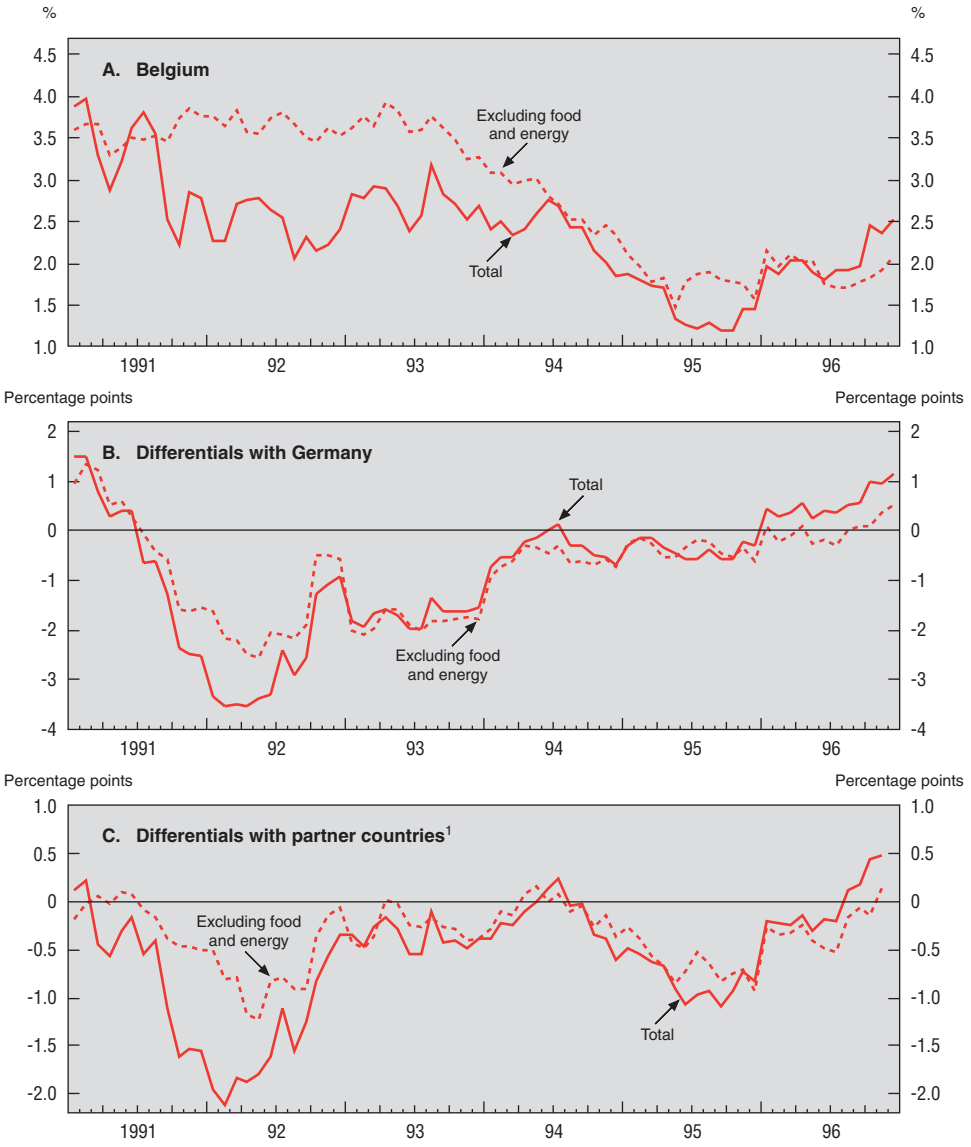
Reflecting increases in indirect taxes, consumer price inflation has accelerated since the beginning of 1996, reaching 2.5 per cent, year-on-year, in December (Figure 3, Panel A). For 1996 as a whole, consumer prices rose by 2.1 per cent, compared with 1.5 per cent in 1995. The standard rate of VAT was raised from 20.5 to 21.0 per cent in January 1996. Combined with hikes in petrol and some other excise taxes later in the year as decided in the 1997 budget, it may have accounted for ½ of a percentage point of the overall price rise. Hence, by late 1996, consumer price inflation was higher than in Germany and, to a lesser extent, than in trading partners on average (Figure 3, Panels B and C). Excluding food and energy, inflation was broadly the same as abroad.

Due to the freeze on real wages, in 1996 the rate of increase in the wage rate reflected indexation and wage drift but not increases under collective agreements (Table 3).[9] In the business sector, it may have slowed to less than 2 per cent, one of the lowest rates of increase among OECD countries, and well below the EU average of 3½ per cent. As employers' social security contributions were cut by over ¼ of a percentage point, compensation per employee may have increased by some 1½ per cent, again one of the best performances in the OECD area. Hence, unit labour costs may actually have fallen – albeit only marginally – both in the business sector as a whole and in manufacturing.

The share of profits (more precisely, of primary income of companies) in national income has fluctuated significantly since the beginning of the decade, reflecting conjunctural variations as well as policy measures. Hence, the increase over the past three years – to an estimated 14½ per cent in 1996 – can be largely ascribed to the Government policy of wage moderation and reduction in non-wage labour costs. On the other hand, the share of wages has trended down – to a little less than 52 per cent in 1996 – while the share of other primary income has remained broadly stable, at around 33½ per cent.[10]

Figure 3. **CONSUMER PRICES**

Change over 12 months



1. Weighted average, as a function of the geographical structure of the imports and exports of Belgium with France, Germany, Italy, the Netherlands and the United Kingdom in 1991.

Source: OECD, *Main Economic Indicators* and *Foreign Trade Statistics* (series C).

Table 3. **Labour costs in the private sector**[1]

Percentage changes

	1990	1991	1992	1993	1994	1995	1996[2]
Compensation per employee (full-time equivalents)	7.1	8.9	6.2	4.1	2.3	2.5	1.7
Resulting from:							
Indexation	3.3	3.5	2.7	2.6	1.4	1.5	1.4
Wage increases under collective agreements	2.0	2.3	2.3	0.9	1.4	0.0	0.0
Wage drift	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Employer social security contributions	0.0	0.3	–0.1	0.1	–0.7	–0.2	–0.3
Other factors[3]	1.2	2.1	0.7	0.0	–0.3	0.8	0.0
Productivity per employee (full-time equivalents)	2.3	2.9	2.6	1.1	2.3	2.1	1.9
Unit labour costs[4]	4.7	5.9	3.5	2.9	0.0	0.4	–0.2

1. Private and public enterprises.
2. Estimates.
3. Including increases not under collective agreements.
4. In the business sector, per unit of value added at constant prices.

Source: National Bank of Belgium.

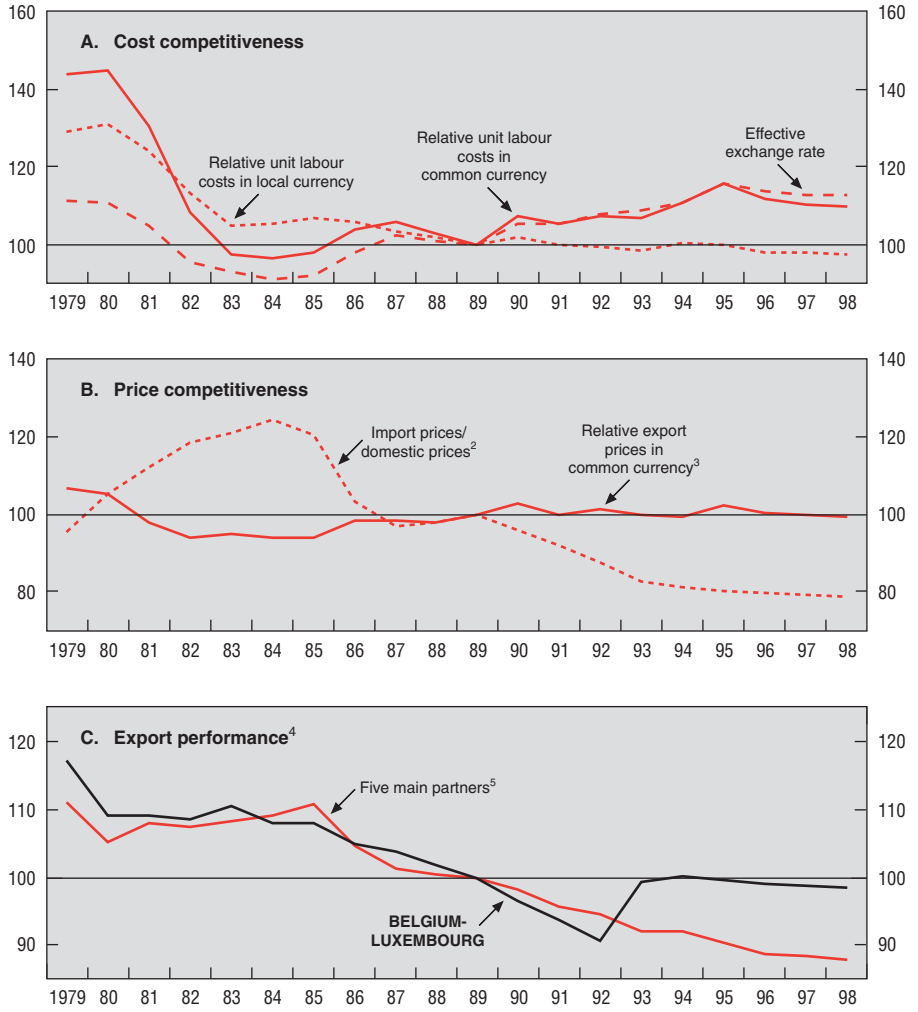
International competitiveness and the balance of payments

With one of the highest shares of exports and imports in GDP among OECD countries – over 70 per cent – maintaining international competitiveness is a major concern in Belgium and the focus of attention of economic policy. Safeguarding competitiveness was one of the key goals of the 1993 ''global plan'' and a new law on employment and competitiveness was introduced in July 1996, largely superseding the 1989 Law on competitiveness (see Chapter III). But competitiveness problems have largely reflected structural rigidities in the economy in general and in the labour market in particular. Given the hard currency policy which tends to result in a trend appreciation of the Belgian franc in effective terms, the challenge facing the country is to keep increases in production costs (in nominal and local currency terms) below the average of those abroad, without having to reduce employment to boost productivity. According to OECD Secretariat indicators, this has not quite been the case in the past few years, although in 1996, Belgium may have regained some competitiveness and the situation is expected to stabilise in 1997-98.

Over the 1989-95 period, wages (compensation per employee in the business sector) grew somewhat faster than in other European countries but, considering all trading partners and allowing for productivity gains, relative unit labour

Figure 4. **COMPETITIVENESS AND TRADE**[1]

Index 1989 = 100



1. 1997 and 1998 figures are Secretariat projections.
2. Import prices of total goods and services divided by deflator of total domestic demand.
3. Manufactures.
4. Ratio between export volumes of manufactures and export markets for manufactures. Due to the change in reporting systems for EU trade statistics in 1993, this year may represent a break in series.
5. France, Germany, Italy, Netherlands and United Kingdom.

Source: OECD Secretariat.

costs in manufacturing and in local currency were virtually unchanged. Nonetheless, as the Belgian franc, in effective terms, appreciated by over 10 per cent, relative unit labour costs in common currency rose by a similar percentage (Figure 4, Panel A). Although relative export prices in common currency remained stable, this was probably at the cost of a profit squeeze which could have potentially damaging consequences over the longer term, notably on employment. Also, import prices fell relative to domestic prices (Figure 4, Panel B).

Competitiveness seems to have recovered somewhat in 1996. The growth of compensation per employee slowed and unit labour costs in manufacturing may have declined slightly, while those of trading partners increased. Moreover the Belgian franc, in effective terms, depreciated by some 1½ per cent, resulting in a more pronounced decline of unit labour costs in common currency. Under the technical assumption of unchanged exchange rates, the OECD Secretariat expects a further slight recovery of competitiveness in 1997-98. Relative unit labour costs in local currency may continue to edge down, reflecting a narrowing but still sizeable output gap and especially the law on employment and competitiveness which aims at keeping the growth of wages and labour costs in line, on an *ex ante* basis, with those in Germany, France and the Netherlands.

Despite the apparent deterioration of competitiveness in terms of unit labour costs and a continuing loss of export market shares, the trade surplus of the Belgium-Luxembourg Economic Union (BLEU) widened further in 1996. Exports have certainly benefited from the policy of Belgian firms to keep prices in line with those of competitors. As for the loss of market shares, this has been an historical trend which has largely been shared by Belgium's main trading partners in Europe and is believed to have reflected structural factors, such as the emergence of a number of Asian economies and, more recently, of eastern European countries as significant players in international trade (Figure 4, Panel C).[11] However, losses of export market shares have been accompanied by slower import penetration on the domestic market compared with other OECD countries, perhaps because the BLEU being already a very open economy has been less affected by the globalisation process. Among the other items of the current account, non-factor services and investment income seem to have been particularly strong in 1996: the first has reflected the buoyancy of banking and insurance transactions originating in Luxembourg; and the second has benefited

from the global decline in interest rates. Since Belgium's external liabilities are relatively more in short-term form than its external assets, a decline in interest rates initially has a stronger impact on interest paid than on interest received, and hence improves net investment income. All considered, the current-account surplus of the BLEU may have widened to an estimated 5¾ per cent of GDP.

In 1996, as in 1995, the BLEU seems to have recorded a net inflow on account of private capital and financial transactions which, combined with the sizeable current-account surplus, has put considerable upward pressure on the exchange rate. In 1995, inflows were essentially accounted for by an increase in commercial banks' net external liabilities (in Belgian francs). In the first half of 1996, inflows in addition to banking transactions also stemmed from purchases of OLOs (Treasury bonds) by non-residents as well as from foreign direct investment – an item which has typically shown a net inflow since the early 1980s. To prevent an undue appreciation of the Belgian franc *vis-à-vis* the Deutschemark, the National Bank has purchased large amounts of foreign currencies on the exchange market: BF 500 billion in 1995 and BF 300 billion in the

Table 4. **Balance of payments of the BLEU: recent developments**

BF billion, on a transaction basis

	1995	1996		
		Q1	Q2	S I
Current transactions	445	128	124	252
Capital and financial transactions	–445	–128	–124	–252
of which:				
1. Foreign direct investment	–33	69	60	128
2. Net OLO purchases by non-residents	–5	61	38	98
3. Increase in commercial banks' net external liabilities [1]	307	73	111	184
4. Public debt denominated in foreign currencies [2]	–263	–47	–66	–113
5. Swaps between the National Bank and commercial banks [3]	–231	–150	–20	–170
6. Change in official reserve [3]	–8	–22	–4	–26
Memorandum item:				
7. Purchases of foreign currencies by the National Bank (4 + 5 + 6) [4]	502	219	90	309

1. In Belgian francs.
2. + = increase.
3. + = decrease.
4. With sign reversed.

Source: National Bank of Belgium.

first half of 1996 (altogether US$25 billion). The bulk of these foreign currencies has been used to retire public debt denominated in foreign currencies and swapped against Belgian francs with domestic commercial banks. Only a small proportion has been used to increase official reserves (Table 4).

Short-term prospects

The outlook for the Belgian economy is relatively favourable. Growth is expected to accelerate in 1997-98, with foreign demand and business fixed investment as the two driving forces. The strong rebound of the National Bank's conjunctural indicators – which generally lead economic activity by only a few months – point to a continuation of the recovery in the near future. Beyond that, the expected acceleration of the upturn in neighbouring countries should provide continuing support to exports and to activity in general. Net exports should also benefit from a partial recovery of the international competitive position of Belgian firms due to the recent decline of the Belgian franc in effective terms and continuing wage moderation as a result of the new law on employment and competitiveness. Consumer confidence also seems to be finally improving, with one indicator showing a pronounced rebound in late 1996, after nearly two years of weakness.[12]

Macroeconomic policy is not expected to have a major impact on activity and prices over the projection period. Budgetary policy, as discussed in Chapter II, will be somewhat more restrictive in 1997 but, given their sizeable net financial position, households can largely preserve their spending pattern by reducing the saving ratio which, despite recent declines, remains above the average of the past 15 years.[13] Moreover, in a small open economy like Belgium, the impact on economic activity of any decline in spending is significantly cushioned by reduced imports. Similarly, the new round of hikes in excise taxes decided in the 1997 budget should have only a limited impact on consumer price inflation. As for monetary policy and conditions, they are not projected to change markedly. Short-term interest rates may start rising in the second half of 1997 but long-term rates – which in Belgium are especially important for residential investment – may be somewhat lower in 1997-98, on average, than in 1996.

Real GDP growth is projected to accelerate to a little over 2½ per cent in 1998 – a rate which should reduce somewhat the output gap. More dynamic

foreign markets should translate into stronger exports but the growth in imports will also increase. Nonetheless, the contribution of the foreign balance to GDP growth may approach ½ of a percentage point in 1998. On the domestic side, business fixed investment is likely to remain the driving force of the upturn, buoyed by strong profits, a rising rate of capacity utilisation and the conjunctural pickup in Europe. Both private consumption and residential investment are expected to show only moderate strength, while government consumption will continue to be greatly restrained by fiscal consolidation. On the other hand, as the programme of sales of public buildings to the private sector is progressively reduced, government investment is likely to start growing again. Although improving, conditions in the labour market are expected to remain slack, the projected decline in the unemployment rate partly reflecting the impact of the administrative measures discussed above. With a sizeable output gap and the introduction of the recent law on employment and competitiveness (see below), the end of the freeze on real wages at the end of 1996 is unlikely to be followed by strong inflationary pressures. The projected decline of consumer price inflation in 1998 essentially reflects the petering out of the effect of recent hikes in indirect taxes.

These projections were finalised in late 1996. Since then, important changes have taken place, mainly concerning domestic and international monetary variables. Long-term interest rates have continued to decline, in Belgium as well as in continental Europe, and in early February 1997, at around 5.7 per cent, were some 50 basis points below the level projected for 1997 on average. At the same time, the dollar and a number of European currencies have strengthened so that the Belgian franc, in effective terms, has depreciated by over 2 per cent. It is of course uncertain whether these variables will remain at around current levels, but the risk to the projections is clearly on the upside, with the likelihood of somewhat stronger exports and GDP growth than projected but also somewhat higher inflation. On the domestic side, the main uncertainty concerns the behaviour of households and whether they will – and to what extent – reduce their saving ratio. Another important unknown is how the new law on employment and competitiveness will work.

II. Economic policies

Over the past few years, the overriding goal of the Belgian authorities has been to meet the Maastricht criteria and thereby to participate in the Economic and Monetary Union (EMU) from its inception. Hence, despite the weak conjunctural situation, economic policy has retained its rigorous orientation and Belgium has made considerable progress in the fiscal area and consolidated its previous achievements on the monetary side. Thanks to several fiscal packages, the general government deficit has been reduced from over 7 per cent of GDP in 1992 to a little over 3 per cent in 1996. The results have been even more striking in terms of the cyclically-adjusted budget deficit which has been cut by 6 percentage points to an estimated 1½ per cent of GDP – one of the best performances among OECD countries. The 1997 budget includes a new saving package and aims at reducing the deficit to less than 3 per cent, while setting the debt/GDP ratio on a firmly declining trend. At around 130 per cent, the debt/GDP ratio is the highest in the OECD area. International confidence in the country has grown, as witnessed by the buoyancy of the Belgian franc *vis-à-vis* the Deutschemark accompanied by a reduction in interest differentials with Germany – to around zero at both the short and long-end of the market – and large purchases of foreign currencies by the National Bank of Belgium.

The Government has also engaged in a long-term programme of structural reforms. So far, the results have been especially positive in the financial sector, notably the development of efficient markets for public debt instruments. Results have also been encouraging – at least until recently – with respect to curbing health care expenditure and redressing the financial position of the social security system. On the other hand, progress has been insufficient in the correction of rigidities and imperfections in the labour market, where conditions have remained quite unsatisfactory, with very high non-employment. The following paragraphs, after reviewing monetary policy and monetary conditions, consider

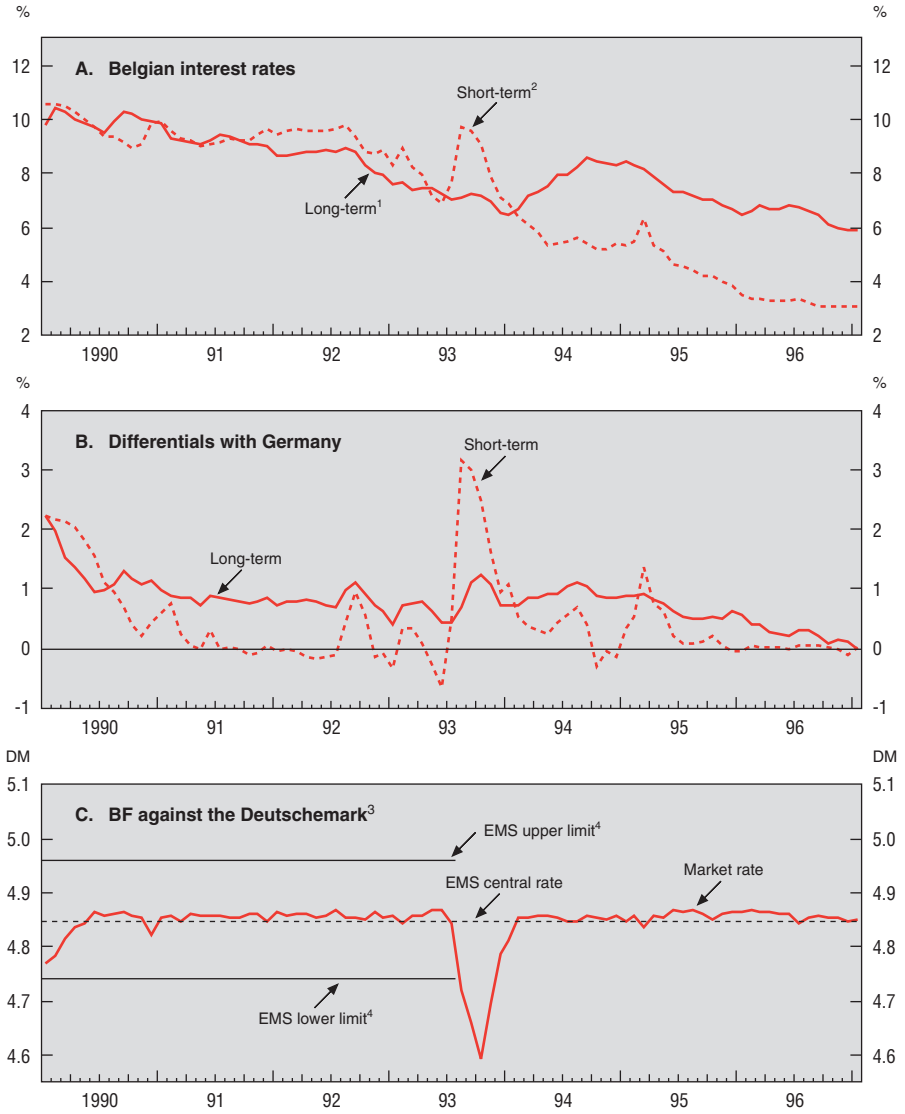
the broad lines of budget policy and progress in fiscal consolidation. Policy measures to promote employment – including the July 1996 law on employment and competitiveness – are discussed in Chapter III, and initiatives concerning competition in product markets are surveyed in Chapter IV.

Monetary policy

Since 1990, the target of monetary policy has been the stability of the exchange rate of the Belgian franc with the Deutschemark.[14] Given the credibility of the Bundesbank, the traditionally low inflation rate of Germany, and the high integration of the two economies – with bilateral exports and imports accounting for around one-fifth of Belgian international trade – this strategy is seen by the authorities as the best way of achieving the ultimate goal of price stability. The determination of Belgium to defend a close link between its currency and the Deutschemark was tested during various episodes of turbulence within the Exchange Rate Mechanism (ERM) in the early 1990s. But the National Bank's approach, notably its readiness to raise interest rates whenever required by foreign exchange market conditions, worked well, and both in 1993 and early 1995 it was possible to bring short-term rates back down towards the level of German rates within a relatively short period of time.

The period since mid-1995 has been rather uneventful, with a distinct reduction in the volatility of key monetary variables. The National Bank has repeatedly reduced its interest rates, generally in line with the Bundesbank but, in view of the buoyancy of the Belgian franc in foreign exchange markets, occasionally ahead of it. Hence, money market rates have remained very close to German rates, falling by some 150 basis points from June 1995 to January 1997. The decline in long-term rates has also been of some 150 basis points, as Belgian rates have declined more rapidly than German rates and the differential between the two countries has trended down and turned slightly negative in early 1997, an unprecedented situation since 1975 (Figure 5, Panels A and B). The Belgian franc has been consistently above its central rate *vis-à-vis* the Deutschemark: the premium exceeded 0.30 per cent in the first half of 1996 but narrowed somewhat in the following months (Figure 5, Panel C). In effective terms, after appreciating for several years – notably in 1995 when it gained nearly 5 per cent – the Belgian

Figure 5. **INTEREST RATES AND THE EXCHANGE RATE**



1. Long-term government bonds (10 year).
2. Three-month Euro BF.
3. DM per BF 100.
4. On 2 August 1993, the upper limit was raised to DM 5.63 and the lower limit was decreased to DM 4.17.

Source: Datastream; OECD, *Financial Statistics Monthly* and OECD Secretariat.

franc weakened marginally in 1996 and a bit more in early 1997, as a result of the strength of the dollar and a number of European currencies.

With money market rates already as low as, and at times slightly lower than German rates, the National Bank has relied on intervention in foreign exchange markets to limit the appreciation of the Belgian franc *vis-à-vis* the Deutschemark. Official purchases of foreign currencies were especially important in mid-1995 and then again towards the end of that year and in the first months of 1996 (see Chapter I and Table 4). To prevent these purchases from unduly affecting domestic liquidity, they were nearly fully sterilised through the repayment of Belgian public debt denominated in foreign currencies and swaps between the National Bank and commercial banks.

The OECD Secretariat does not expect monetary conditions to change markedly over the projection period. Short-term rates may start rising in the second half of 1997, in line with German rates and reflecting strength in the real economy. On the other hand, long-term rates may be somewhat lower in 1997-98, on average, than in 1996. The differentials between the two countries seem likely to remain close to zero both at the short and long end of the market, provided however that fiscal consolidation in Belgium does progress as pledged by the Government and that the country will indeed participate in EMU from its inception.

Budgetary policy

Overview of fiscal consolidation

Belgium has been pursuing fiscal consolidation since the early 1980s, when the general government deficit exceeded 12 per cent of GDP. But progress has been uneven. For instance, in the early 1990s, the budget deficit widened again, from around 5½ per cent of GDP in 1990 to 7½ per cent in 1993. Hence, already in 1992 the Government introduced the Convergence Plan to formalise the medium-term goal of meeting the Maastricht criteria. The Plan set annual targets for the progressive reduction of the deficit to 3 per cent of GDP in 1996.[15] It also introduced three general norms that under reasonable macroeconomic assumptions would ensure reaching the 1996 target: the social security system must be in equilibrium;[16] fiscal receipts must increase in line with nominal GDP (*i.e.* they

must display ''unit elasticity''); and primary expenditure of the federal authorities must not increase in real terms. Moreover, to create sufficient room for manoeuvre over the longer-term to meet the challenge that population ageing will represent for public spending and ensure that the debt-to-GDP ratio would continue to decline at a sufficiently rapid pace, the Convergence Plan 1997-2000 stipulates that the primary surplus of the general government should be around 6 per cent of GDP over this period.

These various norms have been broadly respected and the medium-term fiscal goal has been largely achieved despite a sharp deterioration of the conjunctural situation in 1992-93 and a less pronounced one in 1996. But to offset the negative budgetary impact of worse-than-expected macroeconomic conditions and keep the deficit reduction on track, the Government had to introduce repeated packages of corrective measures; and targets for the intermediate years were somewhat relaxed, without however altering the ultimate target of a budget deficit of 3 per cent of GDP in 1996. The budgetary saving of the packages has been estimated by the Belgian authorities at 1 per cent of GDP in 1992, 2½ per cent in 1993, 1 per cent in 1994, ¼ per cent in 1995 and 1½ per cent in 1996, representing a total of a little over 6 per cent of GDP. The permanent impact on the budget, however, will be significantly smaller than this, since an important proportion of the corrective measures have been of a one-off or non-recurrent nature. This was especially the case in 1996 when over one half of the savings were estimated to stem from one-off measures. Nonetheless, the corrective effort has been important and also broadly based. It has included: new direct and indirect taxes and, to a lesser extent, employees' social security contributions; cuts in primary expenditure; various other savings, such as reduced interest payments as a result of a more efficient debt management, and additional revenues reflecting, among other measures, improved tax collection and a clampdown on fiscal fraud. While hesitant economic growth, on balance, has hindered fiscal consolidation over this period, the downward trend in interest rates has had the opposite effect (see below).

All considered, the general government deficit may have declined to a little over 3 per cent of GDP in 1996, representing an improvement of 4 percentage points compared with 1992 (Table 5 and Figure 6). In other EU countries, on average, fiscal consolidation has been less pronounced over this period, and in 1996 the combined budget deficit was still an estimated 4½ per cent of GDP

Table 5. **General-government budget**

Per cent of GDP

	1990	1991	1992	1993	1994	1995	1996[1]	1997[2]	1998[2]
Primary receipts	47.7	48.4	48.2	48.9	50.0	50.4	51.0	50.7	50.3
of which:									
Direct taxes	16.9	16.5	16.5	16.5	17.8	18.3	18.3	18.1	18.0
Indirect taxes	12.1	12.1	12.1	12.4	12.8	12.4	13.1	13.1	13.0
Social security contributions	15.3	15.8	16.0	16.2	15.8	15.7	15.4	15.2	15.1
Primary expenditure	43.7	45.5	45.4	46.3	45.7	45.9	45.9	45.5	44.9
of which:									
Government consumption	14.1	14.5	14.3	14.8	14.7	14.8	14.7	14.6	14.4
Subsidies	3.0	3.2	3.0	2.8	2.7	2.9	2.7	2.7	2.6
Social security outlays	21.1	21.9	22.1	22.4	22.1	22.1	22.1	21.8	21.5
Primary balance	4.0	2.9	2.8	2.6	4.3	4.5	5.1	5.3	5.4
Interest payments (net)	9.7	9.4	10.0	10.0	9.4	8.7	8.3	8.2	8.1
Net financial balance	–5.6	–6.5	–7.2	–7.5	–5.1	–4.1	–3.2	–2.9	–2.7
Memorandum items:									
Cyclically adjusted:[3]									
Primary balance	3.2	2.3	2.5	3.9	5.5	5.7	6.6	6.7	6.5
Net financial balance	–6.7	–7.2	–7.5	–5.8	–3.7	–2.8	–1.5	–1.3	–1.4
Debt[4]	129.7	129.4	130.6	137.0	135.0	133.7	129.9	127.2	124.6

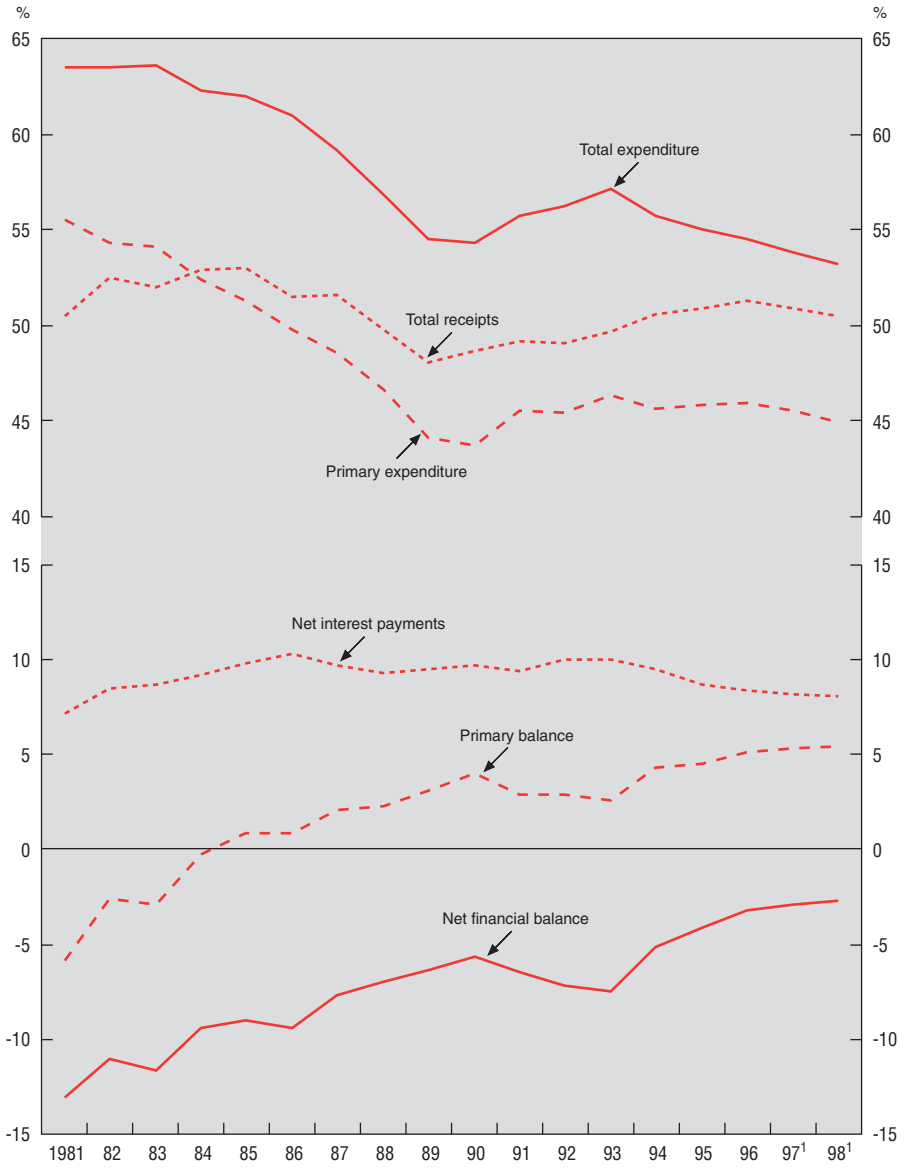
1. Estimates.
2. Projections.
3. As a percentage of potential GDP.
4. General government gross public debt (Maastricht definition).

Source: OECD, *National Accounts* and OECD Secretariat.

(Figure 7, Panel A). Owing to the record size of its public debt in relation to GDP, Belgium has benefited more than other EU countries from the European-wide decline in interest rates over this period: over 40 per cent of its deficit reduction has been accounted for by a decrease in net interest payments as a per cent of GDP, and less than 60 per cent by an increase in the primary balance. Allowing for the impact of macroeconomic activity on the budget, that is in cyclically-adjusted terms, the broad-brush picture is basically the same, except that the correction of the Belgian overall deficit and the improvement of the primary balance have been somewhat more pronounced, with the first declining to an estimated 1½ per cent of GDP in 1996 and the second rising to over 6½ per cent. Hence, an analysis in cyclically adjusted terms confirms and accentuates the conclusion that, since the early 1990s, fiscal consolidation has been significantly

Figure 6. **GENERAL-GOVERNMENT PUBLIC FINANCES**

Per cent of GDP

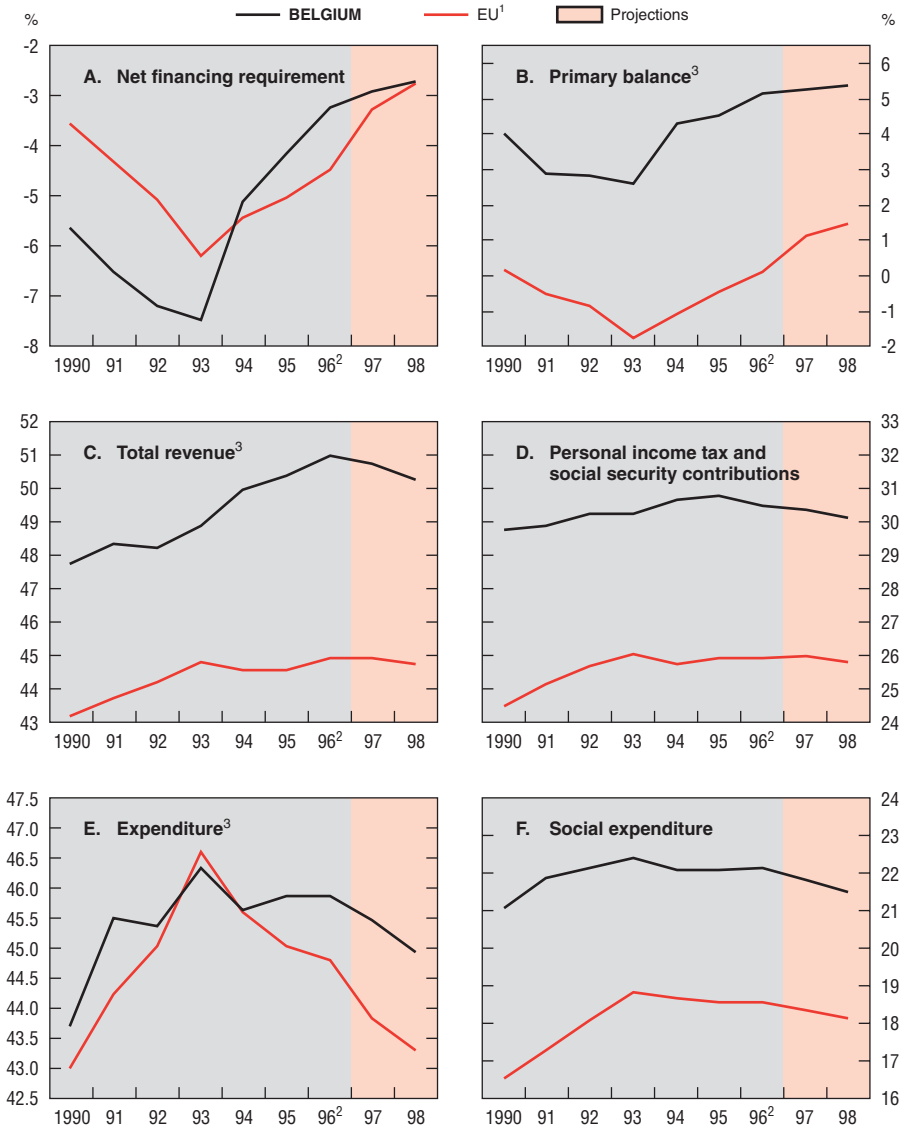


1. Projections.

Source: OECD Secretariat.

Figure 7. **PUBLIC FINANCES IN BELGIUM AND THE EU**

Per cent of GDP



1. Excluding Luxembourg.
2. Provisional figures.
3. Excluding interest charges.

Source: OECD, *National Accounts* and OECD Secretariat.

more rapid in Belgium than in other EU countries on average (Figure 8, Panel A). The weak point of Belgian public finances, however, remains its very large public debt. The debt-to-GDP ratio rose from a little less than 130 per cent in 1991 to 137 per cent in 1993, and in 1996, although declining, was still an estimated 130 per cent.

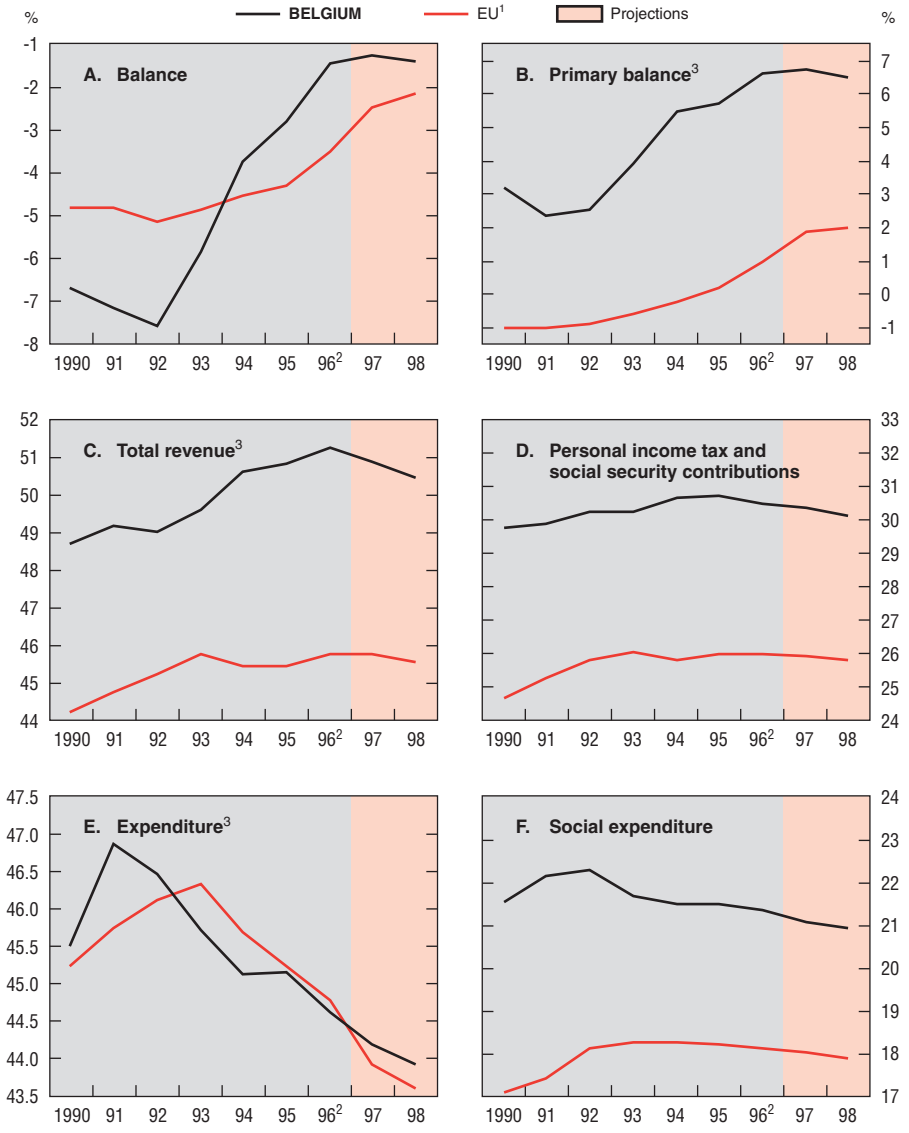
The increase in the primary surplus over this period has been largely the result of the corrective packages mentioned above, which have boosted primary revenue – to some 51 per cent of GDP – and kept primary expenditure broadly in check – at around 46 per cent of GDP. In other EU countries, on average, the evolution has been nearly the reverse, with total revenue rising much less and primary expenditure edging down (Figure 7, Panels C and E). But since economic activity has been weaker in Belgium than in other European countries, on a cyclically adjusted basis, primary expenditure as a share of GDP has fallen quite rapidly and broadly in line with the EU average, (Figure 8, Panel E).

The structure of the Belgian budget has remained quite different from that of other EU countries as a group, not only because of the size of interest payments and the primary surplus, but also because personal income taxes and social security contributions – at over 30 per cent of GDP – are distinctly above the corresponding EU averages (Figure 7, Panel D). However, according to the National Bank of Belgium, ''fiscal levies weighing chiefly on earned incomes'' as a percentage of GDP have edged down in recent years,[17] partly as a result of a number of reductions in social security contributions aimed at promoting employment – the so-called ''alternative financing'' of the social security system (see Chapter III). On the other hand, other direct levies consisting of corporate taxes and withholding taxes paid by individuals have risen in relation to GDP. Indirect taxes have also risen, reflecting successive increases in excise duty on fuels and cigarettes as well as in the standard VAT rate – first, from 19.5 per cent to 20.5 and then, to 21 per cent. In the framework of the ''alternative financing'' policy, this increased reliance on indirect taxes has represented the counterpart to the reductions in employers' social security contributions.

On the expenditure side, social expenditure as a percentage of GDP, after rebounding in the early 1990s, has edged down. Reflecting various corrective measures, the rate of growth of health expenditure, which had been very rapid between 1989 and 1992, abated markedly in the following two years, before picking up again in 1995 and 1996. This new acceleration has not been fully

Figure 8. **CYCLICALLY ADJUSTED PUBLIC FINANCES IN BELGIUM AND THE EU**

Per cent of potential GDP



1. Excluding Luxembourg.
2. Provisional figures.
3. Excluding interest charges.

Source: OECD Secretariat.

explained yet. It has been tentatively associated with a number of factors, including: a flu epidemic, a change in payment lags, and the waning effect of corrective measures introduced in 1993 – such as the increase in the share paid by patients (or *ticket modérateur)*. Current transfers to individuals, identified by the National Bank of Belgium as ''replacement incomes'',[18] as a percentage of GDP have declined slightly. With persistently slack conditions in the labour market, the number of recipients of replacement income has barely levelled-off, but as a result of a progressive tightening of unemployment related programmes and especially of the introduction of the ''health index'' in 1994, the rise in the average replacement income per beneficiary in constant prices has been slower than that of real GDP. Pensions – of private sector wage-earners as well as of civil servants – are the largest component of replacement incomes, representing some 10 per cent of GDP. This share, after trending down in the second half of the 1980s, and rebounding moderately in the early 1990s, has stabilised over the past few years. The continuing increase in the average civil service pension and in the number of pensions in this sector has been accompanied by more restrained developments in the private sector, so that the rate of increase in the overall number of pensions has been similar to that of real GDP and the overall average pension has remained broadly stable.

Compensation of civil servants, which represents the most important component of expenditure other than current transfers to individuals, after a short-lived deceleration in 1994 following the introduction of the ''health index'', has continued to grow at over 2 per cent a year in real terms. With employment in the public sector remaining virtually unchanged, this has primarily reflected a general revision of wage scales. As a proportion of GDP, compensation of civil servants has been remarkably stable, at 9½ per cent.

The decrease in interest payments on the public debt – from 10 per cent of GDP in 1992 to an estimated 8¼ per cent in 1996 – has reflected both lower interest rates and a very active debt management policy. In Belgium, given the size of the public debt, interest rates have a major impact on the budget. For instance, a 1 percentage point drop in the average or effective interest rate paid on government debt translates into a decrease in the budget deficit of 1.3 per cent of GDP. Over the period considered, interest rates have trended down, albeit with strong short-term fluctuations, and in 1996 were distinctly lower than in the early 1990s, both at the short and long end of the market. Debt management

policy was especially active in 1993-94 when over one half of the long-term debt denominated in Belgian francs was refinanced at interest rates which, on average, were 2 percentage points lower. Hence, the effective interest rate on the public debt as a whole has declined from 8.8 per cent in 1992 to an estimated 6.7 per cent in 1996; and despite the continuing increase in the stock of outstanding debt, over the past two years, interest payments have declined in absolute terms as well as in relation to GDP. Moreover, the ''snowball effect'' – *i.e.* the self-sustained increase in the debt-to-GDP ratio as a result of interest payments – was virtually stopped in 1994 when the primary surplus reached 4.3 per cent of GDP and went into reverse in 1995-96.

The 1997 budget

The 1997 budget, presented in early October 1996, includes a new package of corrective measures estimated by the authorities to represent BF 80 billion, or nearly 1 per cent of GDP. At the same time, the Government announced BF 367 billion of debt reduction measures. The stated aim of the Government is to reduce the general government deficit to less than 3 per cent of GDP in 1997 and set the debt-to-GDP ratio on a firmly declining trend. The budget assumes a rate of growth of real GDP of 2.1 per cent and short-term interest rates of 4.1 per cent – compared with market rates of a little over 3 per cent in the past few months. The authorities consider these deliberately prudent assumptions and a budget deficit target actually below 3 per cent of GDP as providing an important safety margin for meeting the Maastricht deficit criterion.

The corrective measures are presented by the authorities as being of an essentially structural character: their impact has been estimated to decline only slightly in 1998 – to BF 75 billion – before rebounding in the following years – to nearly BF 81 billion in 2000. The 1997 saving effort is split evenly between spending cuts and revenue increases. Primary expenditure of the federal authorities is to be cut by BF 17 billion, compared to baseline – mainly in the areas of subsidies granted to public enterprises, international aid and military expenditure – resulting in a decline in primary expenditure of 1.7 per cent in real terms. Cuts in social security expenditure (BF 23 billion) will mainly affect health care (BF 20 billion), with savings in a large number of areas, including general health care, pharmaceuticals and hospital expenditure. Measures reforming other social security sectors – such as unemployment and early retirement schemes, family

allowances, and pensions – will have a significantly smaller yield, although their full impact will be felt only over the longer term. For instance, the reform of the pension system in the private sector, with an increase in the retirement age for women from 60 to 65 – the same as men – will start having an effect only in the second half of 1997.[19] In all, social security expenditure is also expected to decline, in real terms, in 1997. In December 1996, confronted with new evidence of an acceleration in health expenditure, the Government took a number of short-term measures to be followed by more structural ones.

The BF 40 billion of new revenues stems largely from an increase in fiscal and parafiscal revenues, and to a much lesser extent from an increase in non-fiscal and miscellaneous revenues. Excise taxes on petrol and alcoholic beverages were already raised in late 1996; the fight against fiscal fraud and evasion is to be stepped up, in part by introducing a tax on the actual delivery of paper securities; and a new tax has been introduced, to be paid by banks on the amount of their deposits. Finally, revenues will be boosted by a multi-annual programme of asset sales (mainly buildings), expected to yield BF 7 billion in 1997 and somewhat less in the following years.

In addition to this saving package, the 1997 budget included a number of initiatives aimed at promoting employment and which largely represented a continuation or modification of existing programmes – such as cuts in employers' social security contributions conditional upon the creation of new jobs, with this clause tightened to avoid abuses (see Chapter III). The financing of these initiatives is to be provided mostly by the non-indexation of tax-brackets, which will be continued.

The Government also decided to fully exploit the room for manoeuvre for better financial asset management in order to reduce the public debt. The bulk of these asset management operations – amounting to nearly BF 370 billion – results from a capital gain of BF 222 billion recorded by the central bank on past gold sales which the government was entitled to by law. The proceeds were used, with the consent of the European Monetary Institute, to reduce foreign currency denominated government debt. A further BF 75 billion reduction in government debt results from government related agencies investing their excess liquidity in government bonds rather than in bank deposits. According to the Belgian authorities, these asset management operations should account altogether for less than

half the projected reduction in the debt/GDP ratio from 137 per cent in 1993 to 127 per cent in 1997.

With a projected GDP growth rate similar to that assumed in the 1997 budget but with significantly lower short-term interest rates, the OECD Secretariat expects the general government deficit to fall to slightly less than 3 per cent of GDP in 1997 and to around 2¾ per cent in 1998. On a cyclically adjusted basis, the deficit may decline to around 1¼ per cent of GDP both in 1997 and 1998. The improvement compared with 1996 is relatively modest, on either basis, since well over one half of the 1997 saving package is required to offset the end of the one-off measures in the 1996 budget. In line with the projections of the Belgian authorities, the OECD Secretariat expects the debt-to-GDP ratio to decline to 127 per cent of GDP in 1997 – as a result of both the inverse snowball effect and the asset management operations – and to 124½ per cent in 1998 – as a result of only the inverse snowball effect.

Beyond Maastricht

To reduce the debt-to-GDP ratio to a sustainable level, fiscal consolidation will have to continue for many years to come, especially since public ownership is relatively light in Belgium and privatisation at best could reduce the public debt by only a few percentage points of GDP. Somewhat paradoxically, fiscal consolidation can be significantly facilitated by the high level of public debt and interest payments as a percentage to GDP. Under reasonable assumptions concerning growth and interest rates, if a large and broadly stable primary surplus is maintained, the progressive reduction in the debt and interest payments as a percentage of GDP will interact in a positive way – the reverse of the so-called ''snowball effect'' mentioned above – and accelerate the reduction of the overall deficit.

The Convergence Plan 1997-2000 presented in December 1996 by the Belgian authorities gives a concrete formulation to these principles. The main aim of the plan is to provide a medium-term framework for a further sizeable reduction of the deficit and debt level. It stresses the need to maintain a large primary surplus of around 6 per cent of GDP for the general government. Under reasonable assumptions concerning economic growth and interest rates, this would allow a reduction of the overall deficit to around 1 per cent of GDP in the year 2000, and would ensure a self-reduction of the debt/GDP ratio at an acceler-

ating pace (the inverse snowball effect). For the period beyond 2000, the *Conseil supérieur des finances* has proposed a long-term scenario for the reduction of the debt-to GDP ratio. It is based on the assumption of a nominal GDP growth of 4.3 per cent a year and the stabilisation of the effective interest rate on the public debt at its current level. Moreover, the primary surplus is assumed to remain between 6 and 7 per cent of GDP until the overall deficit is cut to zero, and then to be reduced in line with interest payments in order to keep the overall budget in equilibrium while meeting some of the demand for additional public spending arising from population ageing. According to this scenario, the debt-to-GDP ratio reaches 60 per cent in about 20 years. Some of the room for manoeuvre created by a scenario of this type could also be used for stepped up investment in the infrastructure and/or reductions in the tax burden, particularly on labour. Moreover, an overall budget close to equilibrium would give fiscal policy a significantly larger degree of cyclical flexibility. But to set consolidation firmly on this long-term track, further corrective measures are needed. The growth of health expenditure must be brought under better control, and the recent reform of pensions in the private sector must be pursued – one of the main goals being to relax the automatic adjustment of pensions to the increase in salaries. Finally, there is an urgent need to extend reform to public sector pensions, and reassess the system of indexation to wages and the determination of reference salaries.

III. Implementing the OECD Jobs Strategy

Introduction

Current labour market outcomes are distinctly less favourable than those prevailing in the early 1970s. Although the situation improved somewhat in the second half of the 1980s, it has deteriorated again over the past few years and the labour market remains one of the major problems of the Belgian economy. One way of summarising the problem is by noting that, despite an increase in the population of working age, total employment (in persons) is virtually at the same level as two decades ago, and that in the private sector it has actually fallen. The standardised unemployment rate is below its peak of the early 1980s but it is still over 9 per cent. Moreover, for social and equity reasons, Belgium has relied heavily on special unemployment-related programmes – notably for early retirement and the older unemployed – which have resulted in the exclusion of a large number of persons from the labour force and unemployment (as normally recorded). Hence, the participation rate and the employment rate are very low by international standards – especially for older people. This, and the fact that unemployment is concentrated among long-term unemployed, low-skilled workers and women points to the structural nature of the labour market problem, a view supported by the sharp increase over this period of the estimated non-accelerating wage rate of unemployment (NAWRU). The employment rate for youth is also particularly low but this partly reflects high rates of school enrolment. Nonetheless, unemployment of this age group – which has trended down over the past decade or so – remains important. Equally disturbing is the unbalanced regional dispersion of unemployment, with the rate in Wallonia broadly double that in Flanders.

Although progress has been made, important structural impediments continue to beset the Belgian labour market. They include: the system of automatic

wage indexation and wage negotiation at multiple levels which, combined with heavy social security contributions and effective wage floors, leads to a relatively narrow wage structure and high labour costs – notably for unskilled labour; employment security rules which may make firms hesitant in hiring; insufficient incentives to work as a result of generous social welfare benefits; and a lack of appropriate skills and qualifications, as well as insufficient counselling for persons in welfare programmes to facilitate their return to the active labour force. Following the federalisation of the country, responsibility for implementing many aspects of employment-unemployment policies – such as most active labour market initiatives – has been transferred to the Communities and Regions, along with responsibility for education and, in most respects, for small and medium size enterprises and science and technology policy.

The challenge facing the authorities, at all levels, is to make a determinate start towards the correction of these rigidities – a task made all the more urgent by EMU – and increase the exceptionally low rate of employment of the working age population. A large number of measures have been taken over the past few years, but not all of them have followed a sound and coherent blueprint. Some measures – such as those tightening the eligibility and generosity of unemployment benefits and other special unemployment-related programmes – have been consistent with the goal of increasing participation and employment rates. Other measures, however, have gone in the opposite direction. This has been the case for the temporary and selective reduction of the early retirement age, some decisions promoting work sharing, and especially recent administrative changes encouraging older unemployed effectively to leave the labour force. Also, the Government has engaged in a policy of reducing non-wage labour costs through cuts in employers' social security contributions largely financed by various special contributions on taxable income and increases in indirect taxes – the so-called ''alternative financing'' of the social security system. While some of these cuts have been appropriately targeted to the low-skilled, young workers and long-term unemployed, the remainder have been in favour of sectors most exposed to international competition – an unfortunate approach which is incompatible with EU rules. Finally, active labour market policies have been stepped up, and a new law on employment and competitiveness has been introduced. It entails a major change in the wage formation process but also a disturbing increase in govern-

ment involvement in the labour market in general and wage formation in particular.

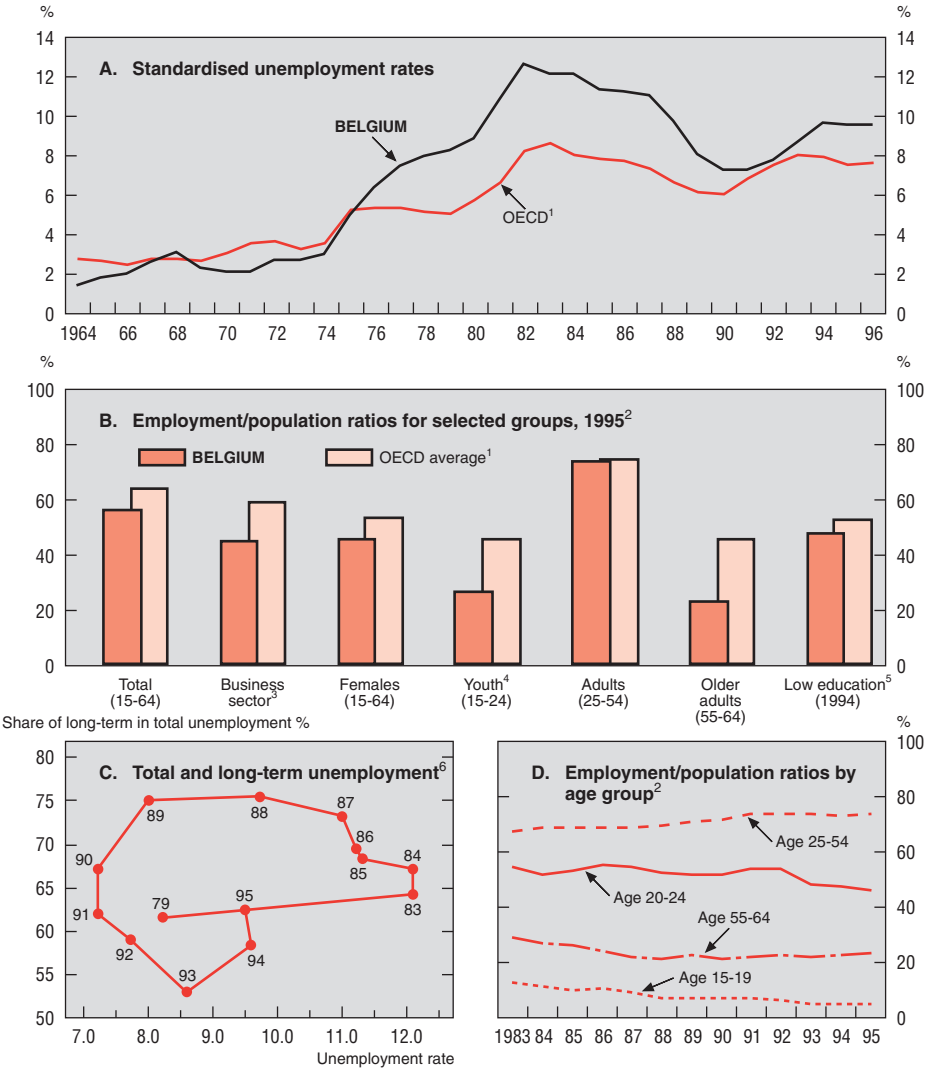
This chapter, which is one in a series to be published in *OECD Economic Surveys*, follows up the general structural policy recommendations of *The OECD Jobs Study* with specific recommendations for Belgium. The first section presents an overview of the Belgian labour market and employment performance over the past two decades or so. The policy requirements for Belgium and their motivations are discussed in the second section, followed by a review of recent policy actions and an assessment of the scope for further action in the final sections.

Labour market and employment performance

Although labour market performance, on balance, has improved somewhat since the early 1980s, it remains unsatisfactory and represents a distinct deterioration compared with the situation prevailing in the early 1970s. Over this period, the standardised unemployment rate has risen from around 2 per cent to over 9 per cent, reaching a peak of 13 per cent in 1982 (Figure 9, Panel A). Even more striking has been the fall in the employment rate – *i.e.* total employment, in persons, as a per cent of working age population – from around 60 per cent in 1970 to 55 per cent in 1995, one of the lowest rates in the OECD area (Table 6 and Figure 10, Panel A).[20] In addition to the increase in unemployment, the decline in the employment rate has reflected a shift of a large number of persons from the labour force to early retirement and other special unemployment-related programmes.

Since 1970, the growth of the labour force has been modest and well below the EU and OECD averages – some ½ per cent a year on average, compared with ¾ and 1¾ per cent, respectively. This has been due essentially to demographic factors, with only a minor contribution from immigration and changes in participation rates. The female participation rate has steadily risen, reflecting, among other factors, a trend increase in overall part-time work which, at nearly 15 per cent of total employment, is now broadly in line with the EU average (Figure 11). On the other hand, the male participation rate has fallen, as early-retirement programmes have mainly concerned male workers. As a result, the total participation rate has barely edged up and, at 64 per cent, is one of the lowest in the OECD area (Figure 12, Panel A). While not such an outlier as the

Figure 9. **EMPLOYMENT AND UNEMPLOYMENT**

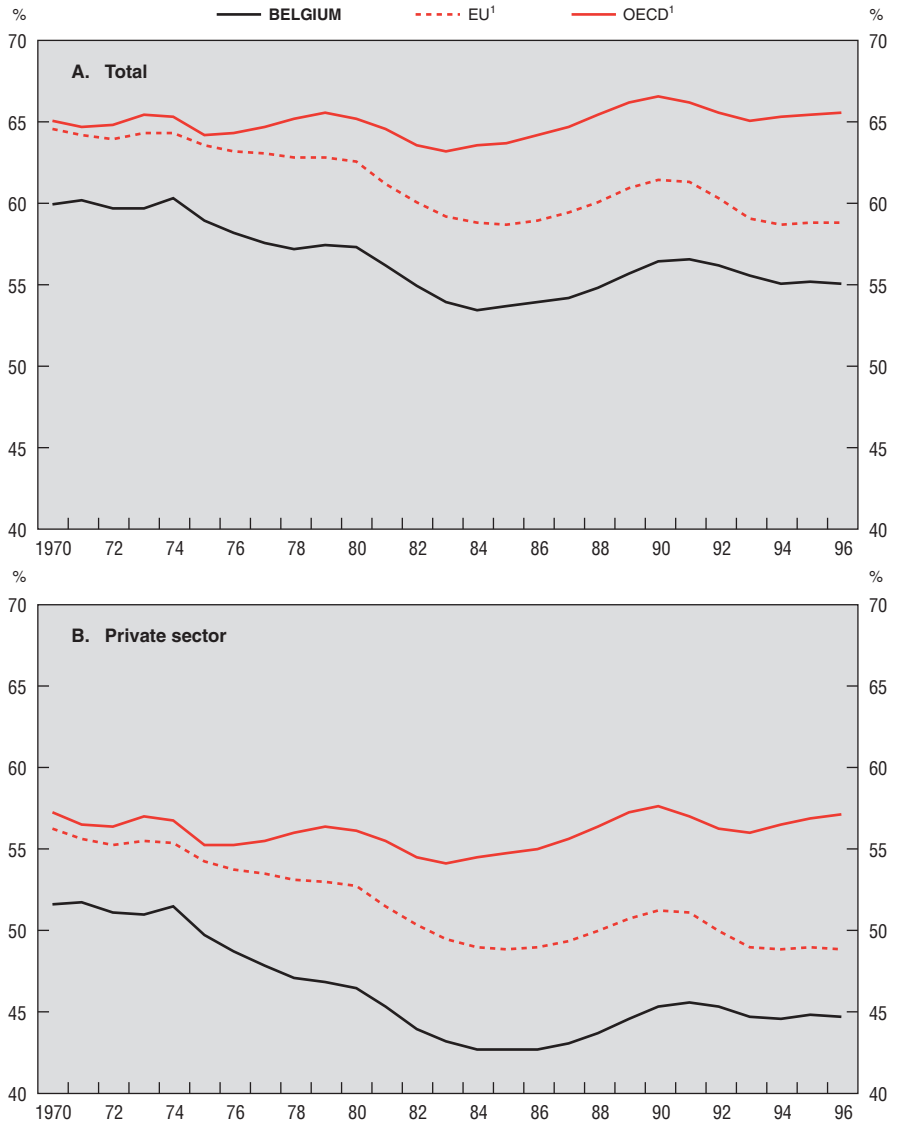


1. The number of countries included in the OECD average varies depending on the data available.
2. Defined as the percentage of each population group that is employed.
3. Business sector employment divided by working age population.
4. The minimum age for youth differs across countries (either 14, 15 or 16), therefore, any comparison with the OECD average should be made with care.
5. Completed less than upper secondary school.
6. Long-term unemployment is defined as individuals looking for work for one year or more.

Source: OECD, *Labour Force Statistics,* Part III and data supplied by EUROSTAT; OECD Education indicators database and OECD Secretariat.

Figure 10. **EMPLOYMENT: AN INTERNATIONAL COMPARISON**

As a per cent of working age population



1. The zone totals: include Western Germany prior to 1991 and total Germany afterwards; exclude the Czech Republic, Hungary and Mexico; exclude the Netherlands from panel B.

Source: OECD Secretariat.

Table 6. **Key figures on the labour market**

Annual averages, per cent

	Belgium				EU			
	1980-89	1990-94	1993	1994	1980-89	1990-94	1993	1994
	Growth rates							
Labour force								
Total	0.4	0.6	0.8	0.3	0.8	1.4	–1.0	0.3
Male	–0.3	0.1	–0.1	0.2	0.2	0.8	–1.3	0.0
Female	1.6	1.4	2.1	0.7	1.7	2.1	–0.5	0.8
Total employment								
Total	0.0	–0.5	–1.1	–0.7	0.5	0.5	–2.3	–0.1
Male	–0.7	–1.0	–1.7	–0.8	0.0	–0.1	–2.9	–0.4
Female	1.4	0.2	–0.1	–0.6	1.3	1.4	–1.4	0.2
	Shares in total							
Unemployment								
Male	42.1	41.4	42.5	43.1	54.6	51.2	52.7	52.4
Female	57.9	58.6	57.5	56.9	45.4	48.8	47.3	47.6
Total long-term [1]	70.5	59.9	53.0	58.3	. .	. .	. .	. .
	Rates							
Unemployment								
Total [2]	10.8	8.1	8.6	9.6	9.4	9.7	10.9	11.4
Non-employment [3]								
Total	44.5	43.4	43.8	44.3	39.9	38.7	39.8	40.1
Male	30.5	33.0	34.0	34.7	24.9	27.4	29.3	29.9
Female	58.7	53.9	53.7	54.1	54.7	50.0	50.4	50.4

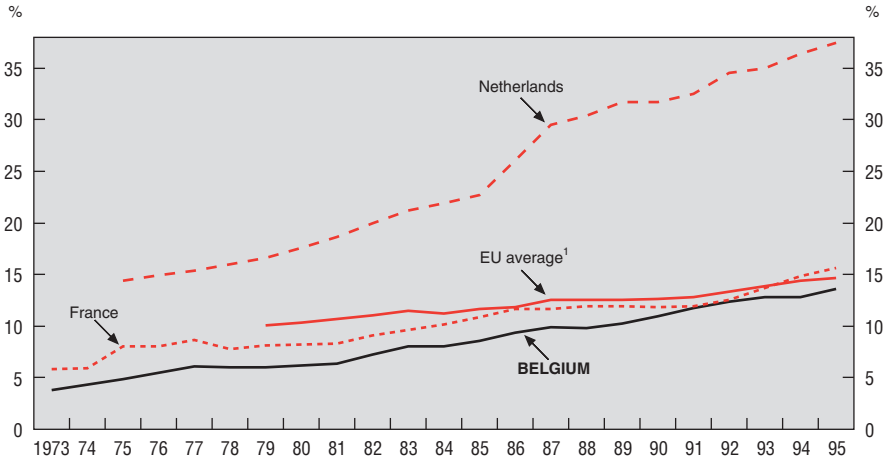
1. Persons with an unemployment spell of over one year as a percentage of total unemployment. Average for 1983-89 instead of 1980-89.
2. Standardised unemployment rate.
3. Difference between the population of working age and employment as a percentage of the former.

Source: Ministry of Employment and Labour; OECD, *Labour Force Statistics,* Part II and OECD Secretariat.

participation rate for males, the participation rate for females is also low by international standards (Figure 12, Panels B and C).

Despite fairly important cyclical variations, total employment has failed to show any net increase over the past two decades, and in 1995 it was virtually at the same level as in 1970 (Figure 13, Panel B). Jobs have been created through special programmes, and employment in public enterprises and in the public sector has recorded a small rise. However, employment in the private sector has

Figure 11. **SHARE OF PART-TIME WORKERS IN TOTAL EMPLOYMENT**

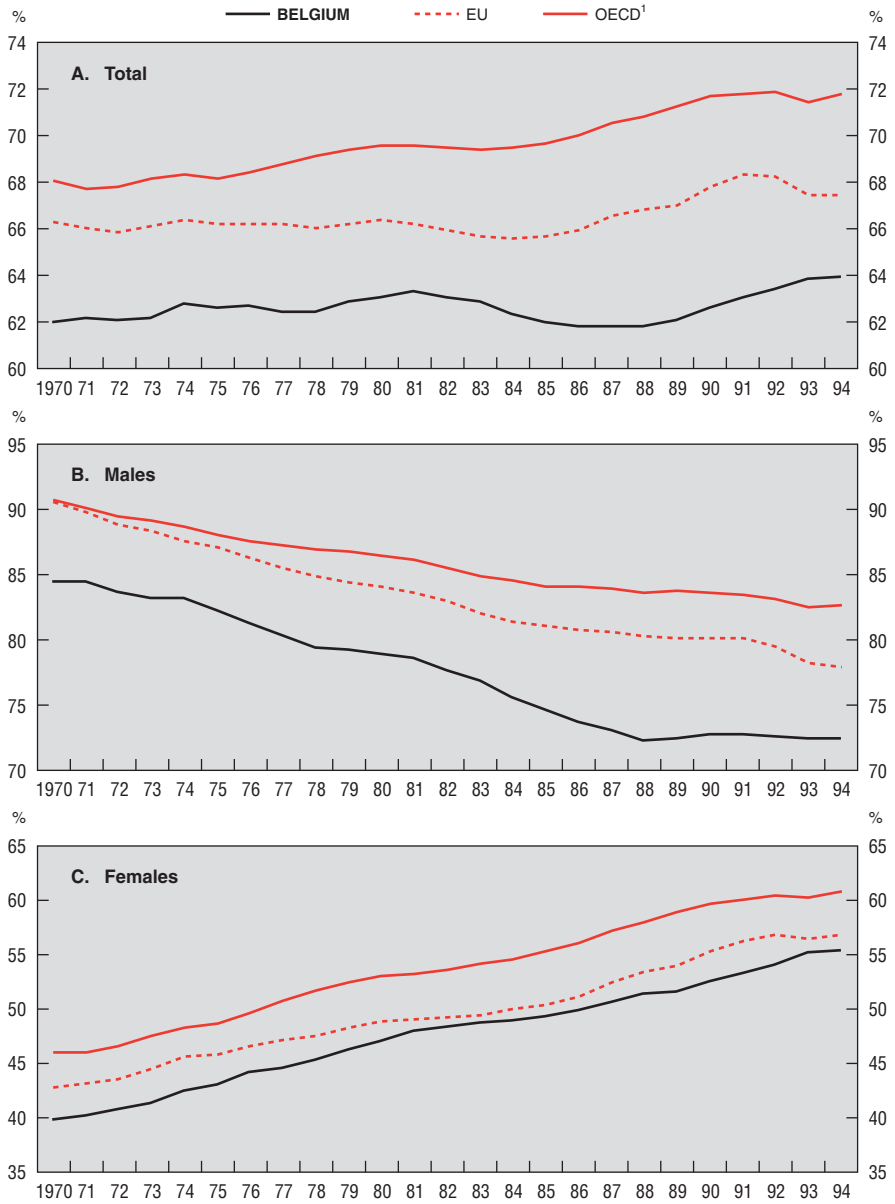


1. There are major differences in the definition of part-time work across countries so the EU average should be treated with caution.

Source: OECD, *Employment Outlook.*

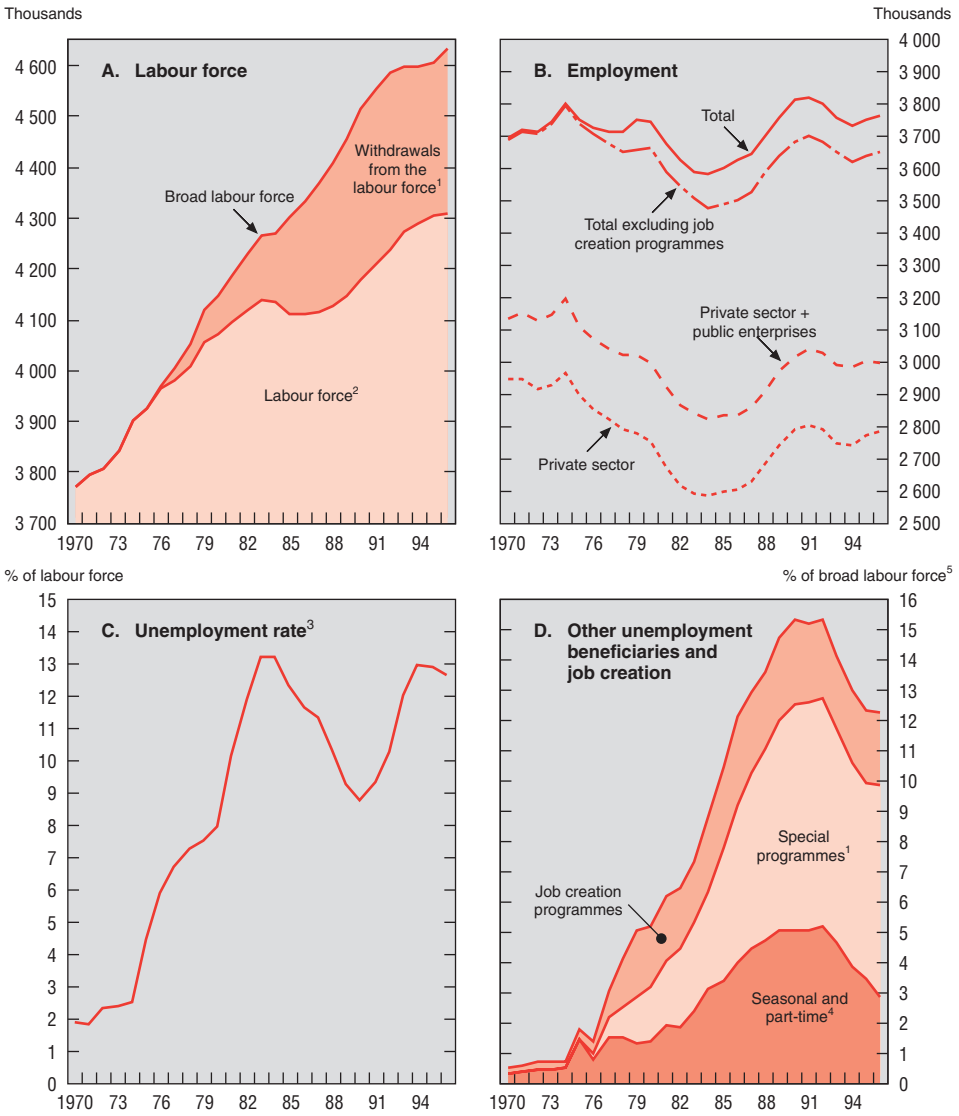
actually declined – by nearly 200 000 persons or over 6 per cent – as the service sector has been unable to create sufficient jobs to offset job losses in the primary and secondary sectors. The Belgian industrial sector, being rather old and energy intensive, was particularly hit by the oil shocks and the economic downturns of the 1970s and early 1980s. The share of industrial employment (including mining and construction) in total employment, which was around 40 per cent in 1975, fell rapidly in the following years, reflecting a major structural adjustment in the steel, coal and textile industries. During the boom period of the late 1980s, owing to the low labour intensity of growth in industry, the share of industrial employment barely rebounded, to a little over 28 per cent in 1990. Hence, during the 1980s as a whole, Belgium recorded the fourth largest percentage loss of jobs in manufacturing in the OECD area – over ½ per cent a year on average.[21] The share of industrial employment in total employment started edging down again in the early 1990s, but to a certain extent this represented a shift of employment from the industrial sector to the services sector as restructuring increasingly included out-sourcing of services. In 1992, employment in industry represented

Figure 12. **LABOUR FORCE PARTICIPATION RATES: AN INTERNATIONAL COMPARISON**



1. Excludes the Czech Republic, Hungary, Iceland and Mexico.
Source: OECD, *Labour Force Statistics.*

Figure 13. **OVERVIEW OF THE LABOUR MARKET**



1. Early retirement, unemployed older people exempted from job search and other exemptions.
2. Total employed + unemployed.
3. "Population active en chômage".
4. Seasonal and part-time unemployed.
5. Labour force + withdrawals from the labour force.

Source: Ministry of Employment and Labour.

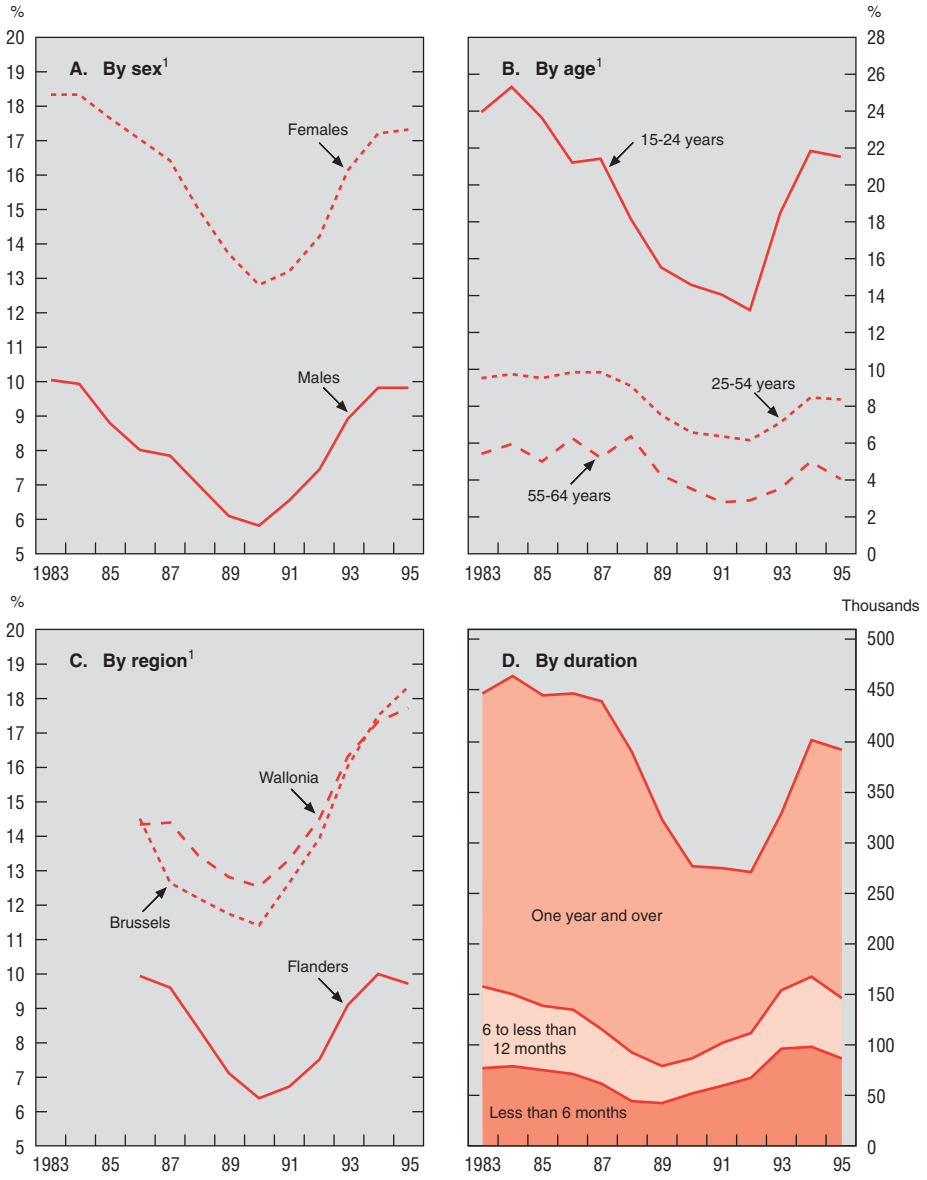
less than 28 per cent of the total, employment in the services sector (including the public sector)[22] represented 70 per cent, and employment in agriculture less than 3 per cent.

The combination of a fairly steady, if small, trend increase in the labour force and cyclical variations around a stationary employment level has resulted in a pronounced trend increase in unemployment, with the standardised unemployment rate rising from 2 per cent in 1971 to 9½ per cent now. After reaching a peak of around 13 per cent in 1982, the unemployment rate did decline during the period of rapid economic expansion in the second half of the 1980s, but it has risen again in the 1990s, as economic growth has slowed. On the basis of the standardised definition of unemployment, the position of Belgium, while far from satisfactory, does not seem particularly bad when compared with that of other EU countries. For instance, while the Belgian standardised unemployment rate has been above the OECD average since 1976, it has been below the EU average since 1989. However, as noted above, since the mid-1970s a large number of people have moved into special programmes – and withdrawn from the labour force – or found employment through job creation programmes.

Even in terms of traditional definitions, the composition of unemployment is disturbing.[23] As in most other European countries, Belgian unemployment is characterised by a high share of low-skilled, long-term, female and youth unemployment, although as a result of several policy measures the situation of most of these groups has improved somewhat in recent years. Female unemployment increased more rapidly than male unemployment in the 1976-85 period, and despite a subsequent decline, which has also been somewhat more pronounced, it is still over 17 per cent on the national definition, well above the unemployment rate of men (Figure 14, Panel A). Youth unemployment (younger than 25 years) rose from around 5 per cent in the early 1970s to over 25 per cent a decade later – although it remained about twice as high as the average unemployment rate. It then trended down until 1992, as a result of better economic conditions but also demographic factors, rising rates of school enrolment, and direct job creation programmes. More recently, however, it has rebounded, despite various measures aimed at promoting youth employment (Figure 14, Panel B).

The share of long-term unemployment in total unemployment reached a peak of more than 75 per cent in the late 1980s – a record among OECD countries.[24] It fell markedly in the following years, to less than 55 per cent

Figure 14. **UNEMPLOYMENT BY AGE, SEX, DURATION AND REGION**



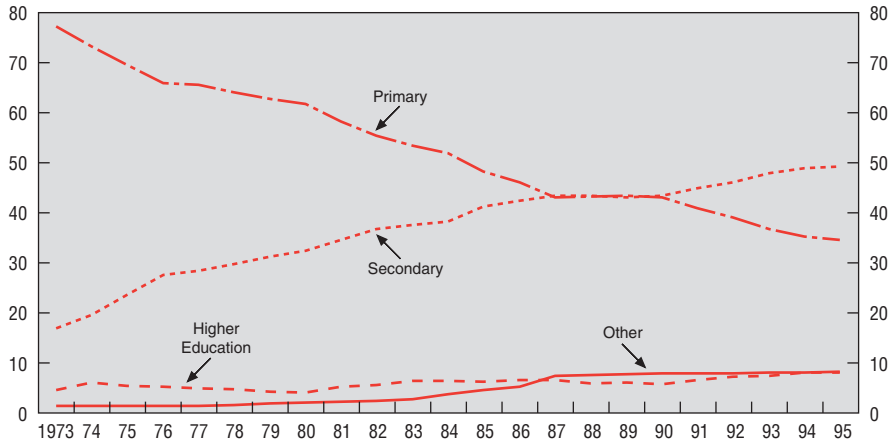
1. Unemployment as a per cent of the labour force in each group. The unemployment rates in panels A and C are based on national definitions.

Source: Ministry of Employment and Labour; OECD, *Employment Outlook* and data supplied by EUROSTAT.

in 1993, before rising again to over 60 per cent in 1995, reflecting changing economic conditions (Figure 9, Panel C and Figure 14, Panel D). Also, the authorities have tightened eligibility conditions for the unemployment scheme – a move which resulted in the exclusion of nearly 100 000 persons from this scheme in 1991-94 on account of abnormally long unemployment.[25] The unemployment rate also varies greatly by skill or education level, with the least educated (primary school) recording the highest rate of unemployment – nearly 25 per cent in 1994. But over the years, the level of education of the unemployed has risen markedly, in line with that of the population at large. While in the early 1970s the bulk of unemployed had only primary education, currently over half of them have secondary education (Figure 15). Regional differences in unemployment, which were already pronounced in the mid-1980s, have increased further since then, with the unemployment rate in Flanders edging down to less than 10 per cent in 1995, and the rate in Wallonia and in the Brussels region continuing to rise – to around 18 per cent in both regions (Figure 14, Panel C). Finally it should be noted that Belgium has one of the lowest outflow rates from unemployment in the OECD area.[26]

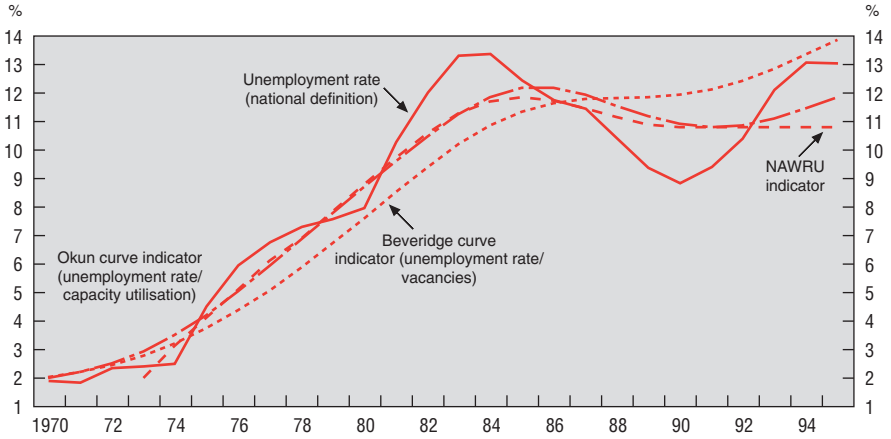
Figure 15. **UNEMPLOYMENT BY EDUCATION LEVEL**

Per cent of total unemployment



Source: Ministry of Employment and Labour.

Figure 16. **STRUCTURAL ASPECTS OF THE LABOUR MARKET**[1]



1. The trends of the three indicators are based on yearly estimates of unemployment rates which would have resulted in a normal vacancy rate, stabilised wage inflation or led to a normal rate of capacity utilisation. These estimates have subsquently been smoothed using a Hodrick-Prescott filter.

Source: OECD Secretariat.

This review of trends in the level and composition of Belgian unemployment suggests that it is in large part a structural problem. While precise calculations are difficult and the results must be used with caution, various labour market indicators suggest that structural unemployment rose sharply until the mid-1980s, and it has since barely trended down, remaining well above the levels prevailing in the early 1970s (Figure 16). These indicators include the estimated NAWRU, the unemployment rate corresponding to a ''normal'' vacancy rate (an indicator derived from the Beveridge curve), and that corresponding to a ''normal'' rate of capacity utilisation (an indicator derived from the Okun curve). OECD Secretariat estimates point to a NAWRU of 10-11 per cent in 1995, compared with an actual unemployment rate of 13 per cent (national definition, end-June figure). Hence, on this basis, despite the importance of structural unemployment, the output gap – *i.e.* the deviation of actual GDP from potential GDP, as a percentage of the latter – was around 2½ per cent in 1995, the sixth largest in the OECD area.

The unemployment situation looks distinctly more unfavourable if one uses a much broader concept (so called ''broad unemployment'') including, in addition to unemployment as usually defined (''narrow unemployment''), people in unemployment-related programmes. While itself not entirely satisfactory (see below), this concept may provide useful additional information on the degree of under-utilisation of labour resources in the Belgian labour market. In fact, since the mid-1970s, a large number of people have joined a variety of government programmes which allow them to become inactive (and leave the labour force), to acquire the status of partially unemployed, or to be hired in special partly-subsidised jobs. Their number continued to increase, even during the period of rapid economic expansion at the end of the 1980s, and reached a peak in 1992 of 700 000, or nearly 15 per cent of the broad labour force. However, it declined

Table 7. **Unemployment and special programmes**[1]

Thousands

	1982	1990	1993	1994	1995	1996
I. Narrow unemployment *(population active en chômage)*	490	365	511	554	555	545
II. Other unemployed	80	230	214	178	159	134
Seasonal unemployed *(chômeurs temporaires)*	57	25	48	36	35	35[2]
Part-time unemployed *(chômeurs à temps réduit involontaire)*	23	205	166	142	124	99
III. People in special programmes	193	463	435	420	409	433
Exempted from job search:						
For age reasons *(chômeurs âgés)*	0	72	75	74	74	95
For social reasons, training and studies *(interruption de chômage)*	0	51	46	42	41	43
Special leave *(interruption de carrière)*	0	49	58	54	51	52
Early retirement *(prépension)*	109	163	146	141	134	134
Direct job creation *(remise au travail)*	84	128	110	109	109	109[2]
IV. Broad unemployment (I + II + III)	763	1 058	1 160	1 152	1 123	1 112[2]
As a percentage of the broad labour force[3]	18.0	23.4	25.2	25.1	24.4	24.0
Memorandum items:						
V. Other unemployed and people in special programmes (II + III)	273	692	648	598	568	567
VI. Broad unemployment in full-time equivalents	626	868	955	964	918	912[2]

1. Registration basis, end of June data.
2. Estimated data.
3. Labour force + exempted from job search + special leave + early retirement.

Source: Ministry of Employment and Labour.

strongly in subsequent years – before stabilising in 1996 – because, as noted, the focus of labour-market policies shifted and most of these programmes were tightened (Figure 13, Panel D). Hence, despite the unsatisfactory growth performance of the economy in the 1990s and the increase in narrow unemployment, broad unemployment has remained rather stable at around 23-25 per cent of the broad labour force (Table 7).[27]

In some respects, even broad unemployment may understate the true degree of under-utilisation of labour resources in Belgium, since it does not include people on social assistance not seeking a job and discouraged workers with no social benefits – *i.e.* workers who either leave the labour force in the face of poor job prospects or decide not to enter it. The number of people on social assistance (MINIMEX) has increased sharply since 1990 and represented 1¾ per cent of the narrowly defined labour force in early 1996. As noted in Chapter I, only about one-third of them are registered as job seekers and hence included in unemployment figures. As for discouraged workers, according to data compiled by the OECD Secretariat, they represented 1½ per cent of the narrowly defined labour force in 1993.[28] All these forms of unemployment and inactivity are, of course, reflected in the overall rate of employment – the broadest indicator of the degree a country uses its potential labour force – which, as noted, is particularly low in Belgium. The problem with this indicator, however, is that it does not show the extent to which low employment is due to individual choices, that is the preference between working and not-working, or to market imperfections – *i.e.* to forms of unemployment.

Policy requirements

The reasons for the unsatisfactory labour market outcomes reviewed above are multiple, complex and deep-rooted. The unemployment problem can be traced back to the 1970s, the two oil shocks and the economic, social and political conditions of that time, which resulted in a pronounced loss of international competitiveness. However, the persistence of high unemployment and its essentially structural character seems to have been due to a different set of factors, some of them peculiar to Belgium. The most important ones may have been the institutional rigidities and features of the labour market, social protection, and the education system (broadly defined), which have resulted in a rather

inflexible wage structure, heavy non-wage labour costs, insufficient incentives to work, and a lack of appropriate skills and qualifications, especially at the lower end of the market. These factors have also caused recurrent problems of competitiveness on which attention in Belgium has tended to focus – although these problems are only a symptom of deeper dysfunctions and rigidities in the economy.

As noted in previous *Surveys,*[29] the complexity and long-lasting character of the Belgian unemployment problem call for a corresponding comprehensive, multi-year policy response, integrating reform in the labour market and the social security system with initiatives to make the whole economy more dynamic and responsive to change. As most of the measures discussed below are mutually reinforcing, by proceeding simultaneously on a broad front it should be possible to enhance the efficiency of each measure, exploit synergies and minimise the unavoidable cost of adjustment. On the contrary, if taken in isolation, many corrective measures may fail to translate into additional employment. For instance, tightening welfare programmes and stepping up active policies can be expected to increase incentives to work and improve skills and qualifications at the lower end of the market. However, for employment to actually increase, not only do wage and non-wage costs need to be brought into line with the productivity of these low-skilled workers seeking a job, but employment protection legislation needs to be sufficiently flexible not to discourage firms from hiring. Ideally, the interaction of these measures should add up to a major change in attitude of all players in the labour market – something akin to a socio-cultural revolution.

While such a strategy can be expected to foster non-inflationary growth and increase aggregate real income and welfare, progress in this direction should not jeopardise social equity or political stability. Due attention should also be paid to country-specific factors, in the case of Belgium its tradition of social consensus and equitable income distribution. Hence, the strategy must include, whenever necessary, initiatives to alleviate possible conflicts between equity and efficiency considerations. For instance, a relaxation or abolition of the minimum wage and of the administrative extension of sectoral wage agreements, which would be likely to result in a wider wage structure, might be accompanied by the introduction of employment-conditional (or in-work) benefits – such as a means-tested earned income tax credit. While such a transfer system could be very costly, it should be possible to realise substantial savings in other welfare programmes, as

persons currently inactive acquire a job. In addition, over the longer-term, intensified educational efforts should help to raise the productivity of low-skilled workers towards levels consistent with socially acceptable wages. Nonetheless, while consensus and equity are important policy concerns, ultimately they should not be allowed to stand in the way of sensible labour market reform that needs to be addressed.

This section gives a broad overview of forces acting and labour market policies in the two decades ending in the mid-1990s, with the emphasis on developments which took place towards the end of this period. More recent policy actions are discussed in the next section.

Enhancing the ability to adjust and adapt

The wage formation system

Wages and labour costs have been a major proximate cause of Belgian unemployment. Despite heavy government intervention – such as the recent wage freeze – the problem largely persists in aggregate terms and perhaps even more at the microeconomic level, with a rather inflexible wage structure which may be especially detrimental for low-skilled workers.

In the 1970s and early 1980s, average real wages increased sharply, exceeding productivity gains and weakening Belgium's international competitive position as well as the overall economic and employment performance of the country. While real labour costs soared in most OECD countries in the wake of the first oil shock, the rise in Belgium was significantly greater, and the subsequent process of correction slower than elsewhere in Europe. Wage growth did moderate in the 1980s, as the Government intervened actively in wage formation (see below), but the adjustment of total labour costs was hampered by persistently high employers' social security contributions to support the rising number of unemployed.[30] Even so, real unit labour costs and competitiveness were already largely restored by the mid-1980s, partly through capital-labour substitution and labour shedding.[31, 32] This situation, relatively satisfactory in terms of profits and competitiveness but with real labour costs which seem too high to allow full utilisation of human resources, has broadly continued to the present.

Since the major reorientation of economic policy in 1982 – which included a devaluation of the Belgian franc – the Government has intervened continuously

in the private sector wage setting process. Until 1986, this approach included a real wage freeze and interfering with the automatic wage indexation system[33] or suspending it.[34] In 1987, freedom of negotiation of real wages was re-installed, with the condition that wage increases be compatible with the safeguard of competitiveness. In 1989 the Law on Competitiveness (*Loi de sauvegarde de la compétitivité*) was introduced. This Law was seen by the authorities as a complement to the system of wage indexation and was expected to heighten economic agents' realisation of the importance of wage moderation if competitiveness was to be maintained without depressing employment. The Law, which was in force until recently, required the social partners (*Conseil central de l'économie*) to assess at regular intervals the international competitive position of the Belgian economy on the basis of specific criteria – notably the evolution of the export performance and labour costs – and make recommendations to the Government which, if competitiveness was threatened, could take a number of measures.[35]

The results since the introduction of the Law, on balance, have been mixed, as wage growth has not been sufficiently moderate to preserve competitiveness and employment, and the Government had to step in to correct the situation.[36] In March 1993, the social partners unanimously concluded that competitiveness had deteriorated and since they could not agree on remedial measures, the Government decided to reduce the social security charges of firms in the exposed sector, essentially in manufacturing. To be budget-neutral, this so-called *Maribel-bis* operation was fully financed through a new tax on energy consumption by non-industrial users. The ''global plan'' of November 1993 introduced several additional measures to safeguard competitiveness:

- the system of wage indexation was changed by removing tobacco, alcohol, petrol and diesel fuel from the price index used to calculate wages and social benefits;
- the recently introduced energy tax was also removed from the new price index (''health index'');
- wages were frozen in real terms in 1995-96;
- social security charges of firms exposed to international competition – *i.e.* in manufacturing – were reduced further (in this *Maribel-ter* operation the cuts implemented earlier in 1993 through *Maribel-bis* were increased by 50 per cent).

While the Law on Competitiveness may have contributed to stressing the existence of a powerful external constraint and restraining wage increases, it seems to have been insufficient, especially in periods of slow growth or appreciation of the currency, to offset the rigidities of the Belgian system of full wage indexation and wage negotiations at multiple levels.[37, 38] This system is distinctly out of line with the institutional set up in other European countries where cost-of-living adjustments have increasingly become the *de facto* result of negotiations which, at most, take place on two levels. With slow economic growth, as has often been the case over the past few years, the juxtaposition of wage negotiations at the national, sectoral and firm levels was bound to lead to effective increases in real wages – including wage drift and increases not under collective agreements – in excess of productivity gains. Moreover, the commitment to a hard-currency policy has resulted in a trend appreciation of the Belgian franc in effective terms. With a rapid and full cost-price ''pass-through'', a nominal appreciation should leave the real exchange rate broadly stable. However, since in Belgium the indexation system works with long lags, and costs seem to take even longer to feed through to prices, the economy is vulnerable in the case of an appreciation, with the risk that a higher exchange rate takes the form of a loss of competitiveness and employment, at least during a transition period which may be quite long.[39]

As for the 1993 corrective measures, it is doubtful whether they could have represented a viable solution to the employment-competitiveness problem. Sector specific cuts in social security contributions are inappropriate and go against EU rules, as has been recently reiterated by the Commission which has asked the Belgian Government to abolish *Maribel-bis* and *ter*. The wage freeze is an *ad hoc* measure limited in time, with the risk of an acceleration in wage increases when it expires. The introduction of the ''health index'' is a structural change which represents a step in the right direction but is a second-best choice – the first-best being the elimination of indexation entirely. To some extent, it insulates wage indexation from possible additional increases in indirect taxes and also from a deterioration in the terms of trade since oil shocks will no longer directly affect the index. But, conversely, the favourable effect of a fall in oil prices will also be eliminated.

The focus of official policy having been on preserving international competitiveness in a macroeconomic sense, the microeconomic aspect of high wages has

received much less attention and, despite the persistence of considerable slack at the lower end of the labour market, the wage distribution seems to have remained relatively inflexible. Institutional, legal and contractual features of wage setting – *i.e.* the minimum wage and the administrative extension of sectoral wage agreements – combined with the generous welfare system, have effectively prevented or discouraged the unemployed from bidding for work at lower wages. Through a collective labour agreement (*convention collective du travail)*, in 1975 the social partners decided to introduce a guaranteed minimum monthly income (*revenu minimum mensuel moyen garanti* or RMMMG), which is binding and in many respects equivalent to a legal minimum wage. The 1975 convention has been modified several times. The RMMMG is differentiated by age for workers under 21, and also by seniority in the enterprise. In 1994, the RMMMG amounted to some BF 41 000 per month, representing 58 per cent of the average gross earning of a male worker in industry.

As for the administrative extension of sectoral wage agreements, the Ministry of Employment and Labour can extend agreements between a limited number of firms and unions to the whole sector at the request or one of both of the bargaining partners. Although the authorities are not obliged to comply with requests, they have in practice rarely refused, as most requests originate with both bargaining partners and are considered necessary for social peace. No detailed information is available concerning the share of the workforce covered by extended wage agreements, but the economic implications of the extensions are much greater than indicated by the number of workers directly affected or the number of extended contracts: extensions strengthen the bargaining power of sectoral-based unions, as they know that the employment consequences of high wages will be smaller when all employers in an industry have to pay the same wages. Moreover, the very existence of such provisions is likely to encourage membership in employer federations and thus the coverage of collective contracts, as individual employers have strong incentives to join employers' organisations in order to influence the agreements they will become subject to. Sectoral wage agreements have apparently often included minimum wage scales well above the statutory minimum wage, especially in sectors which rely heavily on low-skilled labour, such as construction. Unfortunately, there are not sufficient data on wage dispersion in Belgium to allow a thorough analysis of this aspect of the labour market. According to OECD Secretariat computations, the

dispersion of earnings over the 1983-88 period increased only slightly, and as a result of gains by the top decile which were not accompanied by losses by the bottom decile;[40] and real wage growth over the 1983-93 period was very similar for low, median and high-paid workers, both men and women.[41]

The combination of high labour costs and effective wage floors is likely to have priced low-skilled workers out of employment. Moreover, the limited responsiveness of wages to local labour market conditions and productivity levels may have contributed to the widening of unemployment dispersion among regions. It is interesting to note that private-sector job creation in the 1980s has been fastest in countries where the relative wage of low-skilled workers has fallen the most, as in the United States, Canada, Australia and Japan.[42, 43]

Increasing the flexibility of employment and working time

Employment security rules can help promote attachment of workers to their firms, thereby fostering investment in skills. However, they may also be a cause of rigidity and make firms more hesitant in hiring. In Belgium, over the 1985-93 period, formal job protection legislation, on balance, was rather strict. This conclusion reached in *The OECD Jobs Study*[44] was based on a number of indicators, including notice and severance pay for no-fault dismissals, difficulty of dismissal, regular procedural inconveniences, and regulation of temporary forms of employment contracts. Regulation was particularly strict for fixed-term contracts and temporary work agency employment. Protection against dismissal was not especially strict: for white-collar workers notice periods were relatively long compared with other countries – especially after a certain level of seniority – but for blue-collar workers notice periods were relatively short,[45] and Belgium has no legislated individual severance pay, either for blue-collar or for white-collar workers.

In terms of several standard indicators, Belgian flexibility at the workplace seems only marginally below the European average. At just over 5 per cent of the total, temporary work is relatively low (nearly 9 per cent for the EU on average) and so is the proportion of persons working Saturdays, Sundays and at home. On the other hand, the share of part-time workers in total employment (nearly 15 per cent) and the importance of teamwork and late-evening or night shifts is broadly in line with the European average.[46] But conditions look distinctly less favourable in terms of labour mobility within the country, which has long been quite low,

apparently reflecting strong cultural and linguistic differences, as well as other factors, such as the non-transferability of private pension rights between enterprises, and high fiscal and notary costs on real estate transactions which may have played a non-negligible role given the large proportion of households owning their dwellings.[47] All these factors have contributed to ''labour mismatches'' (see below) and, combined with an evolving pattern of economic development with new high-skilled jobs being created in already dynamic and prosperous areas, has led to sharp regional differences in unemployment rates between relatively close areas.[48]

With a view to making the labour market more responsive, the ''global plan'' increased the scope for fixed-term contracts,[49] and introduced more flexible notice-periods for higher wage-earners. Private pension rights were made transferable between firms. Another concern of the Government has been to promote labour sharing, and the ''global plan'' included lump sum reductions in employers' social security contributions (BF 100 000 per year) for additional jobs created under company agreements (*plans d'entreprises*) on job sharing. The interprofessional agreement (*accord interprofessionnel*) for 1995-96, concluded by the social partners in late 1994, which gave priority to the defence and promotion of employment, made existing provisions for labour sharing under company agreements more attractive by offering larger reductions in social contributions to firms provided the result is a net creation of jobs. Early in 1995, the Government introduced, on a voluntary basis, a four-day working week in the federal administration and a few other parts of the public sector, with salaries ranging from a little over 80 per cent to around 90 per cent of those for a full-time week. The results of these measures seem to have been limited: the more relaxed rules for fixed-term contracts have been little used, and time-sharing in the framework of *plans d'entreprises* may have created only a few thousand jobs, perhaps because of the relatively bureaucratic aspect of this measure.[50] The four-day working week in the public sector has been accepted by some 10 per cent of federal employees, but as about half of them were already working on a part-time basis, this measure may result in the creation of only some 750 new jobs.[51]

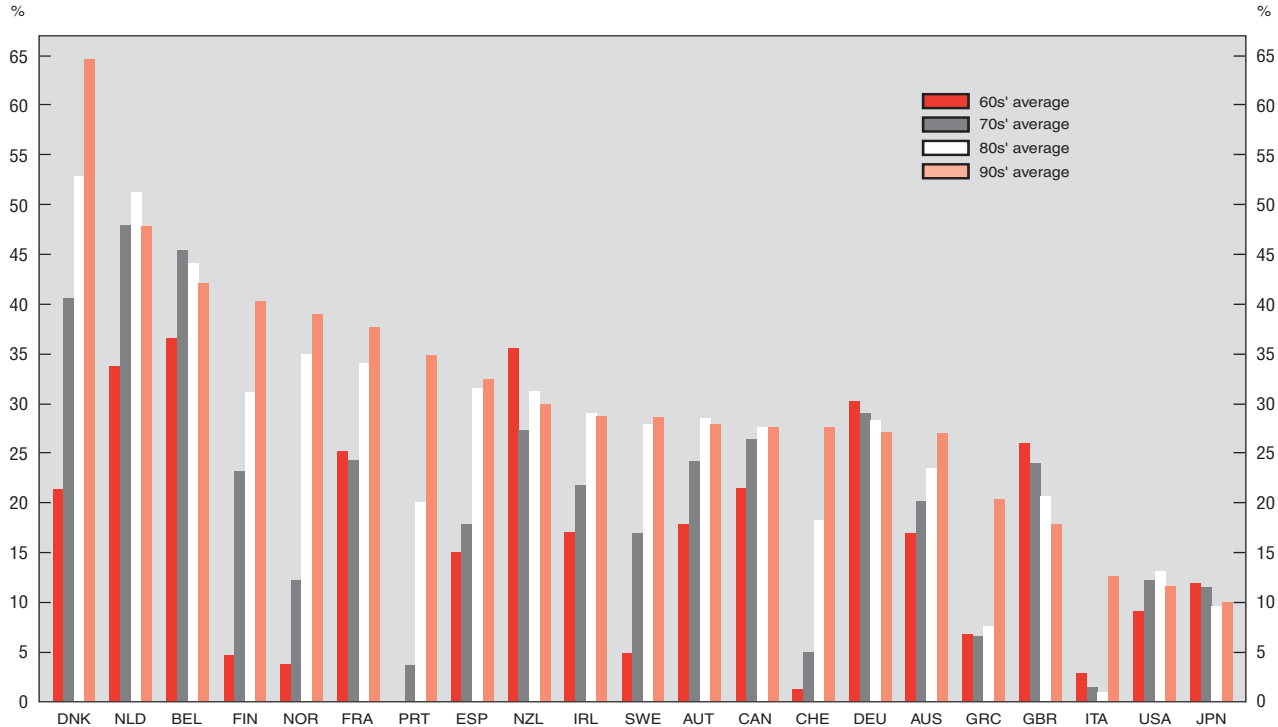
Taxes and transfers

The tax and benefit system influences both the demand side and the supply side of the labour market. As discussed above, welfare programmes increase

labour costs directly through higher employers' social security contributions – although over time, some of this cost may be passed on to employees. In addition, the generosity of these programmes – in terms of eligibility, levels of replacement rates and duration of benefits – by reducing the financial incentive to find a job, encourages inactivity and decreases downward pressure on real wages. In this sense, the Belgian welfare system seems to have been rather generous. According to OECD Secretariat calculations, on a gross (*i.e.* before-tax) basis, unemployment benefit replacement rates for different family groups and duration categories averaged nearly 45 per cent of previous gross earnings in the 1970s and 1980s, and were still above 40 per cent in the early 1990s – the third highest in the OECD area after Denmark and the Netherlands (Figure 17).[52] Replacement rates were even higher on a net basis, that is allowing for taxes (including social security contributions), benefits to children, social assistance, and housing benefits.[53] However, these OECD Secretariat calculations are for unemployed with a professional career of 22 years. Calculations of the Belgian authorities for unemployed with a shorter career show lower levels of gross replacement rates and a reduction of these rates in the past few years as a result of a number of tightening measures which did not concern unemployed persons with a career of more than 20 years (see below).[54]

Until the early 1990s, the Belgian system of unemployment insurance was characterised by long statutory benefit durations and limited decline of benefit rates: for about one third of beneficiaries benefit levels were sustained for an indefinite period. The difference with other European countries should not be overstated, however. In Belgium, the long duration of unemployment insurance benefits forces people to be registered as job-seekers for a sustained period, whereas in similar cases in other countries claimants would drop out of the unemployment insurance system and eventually qualify for social assistance (therefore not counted among the registered unemployed and perhaps not responding as unemployed to surveys). One result of the Belgian system is that, although initial replacement rates are not particularly high compared with other European countries, overall average rates, as noted, are among the highest in the OECD area. The virtually indefinite duration of many benefits may have contributed to the high incidence of long-term unemployment, and in particular of long-term unemployment among women.[55] Unemployment traps – *i.e.* circumstances

Figure 17. **UNEMPLOYMENT BENEFIT REPLACEMENT RATES SINCE THE 1960s**[1]



1. Benefits before tax as a percentage of previous earnings before tax. Countries are ranked in descending order of replacement rates in the 1990s.
Source: OECD database on Unemployment benefit entitlements and replacements rates.

in which people are discouraged from exchanging social benefits for work because the net financial gain is small or negative – may be less important than in some other European countries since in Belgium few social security benefits are means-tested. Nonetheless, unemployment traps seemed to be (and continue to be) relevant for specific categories, notably persons on MINIMEX (minimum social welfare benefit) considering part-time work, youngsters for whom the minimum statutory wage is somewhat below the normal minimum wage and, to a lesser extent, lone parents and heads of households. All this may help explain why even in the late 1980s, when economic conditions had substantially improved, the rate of exit from unemployment declined among the long-term unemployed.

In the early 1990s, with the unemployment problem and fiscal consolidation at the top of the policy agenda, the Government stepped up its efforts to tighten various unemployment schemes, the aim being to redress the ''incentive balance'' between working and not working and hence reduce unemployment – broadly defined to include all persons in special unemployment programs – and its budgetary cost. In 1992, the temporary unemployment scheme and part-time unemployment programme were made financially less attractive both for employers and employees; benefit levels were reduced for people interrupting their careers or interrupting unemployment;[56] and ''abnormally long'' periods of unemployment were subjected to stricter regulations – a measure which, as discussed earlier in this chapter, resulted in the exclusion from the unemployment scheme of a large number of long-term unemployed. Also, the early retirement age was increased from 55 to 56 years. In 1993, the ''global plan'' further tightened the normal unemployment scheme.[57]

Although the impact of these measures on the ''generosity'' of the Belgian unemployment scheme may still not be reflected in OECD Secretariat calculations – which, as noted, unlike calculations of the Belgian authorities, refer to unemployed with a rather long career – they seem to have been rather effective. Despite the economic downturn and the deterioration in labour market conditions, the number of people in most of the special programmes targeted by these measures declined significantly in 1993-95 (Figure 13, Panel D).

While excessive wage increases were one of the major proximate causes – if not ''the'' major proximate cause – of the emergence of the unemployment problem, persistently high non-wage costs – *i.e.* mainly social security contribu-

tions – have greatly hindered the return of total labour costs to levels more compatible with full employment. Employers' social security contributions represented 24 per cent of gross wages in 1979, 26 per cent in 1985, and 34 per cent in 1994, the third highest percentage among OECD countries.[58] Average and marginal tax wedges (which do not include indirect taxes) were also very high by international standards over this period. For instance, in the case of a single person receiving 66 per cent of an average production worker's (APW) income, the average tax wedge was a little over 40 per cent in 1992 – compared with an OECD mean of a little over 30 per cent – and the marginal tax wedge was nearly 50 per cent (Figure 18).[59] As a percentage of APW earnings, the tax wedge was 61 in 1993 (the second highest in the OECD area after Denmark), and 57 in 1978 (also the second highest).

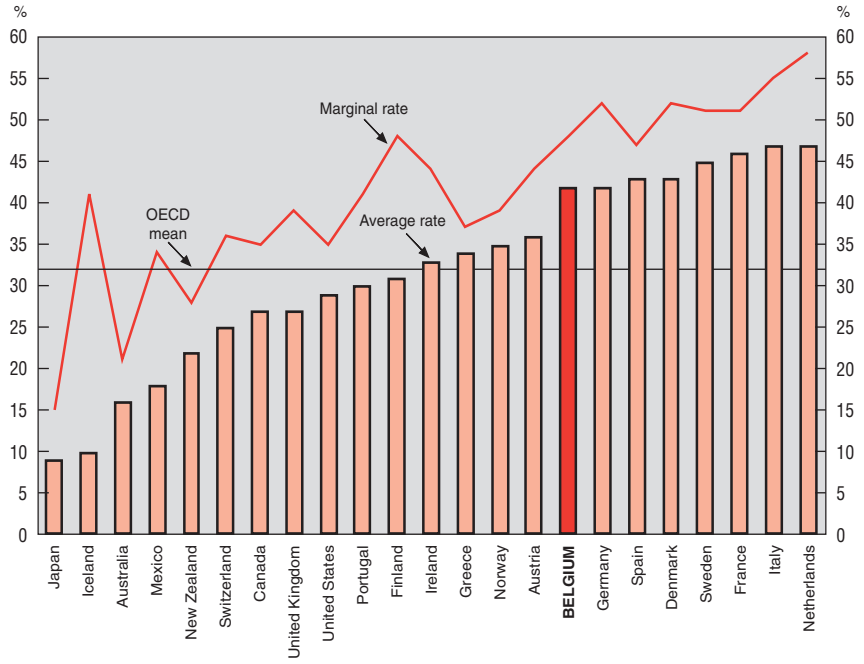
In their efforts to promote employment, since the early 1990s the Belgian authorities have actively pursued a policy of reducing non-wage labour costs. Given the constraint of fiscal consolidation, they have largely relied on a shift from social security contributions to various special contributions on taxable income and indirect taxes – the so-called alternative financing of the social security system. This approach was embodied in the ''global plan'' of November 1993, with cuts in employers' contributions targeted at sectors exposed to international competition[60] and specific labour market groups – *i.e.* low-skilled workers, young people, and long-term unemployed – to maximise the job-creation effect for a given budgetary cost. The mechanical result (or impact effect) has been a reduction in labour costs of around 12 per cent for low-paid workers[61] – that is, workers paid close to the minimum wage – and hence a change in relative labour costs between this and other groups of workers which may have somewhat corrected the microeconomic distortions introduced by the wage setting system. According to the Bureau du Plan this cost reduction, combined with all other measures taken by the ''global plan'', could lead to the net creation of around 30 000 jobs after four years.[62]

Active labour market policies

Over most of the period under consideration, Belgium had a rather unbalanced mix of ''passive'' and ''active'' labour market policies, with the former (income maintenance programmes) accounting for the bulk of public expenditure on labour market programmes.[63] Confronted with the problem of rising unem-

Figure 18. **AVERAGE AND MARGINAL TAX WEDGES IN THE EARLY 1990s**[1]

Single person receiving 66% of an average production worker's income



1. The average wedge is the sum of employees' and employers' social security contributions and personal income tax as a percentage of gross labour costs – gross wages plus employers' social security contributions. The marginal tax wedge is the percentage of any marginal increase in gross labour costs as a result of an increase in employees' and employers' social security contributions and personal income tax.
   Tax and wage data refer to the following years:
   1991: Austria, France, Germany, Iceland, Ireland, Japan and the Netherlands.
   1992: Belgium, Finland, Mexico, New Zealand, Norway, Portugal, Spain, Sweden, Switzerland and the United States.
   1993: Australia, Canada, Greece, Italy and the United Kingdom.
   1994: Denmark.

Source: OECD Tax Equations.

ployment, in the 1970s and part of the 1980s, the policy response stressed passive measures, such as special programmes relieving specific groups – older unemployed, women with children, etc. – of job search requirements and hence effectively withdrawing a large number of persons from the labour force. When they were introduced – mostly in the early 1980s – these programmes were

generally intended to be temporary or a one-off response to the labour market conditions of that time. They also reflected considerations of social solidarity and equity. But far from being phased out, they continued to grow, at least in terms of numbers, even when macroeconomic conditions improved distinctly in the late 1980s.[64] In addition to being rather expensive and entailing an increase in social security contributions, they also reduced downward pressure on wages by limiting the number of job seekers.[65]

During those years, there was relatively little emphasis on active measures – such as retraining, counselling, and matching job offers with job seekers. The performance of the public employment service in filling job vacancies was rather poor, with the average interval between two vacancy offers per unemployed at the public employment service amounting to as much as 20 months – one of the longest spans among European countries.[66] To a certain extent, this lack of regular job offers could be offset by training programmes, but compared with other countries in Europe training programmes were rather small both in terms of participant inflows – less than 2 per cent of the labour force in 1991 – and expenditure – 0.14 per cent of GDP in 1991. Job creation programmes were relatively important, representing some ½ per cent of GDP – the highest in the OECD area. But as places in these programmes were open to any person who had been unemployed for at least 6-12 months and non-participation was rarely penalised, there was little reason to expect job creation programmes to have much effect on unemployment duration.

To redress this imbalance in labour-market policy, active measures became progressively more important in the 1980s. The perception that long-term unemployed often lacked the necessary skills and qualifications led to a number of measures in favour of training and/or retraining, including the ''youth work experience'' (*stage des jeunes*), the ''employment-training programme'' (*convention emploi-formation*), and the ''education leave'' (*congé-éducation payé*). In early 1993, in a major effort to step up active policies, a personalised support plan (*plan d'accompagnement des chômeurs*) was introduced by the Federal Government in co-operation with the Communities and Regions. It concerns the flow of fully-insured unemployed persons aged under 46 who reach the tenth month of unemployment.[67] The aim of the plan is to support the return of the unemployed to the active labour force by monitoring, counselling and retraining. The regional services – which after the institutional reforms to federalise the

country and the restructuring of the national employment service (ONEM) have become responsible for the employment service and vocational training for adults[68] – evaluate the labour market skills of the unemployed person and his/her prospects on the labour market, then provide him/her with a programme for action. Participation is compulsory, and in case of refusal, the claimant's unemployment benefit is suspended.[69] The financing is provided by an employer's charge (0.10 per cent of the wage bill representing some BF 2 billion a year in 1993-94, and 0.05 per cent of the wage bill in 1995-96).[70, 71]

The results of the *plan d'accompagnement des chômeurs* have been mixed. It has covered a fairly large proportion of the targeted group of low-skilled, long-term unemployed – nearly 90 per cent in terms of persons contacted and some 75 per cent in terms of persons actually participating in the *plan (conventions conclues*). Only a few more than 4 000 unemployed refused to participate and hence had their benefits suspended. Also, the authorities feel that their training programmes have been satisfactory and have increased the level of skills of these persons.[72] On the other hand, results in terms of job placement may seem somewhat disappointing, especially in view of the cost of the programme. Few of the participating unemployed have found a job, and after spending six months in the programme, most of them have returned to the normal unemployment scheme. Moreover, the few who have found a job may have ''crowded-out'' less-skilled persons, so that the net job creating effect may have been even smaller. But given the slack conditions which have prevailed in the labour market since the *plan d'accompagnement* was introduced, as well as the rigid wage structure, it might have been difficult to have a more positive outcome. For the time being, the plan may have minimised the increase in unemployment, and its full benefits may be reaped only after the conjunctural situation improves and the labour market tightens or if downward wage flexibility is increased.

The shift in emphasis from passive to active policies resulted in a decline in the proportion of expenditure on passive measures in total public expenditure on labour market policies. However, this trend has largely stalled in more recent years. Reflecting a less buoyant conjunctural situation and a new uptrend in unemployment, the proportion of passive measures, which had fallen from 72 per cent in 1985 to 68 per cent in 1990, rebounded to 71 per cent in 1993, before falling again in 1994, to 67 per cent.[73] While, in absolute terms, expenditure on passive measures has evolved in a counter-cyclical way, expenditure on active

measures has increased steadily, although its composition has changed markedly. For instance, expenditure on direct job creation has fallen from 0.8 per cent of GDP in 1985 to 0.5 per cent in 1994; and spending on training (*formation professionnelle*) has risen from 0.2 per cent of GDP to 0.3 per cent. Despite these trends, expenditure on direct job creation, as a proportion of GDP, remains higher than in Germany, France and the Netherlands; and expenditure on training remains lower than in these three countries.

Increasing the knowledge base, efficiency and innovation capacity

Upgrading skills and competencies

It is generally acknowledged that better skills and competencies – whether acquired through the normal education system, apprenticeship programmes or ''active'' measures – can improve economic performance.[74] Not only can they boost real income and welfare, but also reduce mismatches in the labour market and, over time, raise the productivity of workers at the lower end of the market to levels more in line with a wage structure consistent with equity objectives.[75] During the period under discussion, the Belgian education system – broadly defined to include apprenticeship programmes – seemed to suffer from several weaknesses. But, as a result of the federalisation of the country, since 1989 education has been the responsibility of the Communities, which have often introduced different reforms and followed different approaches, so that it is difficult to present a concise overall view of the Belgian education system and assess its evolution and performance.

Reforms were introduced in the 1970s to create a core curriculum for 11 to 15 year olds but they largely failed to reduce selection, segregation and failure at the secondary school level. Subsequent reforms have included cumulative credits, out-of-class remedial education, and more flexible education cycles.[76] In the early 1990s, still further reforms at the elementary and secondary levels were introduced to identify more easily those with learning difficulties and address their specific needs. Compulsory schooling was extended until age 18, but the upper secondary curriculum was not adjusted to accommodate persons not going on to post-secondary studies. In the early 1990s, at the elementary and secondary levels, 9 and 14 year olds performed badly, relative to other countries, in reading achievement tests.[77] Although training was developed in a number of new occupations, apprenticeship programmes were limited in size and occupational scope.

This absence of a credible vocational education component as an alternative to academic study at the upper secondary and tertiary levels (particularly in the French-speaking Community) seems to have been a major factor behind a high incidence of early school leaving and a large number of students failing to complete their studies at higher levels of education. As a result, a few years ago, slightly more than 40 per cent of labour force participants had not completed upper secondary education or apprenticeship training.

These shortcomings of the broad education system – and of active policies – probably affected labour-market outcomes in several ways, and notably through the low productivity of workers with limited educational attainment, as well as mismatches in terms of skills and qualifications. A very common pattern observed in cross-country studies is the consistently large association between, on the one hand, low educational attainment and low relative earnings and, on the other, high unemployment.[78] Hence, the relatively high proportion of the Belgian labour force without secondary education or apprenticeship training may have contributed to the large incidence of unemployment at the lower-end of the labour market. As for mismatches, the fact that the strong economic recovery of the second part of the 1980s was accompanied relatively more by an increase in vacancies than by a decrease in unemployment seems to suggest that the existing pool of job seekers did not have the right skills and qualifications. In other words, the ''Beveridge Curve'' – showing observed combinations of the vacancy rate and the unemployment rate – recorded an unprecedented outward shift. Surveys by the National Bank of Belgium at that time confirm that firms had increasing problems in hiring staff with required skills.

Product market competition

The issue of product market competition is discussed in detail in Chapter IV. Until 1993, Belgium did not have a very strict and comprehensive competition legislation. Although the openness of its economy – actual and potential – may have provided a check on abuses of market power, some sectors seem to suffer from a lack of competition. The slow pass through of costs into prices reported above also casts some doubts on the level of competition in the economy. Moreover, there are widespread rules and regulations limiting entry in various professions and governing economic activity, especially in many service sectors. Also, until recently, the Government had a large degree of control on public

transport, utilities, and telecommunications. All these factors seem likely to have hindered the dynamism of the economy, with negative spillovers into employment outcomes.

Technology and innovation

Technological progress provides both the opportunity of increasing productivity and real income, and the challenge of adjusting to different patterns of labour demand and heightened trade competition. Policies should accordingly be aimed at improving the ability of economies to create and make effective use of new technologies. In Belgium, as a result of the federalisation of the country, in science policy each authority – *i.e.* federal, regional and community – is responsible for the research falling within its general competence. Hence, the Regions provide the general support for industrial and technological research, and the Communities the general support for basic and university research. The Federal Government remains responsible for the necessary research to perform its own functions, including activities carried out with scientific institutions at national or international level and space research. Co-operation agreements have been concluded between the various authorities, and special bodies ensure the co-ordination of policies, with a view to avoiding duplication and waste.

The main overall objectives of science and technology policy have been to:

- maintain and reinforce the level of basic research;
- improve the links between universities, research centres and companies;
- finance public research institutions and ''impetus programmes'';
- promote Belgium's contribution to international scientific and technological co-operation, especially at the European level.[79]

Since the early 1990s, total – public and private – expenditure on R&D has remained rather stable at around 1.7 per cent of GDP – compared with 2.2 per cent for Belgium's five major European trading partners on average,[80] a little less than 2 per cent for the EU, and nearly 3 per cent for the United States and Japan. Typically, around two-thirds of total expenditure on R&D has been financed by industry and one-third by the public sector. Companies have mainly financed their own internal activities,[81] while public aid has essentially been granted to universities which carry out most basic research. About one-fifth of the public effort has been aimed at basic research, for which the contribution of the Federal Government, the Flemish Community and the French Community have been

broadly at the same level. About 13 per cent of public funds – provided entirely by the Federal Government – have been devoted to space exploration and exploitation. Public financing for industrial research and the promotion of technologies mainly comes from the Regions.

In the early 1990s, the total number of R&D personnel (nearly 39 000) represented a little over 0.9 per cent of the labour force, virtually the same as the EU average but higher than in 1981 (0.8 per cent) and especially than in 1971 (0.6 per cent).[82] Nearly 50 per cent of this personnel was employed in the business sector, over 45 per cent in higher education and the remainder in the public sector and non-profit institutions. The 55 sectoral joint research centres play a special role in the field of R&D in Belgium. Their objective is to meet the specific scientific and technological research requirements of companies, mostly medium-sized ones. Basic technological research and the introduction of new technologies in industry constitute their main field of activity. Most of the income of these centres comes from compulsory contributions from companies in the branch of industry concerned and also from the authorities in so far as exploratory research is concerned. Although high-tech industries generally have a limited weight in total exports, output and employment, they are often at the centre of analysis and policy discussions, the reason being that they generate the new technologies that are subsequently used throughout the economy and that they are often oriented towards exports. In this respect, the position of Belgium seems relatively weak, since high-technology industries account for only 10 per cent of exports of manufactured goods, one of the lowest percentages in Europe and in the OECD area.[83]

Small and medium-sized enterprises (SMEs) are especially important in Belgium since they account for well over 90 per cent of all enterprises.[84] Several policy responsibilities concerning SMEs have been transferred to the Regions (especially as a result of the 1988 state reform), the federal Government retaining responsibility for taxes, social security, employment and regulation of independent professional activities. The aims of Federal policy towards SMEs have included: reducing the administrative burden; providing financial help; and improving the social statute of independent entrepreneurs (for instance, by linking the minimum pensions of independent entrepreneurs to the guaranteed income for the elderly, and increasing the daily allowance in case of disablement). Financial help and venture capital has been provided, through funds or

loans, to encourage the creation of new enterprises by unemployed people; to facilitate the creation, reorganisation and expansion of enterprises; and to enhance the transmission (*i.e.* the continuity) of SMEs.[85] Somewhat similar financing facilities as well as consulting and guidance to would-be entrepreneurs and newly established firms have also existed at the regional level. SMEs have also benefited from cuts in employers' social security contributions and other initiatives taken to support employment and preserve international competitiveness.

Recent policy actions

In October 1995, the Government introduced the multi-annual employment plan (*plan pluriannuel pour l'emploi*) which, in many ways, is a continuation of the employment policy followed in previous years and notably of the ''global plan''. The multi-annual employment plan has five major aims:

- to increase the impact of economic growth on the demand for labour, notably through a reduction in labour costs;
- to promote a better distribution of jobs, essentially by encouraging part-time work, career interruption, and other techniques;
- to help target groups of unemployed, such as the young, older workers and long-term unemployed;
- to improve training, especially of low-skilled workers, in order to facilitate the school-to-work transition or their return to the active labour force;
- to create new jobs, primarily in the non-market services sector, to meet social needs which currently are not sufficiently satisfied.

Monitoring of this plan – partly based on the data from the social balance sheets that enterprises have been asked to supply – has been entrusted to the Higher Employment Council (*Conseil supérieur de l'emploi*), a new body composed of experts appointed by the Government.

Among the various concrete measures already taken, the multi-annual plan has increased the reductions in employers' social security contributions targeted at groups at the lower end of the labour market which were introduced by the ''global plan''. More specifically, the ceiling on monthly pay below which a reduction for low wages is granted has been raised (to BF 60 000).[86] Moreover,

specific exceptions from employers' contributions are envisaged in cases where jobs are created in the health care sector. It has also been decided that the ''recruitment advantage plan'' (*plan avantage à l'embauche*) for the long-term unemployed may be extended beyond 1996, and a new ''reintegration jobs plan'' (*plan emplois rebonds*) has been introduced to grant reductions in social security contributions for the recruitment of a worker aged over 50 who has been registered as unemployed for at least six months. Yet another scheme, the ''first work experience contracts scheme'' (*régime des contrats de première expérience professionnelle*) has been created to grant a monthly bonus (BF 6 000) for employing under the ''on-the-job training programme for the young'' a person who has been registered as a job seeker for nine months. The redistribution of work has been encouraged by making career interruptions, part-time work, and half-time early retirement more attractive. The part-time early retirement and voluntary four-day-week schemes, which have been in force in the federal Government since the spring of 1995, could also be extended to persons with a temporary contract and the armed forces. These measures can hardly be expected to make a major contribution to the correction of the non-employment problem since they are rather limited both in scope and size, and for some of them the net job-creating effect, although very difficult to assess, may be significantly smaller than the gross effect.[87] Moreover, measures in favour of career interruptions (on a full-time basis) may reduce unemployment (''narrow unemployment'') but will also decrease the labour force and the participation rate which is already particularly low.[88]

In addition to these initiatives taken in the framework of the multi-annual plan, the unemployment schemes were modified in early 1996 in various respects, including:

- an easing of conditions under which older unemployed (*i.e.* 50 years old or more) may be exempted from job search, thereby effectively leaving the labour force;
- the introduction of stronger incentives for people interrupting unemployment (*interruption de chômage*);
- a further tightening of rules governing the exclusion from the unemployment scheme on grounds of abnormally long periods of unemployment (article 80).

While the last measure goes in the right direction, the first two measures are unfortunate: they may make unemployment figures more transparent by excluding persons who were not really searching for a job; but they also actively encourage people to leave the labour force – a move which may easily become irreversible. As discussed in Chapter I, the impact of the first measure has already been rather large.

The 1997 budget, presented in October 1996, allocated BF 10 billion to promote employment through cuts in employers' social security contributions, conditional upon net job creation. The actual implementation of most of these cuts (BF 6.3 billion) is to be decided by the social partners and represents the continuation of existing programmes, with a tightening of the job-creation clause to avoid abuses. But some of them (BF 3.3 billion) will be in the area of social services (the so-called *Maribel social*). Other employment-related measures announced in the budget include: a programme of professional insertion (*programme de transition professionnelle*) consisting of one-year contracts for long-term or young unemployed; a service-voucher (*chèque-service*) system targeted to specific sectors;[89] and a revision and enlargement of the *agence locale pour l'emploi* programme.

But in this area, the focus of attention of the Government in recent months has been on ways to reshape the wage determination process, with a view to simultaneously supporting employment and preserving international competitiveness. In the spring of 1996, the Government negotiated with the social partners a ''contract for the future'' (*contrat d'avenir pour l'emploi*). However, as not all trade unions accepted it at the rank and file level, the Government asked Parliament for the special power to legislate by decrees in the area of employment and competitiveness as well as on the 1997 budget and reform of the social security system. With respect to employment and competitiveness, the Government approach, embodied in a law introduced over the summer,[90] includes: a mechanism to keep wage and labour cost growth in line with the weighted average increase in the three major trading partners in the EU – *i.e.* Germany, France and the Netherlands; a further, progressive reduction in employers' social security contributions; stepped-up efforts to redistribute work though reduction in the working week to 39 hours in sectors still working 40 hours, and new work patterns and improved rights for part-timers; better training; measures to

encourage investment, especially in SMEs; and initiatives to curb the ''black economy''.

The aim of the new wage mechanism is to prevent labour cost growth from exceeding that of the reference countries on an *ex ante* basis – *i.e.* on the basis of projections – and, hence, to avoid having to restore competitiveness *ex post*, either through increases in productivity which are likely to entail cuts in employment, or through policy measures such as reductions in employers' non-wage costs. It represents a major change with respect to the old Law on Competitiveness, and is meant to provide an effective check on excessive wage increases resulting from the combination of automatic indexation with the wage determination process on three levels. The linkage of wages to an external standard should act as an upper limit for wage negotiations at all levels – the lower limit remaining, as before, the automatic wage indexation (based on the ''health index'') plus the autonomous wage drift.[91] If actual labour cost increases in the reference countries were to turn out lower than projected or if even the automatic indexation and wage drift alone were incompatible with the external environment, the disposable margin for wage increases in the following years would be correspondingly reduced. In the view of the authorities, this mechanism will give more prominence to wage bargaining at the centralised level which will no longer set minimum targets but rather maximum ones – an important structural break with the past. Also, in an effort to extend the coverage to the microeconomic level, upward wage flexibility is enhanced by giving firms that have increased employment the right to grant an additional remuneration to their employees in the form of profit-sharing, over and above the economy-wide upper limit set for ordinary wage increases. Wage flexibility is further increased by granting firms the right to spread conventional working hours more unevenly over the year, thereby lowering labour costs through a reduction of overtime work – which is relatively expensive – during periods of high activity.

Other recent measures have been much less far-reaching. With respect to science and technology policy the main concern of the relevant authorities has been to maintain research and resources despite the need for fiscal consolidation. At the federal level, the accent has been on research which is likely to bring concrete solutions to problems with important social effects. One of the main objectives of the Flemish Community has been to transform more quickly and effectively the knowledge developed at universities into technologies that can be

used in industry. Hence, active support has been given to the development of co-operation between universities and companies. As for the Brussels-Capital Region, its budget in this area has been essentially devoted to support technological and industrial research and, more recently, the diffusion of technology. The latter objective includes promoting collaborative research between the public and private sectors, increasing access of Belgian firms to EU initiatives and promoting information networks between firms and public actors via the Brussels Technopole Programme. In the Walloon Region, technological R&D has been directed toward increasing regional know-how, enabling companies to improve or develop new processes, products or services.

Current objectives of Flemish SME policy include: stimulating entrepreneurship and supporting enterprises in their difficult starting phase; and giving incentives to existing enterprises to enhance their growth. In this respect, special attention will be devoted to increasing the supply of risk capital, improving the diffusion of R&D results, and reforming existing incentives in order to make enterprises more innovative. Moreover, the simplification and standardisation of administrative rules for independent entrepreneurs and SMEs is on the agenda. The SME policy of the Walloon Region has three priorities: supporting real investment; enhancing the potential of SMEs through such actions as information assistance and management consultancy; and supporting the creation of new enterprises through various institutions, including the modernisation of infrastructure, such as better industrial zones and buildings that enable small enterprises to cluster and grow in an attractive environment. The Brussels-Capital Region has focused on efforts to make SMEs more aware of the possibilities offered by the institutions of higher education in the Region, and to encourage co-operation between SMEs and research centres.

In the area of education both the French and Flemish Communities have been engaged in an effort to simplify and clarify teaching goals; develop more relevant and diversified curricula and teaching methods; and strengthen remedial education as an alternative to repeating years.

Assessment and scope for further action

The size of the unemployment problem combined with the requirement stemming from globalisation and European integration point to the imperative

need for Belgium to have a suitably flexible wage formation process, both at the macro and microeconomic levels. The system in place until recently may have contributed to preserving social peace, but it seemed unable – even after the introduction of the ''health price index'' – to keep increases in unit labour costs, in nominal and local currency terms, below those of trading partners on average, as required by the hard-currency policy, without having to reduce employment to boost productivity or relying on Government intervention. The obvious way forward would have been to liberalise the Belgian wage formation process and bring it more in line with conditions prevailing in other OECD countries by abolishing automatic indexation, reducing the number of levels at which wages are negotiated and, above all, phasing-out direct government intervention. The Belgian authorities have chosen instead to follow a more administrative approach and have introduced a system which is unique in the OECD area.

While the broad lines of the new system may be reasonably clear, a number of points remain to be clarified and decided either by the social partners or, if they fail to reach an agreement, by the Government. In many respects, it is thus premature to offer an assessment. Nonetheless, it would seem that the new system, by setting specific *ex ante* ceilings for wage settlements, should be much more binding than the previous one. A glaring drawback, however, is its heavy bureaucratic apparatus: a rather complex set of rules relying on economic data which are often available only with a lag and are prone to major revisions. Moreover, if it were not for the profit sharing scheme, the new system would seem significantly less flexible at the microeconomic level. Up to now, the goal was to keep average wage and labour cost increases in the private sector within certain limits: at the firm level, indexation provided a floor but there was no statutory ceiling, so that the dispersion of wage increases around the average could be significant. From now on, the economy-wide ceiling and floor will apply to every single wage settlement, so that the dispersion of wage increases will have to remain within this margin which is likely to be very narrow indeed.[92] It remains to be seen to what extent the profit sharing scheme – which is one of the points of the new system to be clarified – will be able to provide microeconomic flexibility – at least on the upside, since on the downside no improvement should be expected. But the fundamental criticism of the new law, which can be formulated already at this early stage, is that it implies more rather than less govern-

ment involvement. Hence, it should be regarded as a transitional measure, to be phased out as soon as the strategy suggested below is implemented (Box 1).

Downward wage flexibility at the microeconomic level and a wider wage structure may be the key to further progress in reducing labour costs and improving employment prospects, especially for low-skilled workers. A relaxation of the minimum statutory wage and curbing or abolishing the administrative extension of sectoral wage agreements are important measures in this area. Some new entrants who are less than 30 years old are currently allowed to start working at 90 per cent of the ''normal'' wage,[93] and minimum wages are differentiated by age – *i.e.* are lower for those under 21 years old. Nonetheless, economy-wide and sector-wide minimum wages and effective wage floors stemming from the welfare system may still price a large number of low-skilled and young workers out of the market. Whenever possible, the Government should encourage a greater differentiation in wage rates by skill and age. As for current extension practices of collective bargaining, even when requested by both bargaining partners, they force individual employers to observe wage agreements that may be at odds with productivity growth at the firm level and that may prove detrimental to employment growth. Several provisional measures could facilitate the transition to a more flexible system: the social partners when negotiating collective agreements should lower the minimum sectoral wage to the minimum statutory wage level; greater use could be made of ''opening clauses'' allowing firms, under certain circumstances, to negotiate with their work force to pay below the minimum set in collective contracts at the branch level; and existing exemptions from the statutory minimum wage could be generalised to employers hiring various target groups – such as older persons, youngsters or long-term unemployed.[94]

If social policy objectives and equity concerns were to be threatened by lower wages they would best be addressed by measures which minimise work disincentives and ''poverty and unemployment traps''.[95] A combination of a wider wage distribution and in-work benefits, such as a means-tested earned income tax credit could help to create employment opportunities for low-skilled workers and people who have prematurely withdrawn from the labour force. Admittedly, even earned income tax credits would raise effective marginal tax rates over a range of the income distribution so that there would still be a trade-off between the goals of reducing poverty or inequality and enhancing work incentives. As much as possible, however, the priority may have to be on

Box 1. **The OECD *Jobs Study* Strategy: Synopsis of recommendations**

The OECD *Jobs Study* sets out a strategy based on nine recommendations for improving the ability of OECD economies to cope with structural change, through enhancing the ability to adjust and to adapt, and increasing the capacity to innovate and be creative. The nine distinct policy areas covered include the macroeconomic policy framework and the creation and diffusion of technological know-how. With respect to labour and product-market flexibility it identified the need for initiatives in the following areas: working-time flexibility, the entrepreneurial climate, wage and labour cost flexibility, employment security provisions, active labour market policies, labour force skills and competencies, and unemployment and related benefits systems.

Over the past few years, the Belgian Government has taken a large number of labour market measures. Most of them have centred around three axes: first, a progressive reduction in non-wage labour costs, with cuts in employers' social security contributions targeted at specific sectors or specific labour market groups – *i.e.* low-skilled workers, youths, and long-term unemployed; second, a redistribution of employment and, in certain cases, a reduction in the labour force, combined with increased flexibility at the workplace; and third, the introduction of new legislation aimed at keeping wage and labour cost growth in line – on an *ex ante* basis – with the average increase in the three major trading partners in the EU, *i.e.* Germany, France and the Netherlands. This law also aims at taking into account, in the bargaining between the social partners, the requirements of international competition and the consequences of structural rigidities.

Some of these measures should contribute to redress some of the causes of unsatisfactory labour market outcomes. But a reduction in the labour force is an unfortunate result in view of the very low employment rate: social security cuts targeted at specific sectors go against EU rules; and the new law on employment and competitiveness increases the already considerable number of rules and regulations stifling the labour market. Further corrective efforts need to be undertaken in a forceful and coherent way, with the overriding aim of phasing-out excessive government involvement in the labour market in general and in the wage determination process in particular. The implementation of the strategy discussed below should allow the phasing-out of the new law on employment and competitiveness, as well as a drastic reduction of the bewildering number of employment programmes. More specifically, the wage formation system must be made more flexible, especially at the microeconomic level, with a wider wage structure. Also, the unemployment insurance scheme and, more generally, the welfare system remain among the most generous in the OECD area, with strong disincentives to return to the active labour market for unemployed and other inactive persons in unemployment-related programmes. Initiative to correct these imbalances should be accompanied by appropriate active labour market policies to provide persons in welfare programmes with the necessary guidance and qualifications. Nonetheless, for some of them – mostly

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persons in programmes for early retirement and older unemployed – the only realistic alternative to inactivity could be work in special social-job programmes.

Increase wage and labour cost flexibility

- *Greater wage differentiation with respect to skills, sectors and firms should be encouraged*. To give unemployed individuals more scope for pricing themselves back into jobs, arrangements concerning the administrative extension of sectoral wage agreements and the minimum wage should be relaxed, with greater use of ''opening clauses'', sectoral wage scales at the statutory minimum wage level, and exceptions to the minimum wage for various target groups.
- *Introduce in-work benefits*. If the above measures were deemed to threaten equity or social goals, these should best be protected through the use of employment-conditional or in-work benefits – such as a means-tested earned income tax credit.
- *Phase out automatic indexation*. As in other Member countries, cost-of-living adjustments should be the *de facto* result of negotiations.
- *Continue to reduce non-wage labour costs*. Despite several cuts in employers' social security contributions (partly through the so-called ''alternative financing'' of the social security system), non-wage labour costs remain higher than in most other OECD countries. Given the constraint of fiscal consolidation and the limited scope for further alternative financing, new cuts should be fully targeted at the lower end of the labour market or at groups of persons with poor employment prospects. Moreover, existing cuts targeted at the exposed sectors of the economy, which are against EU rules, should be retargeted at the lower end of the labour market.

Reform unemployment and related benefit systems

- *Long duration of unemployment benefits remains a hallmark of the Belgian system and the average measure of benefit entitlements is among the highest in the OECD area*. Both should be reduced to increase incentives to work and enhance the employment of low-skilled workers. Recent efforts to reduce the duration of unemployment benefits in specific cases (through the use of article 80) should be pursued and broadened.
- *Job-search controls and benefit sanctions need tightening*, which requires better co-operation and co-ordination between the federal body (ONEM) administering benefits and the regional placement services (VDAB, FOREM, and ORBEM).

Increase working-time flexibility

- *Special unemployment-related programmes – such as ''pré-pension'' and ''chômeurs âgés'' – which result in a full withdrawal of their members from the labour force should be tightened and progressively phased-out.* Unfortunately, recent measures

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have gone in the opposite direction and made some of these programmes more attractive. Hence, the age limit for early retirement, which has been reduced to 55 under certain conditions and for only two years, should be raised again, and this process should be continued. For some of the persons already in these programmes, however, the only realistic alternative to an inactive status could be to join special social-work programmes.

– *Programmes which favour work sharing – such as the part-time pre-retirement programme* – can be accepted, as a second best and for a transition period only, provided they favour an increase in the participation rate and employment (in persons), are voluntary, and do not increase labour costs.

Reform employment security provisions

– *Employment protection – which in Belgium is largely decided by the social partners – should be relaxed*. By reducing the uncertainty and costs of dismissal, such a move could encourage new hiring.
– *Notice-periods should be shortened* for white-collar workers; and for blue-collar workers, short notice-periods already existing in certain sectors should be extended to the entire economy.

Expand and enhance active labour market policies

– *The ''plan d'accompagnement'', and other programmes in charge of active policies should be strengthened and broadened* – for instance, to include persons aged over 46 – in order to provide the necessary skills and guidance to persons affected by other suggested measures – notably a tightening of programmes for early retirement and older unemployed.
– *Pursue recent efforts to evaluate active labour market policies,* as a more flexible labour market can be expected to provide better signals as to the type of skills actually demanded and hence training needed.

Improve labour force skills and competencies

– *Reduce failure at the secondary level education*, since some 40 per cent of labour force participants have failed to complete upper secondary education or apprenticeship training.
– *Monitor the effectiveness of recent reforms of the elementary and secondary education level.*
– *Initiate further reforms* to complement on-going efforts to simplify and clarify teaching goals; diversify curricula and teaching methods; and strengthen remedial education as an alternative to repeating years.
– *Further expand apprenticeship training* though reinforced education-industry partnerships.

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Enhance the creation and diffusion of technological know-how

- *Improve the financial infrastructure which supports the commercialisation of private research*, with a view to enhance R&D and innovation.
- *Nurture an entrepreneurial climate* by, among other things, cutting red tape at all levels of government, which seems to be especially cumbersome for SMEs.

Increase product market competition

- *Provide the recently established Competition Council and other relevant authorities with sufficient staff* to perform their statutory role in the implementation and supervision of the 1993 Competition Act.
- *Entry conditions in the distribution sector should be liberalised*, diminishing the power currently exercised by incumbent shop-owners to limit new entry of outlets.
- *Rules on shop-opening hours should be relaxed*, to enhance both consumer choice and competition.
- *Reassess the regulatory framework* with a view to streamline and liberalise existing rules.
- *Privatisation* of companies in which public ownership remains important – *i.e.* in telecommunications and air transport – should be pursued further.

returning people to the active labour force, lest they become permanently unemployable because of age, obsolete qualifications, or a general loss of attitude to work. Over the longer term, on the job training and life-long education may progressively raise their productivity to levels compatible with more socially acceptable wages. Evidence from a number of countries – including the United States, Germany and Denmark – suggests that the relative earnings of workers initially at the bottom of the wage distribution often increase rapidly over the medium-term. In such cases, initially low paying jobs are equity enhancing.[96]

As virtually no OECD country has yet experimented on a large scale with increased wage flexibility and in-work benefits as a way to create employment and preserve equity goals, it is difficult to foresee with any degree of certainty how this approach would actually work.[97] To form a view, in the case of Belgium more information would be required on a number of crucial points, including: the price elasticity of the demand for labour at the lower end of the job market and

the width of the wage distribution needed to employ currently inactive persons potentially available for work;[98] and the implications for public finance of a shift of persons from a passive benefit situation to low-paying jobs complemented by in-work benefits. But these are very difficult questions and the answers are bound to be highly speculative. Nonetheless, in view of the size of the problem and the urgency of fundamental changes, this should not prevent adopting the strategy outlined here, albeit in a pragmatic and flexible way; and from the outset, these initiatives should include a system of evaluation of results.

It is however doubtful whether increased wage flexibility, even combined with other corrective measures suggested below, would suffice to tackle the problem of massive non-employment among older persons. Since it is probably unrealistic to count on market forces to return most of these persons to the active labour force, the question arises whether it would not be better to encourage some of them – for instance, through a somewhat higher net remuneration – to be active in special subsidised jobs, performing work of social interest in hospitals, homes for the elderly and the handicapped, day-care centres, as well as in areas such as public order, environmental protection, etc. A similar approach might also be appropriate for other target groups of persons who would otherwise be unemployable, such as youngsters with no job experience and lacking the required work attitudes. Given the importance of non-employment among these persons, this approach of direct job creation should go well beyond – both in size and scope – what is already being done with several programmes.[99]

High non-wage labour costs have contributed to very low employment rates for the low-skilled and youths. The reduction of these costs has been the centrepiece of the Government's labour market policy in recent years, largely through cuts in employers' social security contributions compensated by increases in various special contributions on taxable income and indirect taxes (''alternative financing''). While the Government should continue (as it does) to explore ways of reducing social security charges and the tax wedge without increasing the budget deficit, the scope for additional cuts in labour costs and for job creation through this technique may be limited. Further significant increases in most direct and indirect taxes would be inappropriate and might exacerbate questions of income distribution arising from the alternative financing technique.[100] As for cuts in public expenditure, after years of fiscal consolidation the room for manoeuvre may be restricted. Moreover, although calculations are

fraught with difficulties, according to estimates by the Bureau du Plan the employment-creating effects of measures associated with ''alternative financing'' are rather small or, alternatively, the cost of job creation is rather high, especially for untargeted reductions in employers' social security contributions.[101] Since existing cuts targeted at sectors exposed to international competition (*Maribel-bis* and *Maribel-ter*) are unacceptable, they should be retargeted at specific labour market groups – such as low-skilled, youths, and long-term unemployment. This might also reduce incentives to work in the underground economy.

Employment protection legislation in Belgium still has a number of restrictive elements, and labour turnover is very low, resulting in few vacancies open to unemployed people. Strict limitations on the use of fixed-term contracts have recently been relaxed and notice periods have been made more flexible. However, the first measure so far has had little impact, and the second one was limited to higher wage earners. Hence, ways should be explored to further encourage temporary work and, more importantly, for white-collar workers shorter notice periods should be extended to lower wage earners. For blue-collar workers, short notice periods already in force in certain sectors should be generalised to the entire economy. More generally, to encourage firms to hire, job protection legislation should be reduced to a mandatory minimum, leaving it to individual work contracts to negotiate supplementary arrangements. Admittedly, a significant weakening of job protection legislation, while beneficial to long-term employment levels, may entail a contractionary one-off adjustment in employment if implemented during a recession or in periods of slack labour-market conditions, as at the present. For this reason, reforms in this area initially could be restricted to new hires, resulting in a gradual proliferation of the reforms. To further enhance labour mobility, and hence reduce labour costs, fiscal and notary costs of real estate transactions should be reduced.

Through a number of measures and especially the *plan d'accompagnement des chômeurs*, Belgium has made a determined effort to step up active labour market policies and improve the ''quality'' of the supply of labour. So far, however, the *plan d'accompagnement* has not proved an effective instrument for getting people into jobs. In part, this may have been due to the unfavourable conjunctural situation. But the distribution of responsibilities among different levels of Government which do not necessarily share the same priorities may have hindered an effective implementation of this plan.[102] Moreover, as noted in

the previous *Survey,*[103] the design of well-tuned cost-effective retraining programmes is a challenge common to most OECD countries. This challenge may be especially strong in Belgium since its labour market, being relatively inflexible, does not provide clear signals as to the type of skills actually demanded and hence training needed; and even the acquisition of relevant skills may not translate smoothly into employment. Hence, there is the need to make the labour market more flexible, but also to enhance co-operation and co-ordination between the federal body (ONEM) administering benefits and the regional placement services (VDAB, FOREM and ORBEM) in order to strengthen surveillance of job search and availability rules, and penalise the refusal of reasonable job offers (allowing for suitable appeal procedures).[104] Moreover, with a view to facilitate the return of some of the persons currently in special unemployment-related programmes to the active labour force, the *plan d'accompagnement* should be extended to persons aged over 46 and no longer restricted to persons with a low level of education. Admittedly, this could be quite expensive, but the overall strategy discussed here should result in major gains elsewhere: first, because of a decrease in expenditure for existing passive programmes; and second, because of an increase in social security revenues stemming from additional employment. Finally, recent efforts by the Ministry of Employment and Labour to evaluate active labour market policies and virtually all labour market programmes are welcome and should be pursued in a systematic way.[105]

Although Belgium ranks very high for overall initial enrolment at school and higher education levels, the intermediary level of qualification – *i.e.* upper secondary education – of the population aged 25-64 is still lagging behind the majority of OECD countries. Various factors may help explain this situation: the low social status of vocational education; the important wastage rate throughout initial education (repeaters, drop-outs without any formal qualification); an insufficient partnership between educational institutions and employers; lack of incentives due to the compressed wage structure; and a rather uncoordinated and compartmentalised system of adult education. There is thus a need to decrease the number of repeaters and drop-outs which would reduce the length and cost of initial studies. At the level of compulsory schooling, this should entail re-designing the curriculum content by decreasing the number of options, and increasing the incentives facing various actors to ensure that all pupils will master a basic education of good quality. This should be accomplished, in part, by up-grading

the status of vocational education, and preventing it from being used to absorb pupils failing in academic/technical secondary education. Initial and in-service teacher training should be stressed to better prepare teachers to cope with individualisation of the learning process, facilitate the transition from one level or type of education to another, and reduce the variance of outcome between institutions. There is also a need for better dialogue and partnership between, on one side, educational and training institutions and, on the other, employers in order to identify new requirements for skills and competencies, and assess the results of schooling and apprenticeship schemes – especially for 15-18 year old students in part-time compulsory schooling. In the case of Flanders, however, secondary school reform seems to be underway, and the need for reform may be more at the tertiary level, ranging from advanced technical/occupation one-cycle programmes to university degrees.

Recent initiatives have reduced the duration of unemployment insurance benefits in certain cases (through the use of article 80) and have tightened eligibility criteria and the financial attractiveness of various other unemployment-related schemes. Nonetheless article 80 covers only a limited group – unemployed persons aged under 50 who are in a household with a second income earner (*cohabitants)* and have a combined income of more than BF 600 000 – it allows for several exceptions, and can be used only after an unemployment spell becomes ''abnormally long''. Hence, long duration of unemployment insurance benefits remains a hallmark of the Belgian system and, as noted above, the average measure of benefit entitlements is among the highest in the OECD area. Given the high incidence of long-term unemployment in Belgium and evidence from cross-country studies of the link between long-term unemployment and the duration of unemployment benefits, efforts should be pursued to curb the duration of earning-related unemployment benefits, either in the framework of article 80 – revised to widen its scope and speed up its application – or, better, through broader initiatives. Moreover, in order to preserve incentives to work and minimise unemployment traps, the level of unemployment insurance benefits or basic assistance will have to be adjusted in line with any progress that will be made towards a more flexible wage structure.

With a view to raising the very low employment rate for older workers and for the population of working age in general, programmes such as *pré-pension* and *chômeurs âgés,* which result in a full withdrawal of their members from the

labour force, should be tightened and progressively phased-out. Unfortunately, recent measures have gone in the opposite direction and made some of these programmes more attractive. Hence, the age limit for early retirement, which has been reduced to 55 under certain conditions and for only two years, should be raised again, and this process should be continued in line with other European countries – who are also raising retirement ages but from a higher level. On the other hand, programmes which favour work sharing and tend to increase the participation rate and employment (in persons) – such as the part-time pre-retirement programme or a reduction in the work week – are relatively less damaging in the short run. They offer the advantage over the other programmes of keeping their members in contact with the labour market so that, in case of a sustained economic upturn, these part-time workers could easily resume a full-time status. Hence, these forms of work-sharing, although far from ideal, may be acceptable as a second-best policy and for a transition period *(i.e.* until more appropriate measures can be implemented), provided they are voluntary and do not increase labour costs.

To increase the degree of competition in the economy the authorities should make sure that the comprehensive competition legislation introduced a few years ago is duly enforced. This, as a minimum, requires an adequate staffing of the compétition agency (*Conseil de la concurrence*) and other relevant authorities. With a view to making the economy more dynamic, the on-going process of privatisation should be accelerated and the exposure of the public sector to market forces should be increased, notably in those parts of public transport and utilities which have not been fully privatised yet. The Government should also consider reassessing legislation in general with the aim to improve its quality, reduce the burden of red tape, and liberalise as much as possible existing rules, such as those governing shopping hours or entry into crafts and liberal professions.

In the area of R&D and the diffusion of technology there are few clear-cut guidelines. But synergies may be important. While Belgium seems to have substantial capacities in performing basic and pre-commercial research, like most other European countries, it may not have sufficient access to financial facilities and know-how in moving innovations into commercial development. Hence, improving the financial infrastructure which supports the commercialisation of private research may be a crucial condition for enhancing innovation and R&D.

As regards entrepreneurship and SMEs, a positive contribution of the authorities, at all levels, would be to cut red tape which seems to be especially cumbersome for small businesses. It might also be useful to improve information and communication between the authorities and SMEs – for instance, discussing the potential impact on SMEs of draft laws.

IV. Product market competition

Introduction

Like many of its European partners, Belgium faces a number of important structural challenges. Its responses to these challenges are likely to play a decisive role in the future development of the Belgian economy. The first of these relates to Belgium's decision to participate fully in European economic integration. Motivated by EU policy initiatives, Belgium has enacted or is in the process of enacting an array of measures in such areas as air transport, telecommunications, state aids and public sector management. It has also undertaken a major overhaul of its competition policy. These actions will strengthen domestic competition and deepen Belgium's traditionally strong trade and investment ties within Europe, and especially with neighbouring economies. Running parallel to these developments are the measures taken to combat unemployment (see Job Study chapter). The increased product market competition engendered by the first set of measures is likely to play a complex role in Belgium's fight against unemployment. Product market competition will provide the impetus for identifying and developing the emerging activities that will be the source of viable new jobs. Growing competition on a European scale may also undermine the viability of some of the restrictive labour practices described in Chapter III and may therefore provide an impetus for reform. In particular, wage setting practices that allow ''insiders'' to share in rents from imperfect competition in product markets will be more difficult to sustain. But product market reform is also likely to require a movement of labour away from declining industries and firms. Since Belgium's restrictive labour market arrangements may impede the smooth reallocation of labour between and within sectors, this process could aggravate the unemployment problem or, alternatively, the restrictive labour practices could compromise the ability of Belgian firms to compete.

The current chapter describes and analyses the state of product market competition in Belgium and discusses recent policy initiatives affecting competitive conditions in the Belgian economy. The chapter begins with an overview of indicators of competitive and economic conditions. The second section then discusses Belgium's new competition law. The third section describes the other instruments used by the Belgian government to influence product market outcomes. These include public enterprises and state aids. The fourth section discusses the particular application of these instruments to specific sectors including telecommunications, electrical power supply, air and rail transport and distribution. These are areas where problems are thought to exist or where reform efforts have recently been undertaken. The final section assesses product market competition and discusses the scope and need for further action.

Economic growth and competition

Growth performance

Over the past two decades or so, average annual growth of real GDP, at a little less than 2 per cent, has been about half a percentage point lower than the EU and OECD averages (Table 8). But in terms of real GDP per capita, the growth performance of Belgium has been only marginally weaker than elsewhere. What is striking about the Belgian performance over this period is that real GDP growth has been entirely accounted for by increased labour productivity, with virtually no net job creation.

There were sharp divergences in the performance of manufacturing and the services sector. In manufacturing, real growth of value added has been considerably faster than the average of Belgium's seven major trading partners (Table 8). Hence, although productivity growth has also been relatively high, employment has decreased but broadly in line with the major trading partners. On the other hand, in the services sector both real output growth and employment growth have been distinctly below average, especially in public utilities, distribution, restaurants and hotels, transport, and storage and communications. But finance, insurance, business and real estate have been exceptions, with real GDP growth above average though high labour productivity growth implied that employment growth was below average.

Table 8. **Growth performance**

Average annual percentage growth rate, 1979-95

	Real GDP	Real GDP per capita	Employment	Productivity[1]
Belgium	**1.9**	**1.6**	**0.0**	**1.9**
OECD (7)[2]	2.3	1.6	0.8	1.5
United States	2.4	1.4	1.5	0.9
Japan	3.1	2.6	1.0	2.0
Germany	2.6	0.8	1.7	0.9
France	1.9	1.4	0.2	1.8
Italy	2.0	1.9	–0.1	2.1
United Kingdom	1.9	1.6	0.1	1.8
Netherlands	2.0	1.6	1.0	1.0
EU (12)[2]	2.3	1.8	0.6	1.7
OECD[2]	2.4	1.7	0.7	1.6

1. Real GDP per employed person.
2. Arithmetic average of average annual percentage growth rates. The OECD total excludes Mexico.

Source: OECD Secretariat.

Competitive conditions

Like most small economies, Belgium is very open. Indeed, indicators of openness place Belgium among the most open of the OECD economies (Table 9). Overall imports and exports amount to more than 70 per cent of GDP. In manufacturing industries, the import penetration rate is almost 80 per cent and the export intensity more than 80 per cent. This compares with OECD averages of under 40 per cent. Foreign direct investment inflows are valued at almost 4 per cent of GDP. These indicators show Belgium as having the highest or the second highest degree of openness in the OECD area.[106]

Price levels at purchaser values (calculated using purchasing power parities) relative to OECD averages shed light on the extent to which prices in Belgium are high (Table 10). Such price differentials may, in part, reflect the degree of product market competition prevailing in various consumer markets. Of course, other factors (differences in land prices, income levels, labour and capital costs and indirect taxation) affect these differentials as well. Price levels in Belgium were close to the average in the European Union in both 1990 and 1993, but were significantly higher than in the United States (an economy where product market

Table 9. **Sectoral growth performance**

Average annual percentage growth rate, 1979-94[1]

	Real GDP		Employment		Productivity[2]	
	Belgium	OECD (7)[3]	Belgium	OECD (7)[3]	Belgium	OECD (7)[3]
Agriculture	2.1	2.0	–2.1	–2.4	4.8	4.5
Mining and quarrying	–17.6	–0.8	. .	–3.1	. .	2.2
Manufacturing	2.1	1.5	–1.5	–1.2	3.8	2.6
Public utilities	2.2	2.5	–4.2	0.4	7.2	2.2
Construction	–0.2	0.5	–1.5	–0.3	1.3	1.1
Wholesale and retail trade, restaurants and hotels	0.8	2.4	0.1	0.9	0.9	1.6
Transport, storage and communication	2.3	3.6	–0.6	0.5	3.3	3.1
Finance, insurance, business and real estate	4.9	3.2	1.5	3.2	3.6	0.7
Community, social and personal services	3.2	4.1	3.7	3.4	–0.3	0.8

1. 1979-94 where data available, data range from 1980-90 to 1979-94.
2. Real GDP per person employed.
3. Arithmetic average of the average annual percentage growth rates for the following countries: United States, Japan, Germany, France, Italy, United Kingdom and Netherlands.

Source: OECD, *National Accounts,* International sectoral database and OECD Secretariat.

competition is generally thought to be quite strong). Compared to the EU average, price levels in Belgium are particularly high for gross rent and water charges, clothing and footwear, communication and transport services. Transport equipment on the other hand shows a low price level compared to the EU average. It is worth noting that these data also indicate that price levels in Belgium and the United States are converging. Between 1990 and 1993, the average price level in Belgium fell toward that in the United States, while the coefficient of variation of price ratios across products also fell. This implies that there were fewer peaks in the price ratios between the two countries.

Data on the entry and exit of firms[107] provide another indication of the degree of competition, with high entry being associated with more active competition. In an international perspective, Belgium appears to be less dynamic in terms of entry and exit of firms than the United States, Germany, the United Kingdom and the Netherlands, but more dynamic than Japan.[108] In recent years, creation of unincorporated businesses has increased and has outstripped the creation of incorporated businesses (Figure 19). The number of failures was

Table 10. **Indicators of international openness**

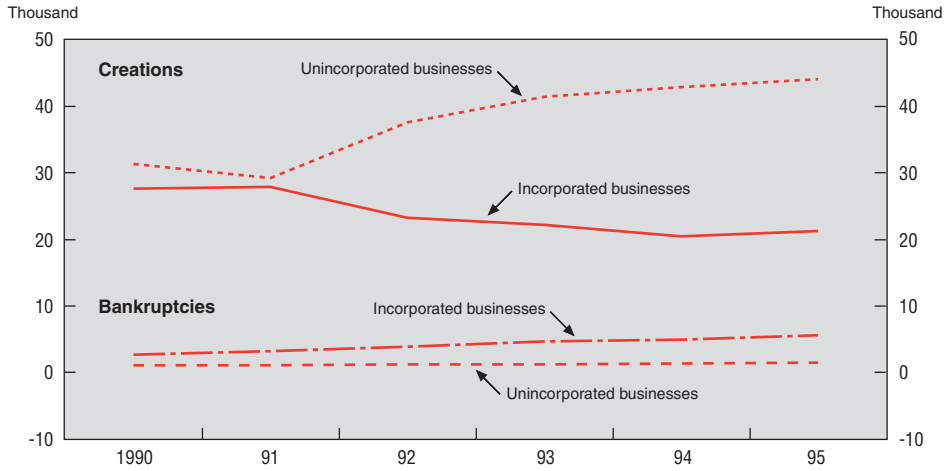
	Imports and exports as a per cent of GDP				Import penetration rate[2] and export intensity[3] for manufacturing industries, per cent 1993		International direct investment[4] flows as a per cent of GDP 1993		Stocks of foreigners or foreign-born population[5] 1993[6]
	Goods 1994[1]		Services 1992		Import penetration	Export intensity	Inflows	Outflows	Per cent of total population
	Imports	Exports	Imports	Exports					
United States	9.5	6.8	2.0	2.7	15.9	12.4	0.5	0.8	7.9
Japan	5.7	8.6	3.7	2.0	5.7	11.6	0.0	0.3	1.1
Germany	18.3	20.6	7.1	4.9	25.4	29.9	0.0	0.6	8.5
France	17.1	17.4	7.1	8.9	30.3	30.2	1.0	1.0	6.3
Italy	14.6	17.1	5.8	5.7	24.9	29.2	0.3	0.7	1.7
United Kingdom	22.4	18.2	4.9	5.6	33.7	29.8	1.5	2.7	3.5
Belgium-Luxembourg[7]	**52.3**	**57.1**	**16.6**	**20.2**	**78.8**	**81.7**	**3.9**	**1.3**	**9.1**
Denmark	23.5	27.3	14.1	18.2	49.5	53.7	1.3	1.0	3.6
Netherlands	37.1	42.1	13.0	13.4	77.2	71.2	2.2	3.4	5.1
Norway	20.8	27.5	18.8	17.5	42.9	34.5	2.0	0.9	3.8
Sweden	26.2	31.0	11.9	10.6	48.3	50.1	1.3	1.1	5.8
OECD average[8]	23.9	24.4	8.1	8.9	39.6	37.2	1.2	0.9	7.3

1. 1993 for United States, United Kingdom, Netherlands and Norway.
2. Import penetration is defined as the ratio of manufacturing imports to apparent consumption of manufactured goods (domestic production minus exports plus imports).
3. Export intensity is defined as the ratio of exports to domestic production of manufactured goods.
4. Reinvested earnings are not included in national statistics for France and Belgium-Luxembourg.
5. Data are comparable across countries to a limited extent due to differences in methodology and definitions. See OECD (1994), *Trends in international migration,* for details.
6. 1990 for United States and France.
7. Belgium only for import penetration, export intensity and stock of foreigners or foreign born population.
8. Unweighted average.

Source: OECD (1996), *OECD Economies at a Glance: Structural indicators;* OECD (1996), *The OECD STAN database for Industrial Analysis;* and OECD (1995), *Services: Statistics on International Transactions, 1970-1992.*

Figure 19. **CREATIONS AND BANKRUPTCIES OF BUSINESSES**

Number of firms



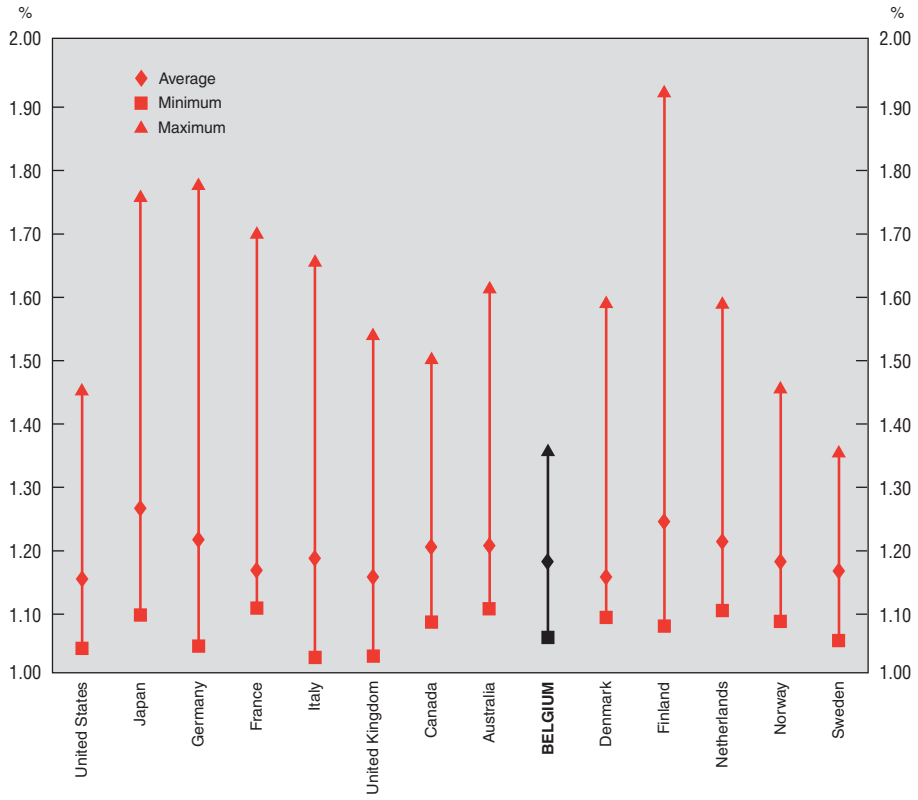
Source: National Bank of Belgium.

also lower for unincorporated businesses than for incorporated businesses, and most creations of both kinds of businesses were in services.

Another indicator of imperfect competition is the mark-up of producer prices over marginal costs (mark-up ratio).[109] A high mark-up ratio may reflect monopoly rents, but may also be related to other aspects of a sector's market structure. This makes it difficult to determine whether high mark-ups do in fact reflect monopoly rents. For example, payments to holders of intangible assets and for recovery of sunk costs also appear in the mark-up. For Belgium, the mark-ups for manufacturing industries show little evidence of competition problems (Figure 20). Mark-ups in service sectors, however, do suggest that competition needs to be increased (Table 11). First, mark-ups in distribution, in restaurants and hotels and in transport and storage are significantly higher in Belgium than in other countries. Second, in two service sectors – ''communications'' and ''electricity, gas and water'' – the mark-up for the 1980-92 period is considerably higher than in the 1970-79 period, suggesting an increase in monopoly power.

Figure 20. **MARK-UP RATIOS IN MANUFACTURING**

1980-92



Source: Oliveira Martins, Scarpetta and Pilat (1996), "Mark-up ratios in Manufacturing Industries", *OECD Economics Department Working Papers,* No. 162, Paris.

The mark-up for communication increased in almost all other OECD countries, but the mark-up for electricity, gas and water was stable over time.

These indicators examined here fail to turn up clear evidence of across-the-board problems in product market competition, but neither do they place Belgium among the OECD economies where product market competition is very intense. The indicators show that Belgium is an open economy so that competitive pressures from abroad are certainly present. The data on comparative price levels

Table 11. **Comparative dollar price levels of final expenditure on GDP**

Main expenditure aggregates, relative to OECD Member countries

		EC = 100			USA = 100		
		1985	1990	1993	1985	1990	1993
Gross domestic product		101	100	99	75	118	108
Private final consumption expenditure		102	103	102	78	121	115
Food, beverages and tobacco	*x*	104	105	98	79	129	108
Clothing and footwear	*x*	120	108	112	99	185	158
Gross rent, fuel and power	*x*	111	117	118	63	105	126
Gross rent and water charges		113	130	128	52	95	125
Fuel and power		108	97	102	118	167	142
Household equipment and operation	*x*	100	104	103	87	126	132
Medical and health care	*x*	76	86	93	39	64	56
Transport and communication	*x*	100	95	95	113	132	134
Personal transport equipment		83	87	95	75	116	118
Operation of transport equipment		104	96	89	185	164	164
Purchased transport services		125	107	118	69	105	113
Communication		134	134	119	94	144	133
Recreation, education and culture	*x*	113	108	105	109	133	139
Miscellaneous goods and services	*x*	106	103	100	92	148	126
Restaurants, cafes and hotels		111	108	102	102	160	180
Gross fixed capital formation		92	95	97	75	140	113
Construction	*x*	92	96	99	74	126	106
Residential buildings		95	104	104	89	143	118
Non-residential buildings		88	88	98	69	116	110
Civil engineering works		93	96	93	56	108	86
Machinery and equipment	*x*	93	95	95	77	157	123
Transport equipment		87	91	82	68	158	112
Coefficient of variation, including the *x*-marked headings		14.0	7.1	6.6	66.3	89.0	76.2

Source: OECD (1995), *Purchasing Power Parities and Real Expenditures, GK Results,* Vol. I.

suggest that levels are high relative to at least one economy where competitive pressures are considered to be intense (the United States). This may indicate lack of competition. But it also appears that the price levels are converging, which suggests that competition in Belgium is intensifying.

Competition policy

Until 1 April 1993, Belgian competition policy was based on the 1960 law against the abuse of economic power. The new law aims at strengthening compe-

tition and aligns Belgian arrangements very closely with European Union law. Large parts of the Belgian law are taken *verbatim* from article 85 (the ban on most kinds of horizontal and restrictive agreements) and 86 (the prohibition of abuse of dominant position) of the Treaty of Rome. The new competition law is, like the EU's law, essentially a law of prohibition, putting the burden of proof on companies (as in most OECD Member countries). The abuse principle that was in place until 1993 put the burden of proof on the competition authorities. Exceptions are allowed if a compelling argument can be made that a given arrangement enhances consumer welfare or promotes production or distribution efficiency or the development of new technology. To date, no sectors or activities have been granted exemptions, but EU-wide exemptions apply.

The new law also subjects mergers and acquisitions to the scrutiny of the competition authorities via a mandatory notification requirement. Mergers or acquisitions resulting in the concentration of more than 25 per cent of the relevant market share and in an entity with sales exceeding BF 3 billion[110] must be notified to the authorities within one week after the agreement has been reached. A decision on merger/acquisition cases must be handed down within one month (from the time a complete file has been established), otherwise notifying parties are implicitly authorised to proceed. Such decisions are based not just on consideration of competition but take into account also other public interests. If found to be unlawful, a merger can be reversed. The merger notification system appears to be in line with other European countries (Table 12). The fine for failing to notify a merger can reach up to 10 per cent of annual turnover of the merging companies.

The law establishes three institutions: the Competition Council, the Competition Service and the Commission on Competition. The Competition Council (*Conseil de la concurrence*) is an independent agency staffed by 12 effective members and 12 alternates, each group consisting of magistrates and experts on competition. The Council is the decision-making entity in the competition law. Its main task is to safeguard and encourage effective competition in the markets. It has the exclusive authority to grant individual exemptions and to authorise concentrations. (The Minister of Economic Affairs is authorised to exempt activities.) Unlike in civil courts, plaintiffs may not terminate the investigation by retracting the case and the Council itself can broaden its activities beyond the initial scale of a case brought to its attention if it sees fit to do so. The Council as

Table 12. **Mark-ups for a selected group of service sectors**[1]

	Belgium	United States	Germany	France	United Kingdom	Netherlands
			1970-79			
Electricity, gas and water	1.17	1.36	1.55	1.58	1.38	. .
Construction	1.20	1.14	1.21	1.18	1.22	1.11
Wholesale, retail trade, restaurants and hotels	1.88	1.26	1.40	1.50	1.32	. .
Wholesale, retail trade	1.91	1.29	1.43	1.52	. .	. .
Restaurants and hotels	1.85	1.21	1.26	1.48	. .	. .
Transport, storage and communication	1.54	1.31	1.32	1.38	1.22	. .
Communication	1.23	1.61	1.67	1.39	. .	. .
			1980-92			
Electricity, gas and water	1.52	1.34	1.39	1.50	1.34	1.25
Construction	1.26	1.17	1.23	1.19	1.25	1.06
Wholesale, retail trade, restaurants and hotels	1.80	1.25	1.34	1.48	1.37	1.45
Wholesale, retail trade	1.82	1.28	1.39	1.52	. .	1.55
Restaurants and hotels	1.75	1.24	1.18	1.40	. .	1.48
Transport, storage and communication	1.68	1.33	1.35	1.39	1.25	1.45
Communication	1.62	1.68	1.75	1.57	. .	. .

1. Where data is missing either no data were available or the estimated mark-up was not statistically significant. The estimates are adjusted for material inputs and are net of indirect taxes.

Source: OECD Secretariat.

well as the Minister and the Competition Service can also initiate investigations. Decisions of the Council may be appealed in court, but an appeal procedure does not suspend the verdict of the Council.

The Competition Service, within the Ministry of Economic Affairs, is in charge of the investigations. It submits reports to the Council with its conclusion and its proposal for a decision. Any decision by the council is executed by the Service. Finally, the Commission on Competition plays a consultative role in both specific and general matters and mainly represents the specific interests of industry and consumers. Its 24 members consist mostly of representatives from trade unions and employers' organisations. It can add material to the file being considered by the Competition Council and it can conduct its own investigations.

In summary, the 1993 law and the institutional framework provide a solid basis for competition policy. It puts Belgian competition law in the mainstream of European competition practices and should allow the Belgian competition authorities to create a seamless competition environment for Belgian firms, where

the same competition statutes apply regardless of whether transactions are conducted on a domestic or European scale. The chief problems are with implementation. So far, the institutions that enforce the law have suffered from a lack of resources. For example, all the members of the Council have full-time obligations elsewhere in addition to their competition enforcement responsibilities. This lack of resources may prevent the institutions from playing a sufficiently active role.[111]

The instruments of public intervention in product markets

The discussion of competition indicators above shows that large parts of the Belgian economy are open to competition. As in nearly all OECD economies, however, important sectors are sheltered from it. This section describes the instruments used by both local and federal governments for regulating or influencing outcomes in product and service markets. Some recent changes to these instruments – especially relating to the control of public enterprises – are also discussed and assessed. In addition to an array of regulatory restrictions (applying notably to distribution), the instruments include public ownership in certain services via the so-called *Entreprise publique autonome* and state aids.

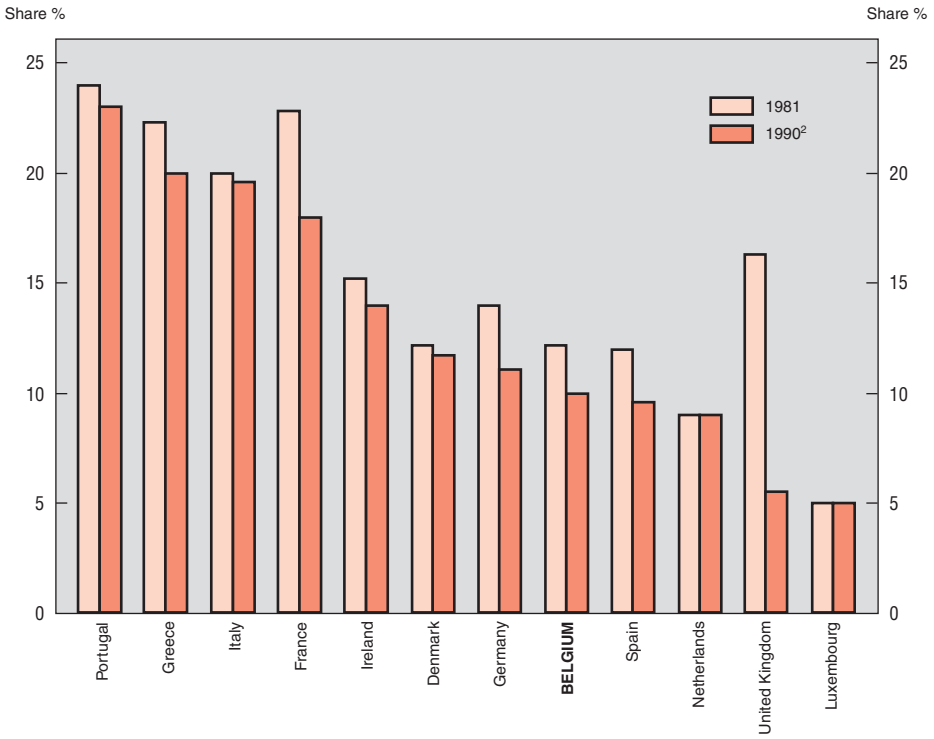
Public ownership

The wave of deregulation and privatisation that has swept much of the OECD area has only recently reached Belgium. The slow pace of reform in Belgium may be partly due to the fact that public ownership was relatively light (Figure 21). Belgium has never had a tradition of state participation in the goods market, in high technology, in automobiles or in naval construction through publicly-owned enterprises and certainly not on as vast a scale as could be observed in other countries. There were a few sectors where state participation was important. One of these was coal, but the last mine was closed in 1992. The financial sector was another. Currently, in terms of employment, the majority of the publicly owned enterprises in Belgium are in transport, postal services and telecommunications (Table 13). Employment in the non-financial public enterprise sector is about 130 000 or 3.5 per cent of total employment.

In recent years, the government has sold some of its stakes in various formerly publicly owned enterprises. The most substantial sell-off was the

Figure 21. **THE EVOLUTION OF PUBLIC ENTERPRISES IN THE NON-AGRICULTURAL BUSINESS SECTOR**[1]

1981-90



1. Arithmetic averages of shares in total employment, gross fixed capital formation and value added.
2. Preliminary estimates.

Source: CEEP (European Centre of Enterprises with Public Participation) (1993), "Les entreprises à participation publique dans l'Union européenne", *Annales du CEEP,* Brussels.

49.9 per cent of all shares of Belgacom in December 1995, worth BF 73 billion. All other privatisations were also partial, except for two, the *Société nationale d'investissement* and the *Crédit à l'industrie*. They all concerned financial companies and institutions and privatisation revenues amounted to about BF 56 billion. The government participates only indirectly in these financial companies via the holding *Société fédérale de participations* (SFP). These companies have stakes in various sectors, including energy. Despite current minority stakes in

Table 13. **Basic structure of legislation and enforcement of competition policy**

1995

	Basic Structure[1]		Mergers[2]		Power of enforcement[3]
	Abuse of dominant position/ monopolisation	Restrictive agreements	Compulsory notification	Assessment criteria	
United States	Pro	Pro	Yes	Comp	C&F
Japan	Pro	Pro (E)	Yes	Comp	C&F
Germany	Pro	Pro (E)	Yes	Comp	F
France	Pro	Pro (E)	No	Pub	F
Italy	Pro	Pro	Yes	Comp	F
United Kingdom	C	C	No	Comp&Pub	F
Canada	C	Pro	Yes	Comp	F
Belgium	**Pro**	**Pro (E)**	**Yes**	**Comp&Pub**	**F**
Netherlands	Pro	Pro (E)	Yes	Comp	F
Norway	C	Pro (E)	No	Comp	F
Sweden	Pro	Pro (E)	Yes	Comp&Pub	F
Switzerland	Pro (E)	Pro (E)	Yes	Comp	F

1. Pro: Prohibited.
   Pro (E): Prohibited in principle, but with possibility of exemptions.
   C: Case by case treatment with no presumption for or against.
2. Comp: Criteria for assessment used are only competition related.
   Pub: Criteria for assessment used are broader public interest considerations (regional policy, social policy, national defence).
3. C: Authority has powers to impose criminal penalties.
   F: Authority has powers to impose fines.

Source: OECD Secretariat.

some of these enterprises, the government kept a veto-right for essential decisions on energy policy (price and delivery of energy, change of structure of enterprises).

Entreprises publiques autonomes

Competitive forces are generally lacking for publicly-owned enterprises providing government services. Often the services are financed out of general tax revenues, and the link between costs and prices of government output is typically absent. The absence of strong competitive pressures could cause inefficiencies, excessive salaries or overstaffing, as well as poor service, high prices and a narrow product range. Belgium has only recently attempted to implement advances in public sector management that might improve performance. In some areas, EU initiatives have established the pace of reform. Belgium has been

complying fully with these initiatives, while adopting a fairly conservative style of liberalisation.

A law of 21 March 1991 introduced a new legal status, called *Entreprise publique autonome* (EPA). The law provided the basis for the restructuring of four public services that had previously been organised as government departments. Those four services are Belgacom (formerly *la Régie des télégraphes et des téléphones,* RTT), *la Poste* (formerly *la Régie des postes*), Belgian National Railways (*la Société nationale des chemins de fer belges,* SNCB) and the Airport Authority (*la Régie des voies aériennes,* RVA, responsible for managing the non-commercial part of Brussels airport and for air traffic control). The most noteworthy feature of the new status is the distinction it seeks to draw between the EPAs' public service activities and competitive market activities. According to the philosophy underlying the EPAs, a public service is one whose provision is deemed to be in the general interest, so that general welfare is enhanced if it is offered on a non-discriminatory basis at affordable prices. In principle, the competitive market activities of the EPA are subject to normal market competition. Although these activities might also be subject to a certain amount of public control and regulation (*e.g.* licensing, environmental and safety regulation), this regulation would not, under this approach, focus on public service objectives and cross-subsidisation by market activities of public service activities or *vice versa* would, in principle, be eliminated.

Of course, it is not always easy in practice to draw a sharp line between public service activities and competitive market activities. For EPAs, the boundary between the two is defined in a performance contract or *contrat de gestion* (CG). In this respect, Belgium's public sector reform efforts resemble those of several other countries that have been experimenting with new forms of contracting for public services. The CG specifies performance and management objectives to be met over a period varying between three and five years with respect to public services. The precision of the CG varies, depending on the sector and on the detail of the law creating the EPA. For example, the CG for Belgacom specifies detailed numerical targets in such areas as investment, digitalisation of the network and the number of installed public lines per inhabitant. The first CG for *la Poste*, however, did not specify any statistical performance indicators, while the second contract (signed recently) is much more precise. In addition to performance and management objectives, a contract might specify

rules for setting rates, financial flows and standards for service quality. *La Poste,* for instance, has to install a minimum of one mail box per community and has to collect mail at least once a day according to its CG.

The CG is negotiated between the Ministry responsible for the EPA and the EPA itself.[112] The contents of the contracts are also influenced by the EU's regulatory framework. For example, the EU requires (or will require) a certain amount of transparency in the cost accounting for electricity, telecommunications[113] and transportation[114] and imposes a clear definition of public service obligations and entry conditions in competitive areas. The effectiveness of any type of contracting arrangements depends on enforcement possibilities and the CGs are no exception. The CG is enforced, in the first instance, by the Ministry having oversight authority for the EPA (the *tutelle*). Since, in all cases, the Belgian government is either the EPA's sole shareholder (*la Poste, SNCB, RVA*) or a majority shareholder (Belgacom), the power the state wields via its seats on the board of directors is considerable. In particular, the *tutelle* has significant powers to remove the EPA's top management if it is dissatisfied with performance. Indeed, in some respects, the CG overlaps with the government's control role as the EPA's majority shareholder. The CG is also presumed to be enforceable in the courts, although this has never been tested.

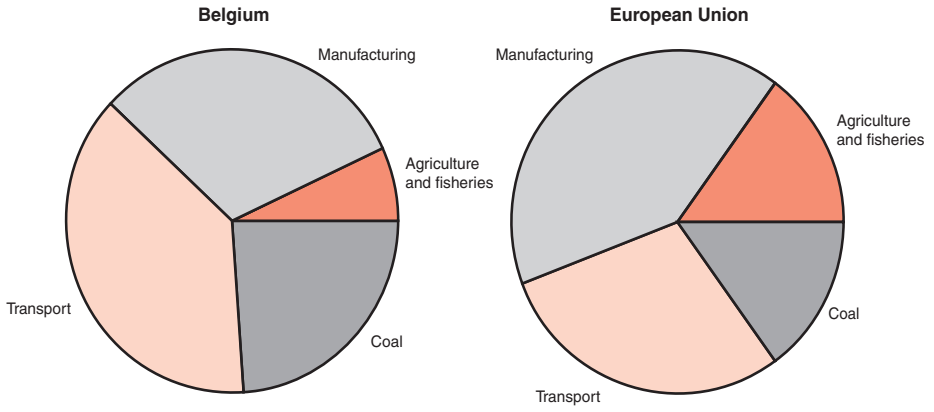
Other regulatory and control arrangements have also been evolving rapidly in parallel with the creation of EPAs and their associated CG. These developments have reflected liberalisation activity at the EU level or Belgium's own efforts to reform public services. Within the emerging sectoral and regulatory frameworks, the respective roles to be played by statutory regulation and the CGs are still being worked out. It seems likely that the CG will find a niche for itself as an instrument of government control. In theory, the CG has the advantage of being more public and transparent than the decision processes of an EPA's board of directors and more flexible than statutory regulation. However, the effectiveness depends on the objectives specified in the CG, the quality and independence of the control body and the available enforcement possibilities. In any case, the range of control instruments available to the Belgian government has been extended and refined with the CGs. But, looking across both sectors and policy instruments, it is clear that the regulatory framework for most public services is still in a state of flux in Belgium and that certain instruments will either come to dominate or to wane as a function of evolving conditions in particular sectors.

State aid

Since 1989 the role of state aid in Belgium has changed as an instrument of government intervention in the economy. As harmonisation of competition and trade policies at the EU level proceeded, state aid emerged as a key impediment to fair competition. EU directives constrain the type of state aid that can be offered and a system for monitoring state aid in the EU has been put in place. In addition to these developments, Belgium's domestic policies have played a role. Among others, the 1992 Convergence Plan for fiscal consolidation reduced aid programmes.

As a consequence, the level of state aid has diminished. Since the mid-1980s, overall aid in the European Union as well as in Belgium has declined.[115] However, on most indicators Belgium still has a level above the EU average (Table 14, Panel A). The pattern of state aid in Belgium is somewhat different from the EU pattern (Figure 22). Belgian aid is relatively more focused

Figure 22. **COMPONENTS OF STATE AID IN BELGIUM AND THE EU**
Per cent of total, average 1990-92



Source: European Commission (1995), *Fourth Survey on State Aids in the European Community in the Manufacturing and certain other Sectors,* Brussels.

Table 14. **Publicly owned enterprises**

June 1996

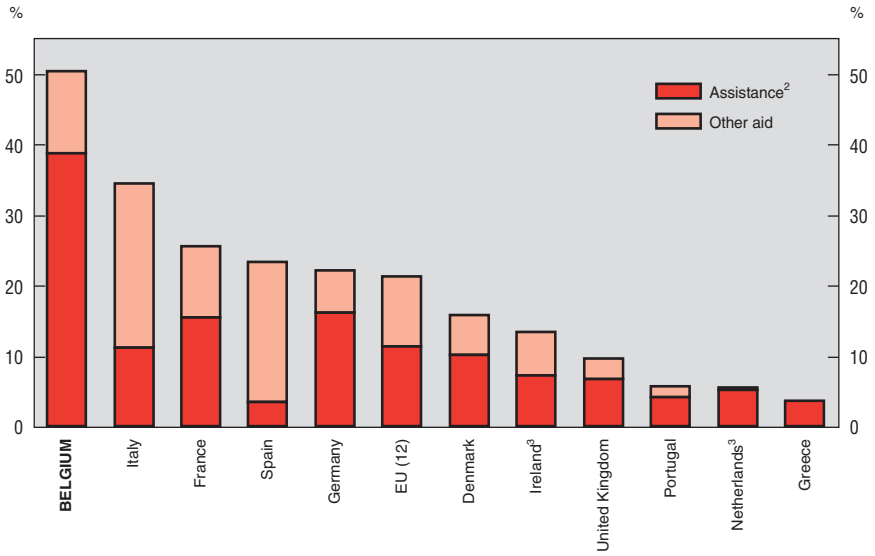
State company	Nature	State participation (per cent)	Persons employed (December 1994)	Net profit (million BF) 1994
La Poste	Mail	100	47 636	1 051
Société nationale des chemins de fer belges (SNCB)	Railway	100	42 729	–1 340
Belgacom	Telecommunications	50.01	26 885	9 742
Sabena	Air transport	50.5	10 049	–1 225
Régie des voies aériennes (RVA)	Exploitation of the national airport	100	1 586	255
Régie des transports maritimes (RTM)[1]	Maritime transport	100	1 462	–1 847
Société fédérale de participations (SFP)	Holding, with stakes in finance and insurance	100	. .	. .
Caisse générale d'épargne et de retraite (CGER)		. .	9 377	4 084
Banque	Finance	49.9[2, 3]	. .	. .
Assurance	Insurance	49.9[2, 3]	. .	. .
Office central de crédit hypothécaire (OCCH)	Mortgage	100[2]	357	. .
Caisse nationale de crédit professionnel (CNCP)	Finance	74[2]	271	256
Société fédérale d'investissement, filiale de la SFP (SFI)	Holding	83[2]	. .	. .
Zephyr-Fin	Financing vehicle for Sabena	100[2]	. .	. .
Crédit communal de Belgique (CCB)[4]	Finance	100	3 695	7 344

1. The RTM will be dissolved in the course of 1997.
2. State participation through the *Société fédérale de participations* (SFP).
3. The government intends to reduce its participation to 25.1 per cent in the course of 1997.
4. The capital of the *Crédit communal de Belgique* is held by the communes and provinces of the country. After a restructuring in the second half of 1996, one third of the public participation has been privatised.

Source: Vincent (1995), ''Entreprises et holdings publics fédéraux : restructuration et privatisations 1992-1995'', *Courrier hébdomadaire,* No. 1488-1489, Centre de recherche et d'information socio-politiques, and Ministry of Finance.

Figure 23. **STATE AID TO RAILWAYS AND INLAND WATERWAYS**

Per cent of gross value added,[1] 1990-92



1. Gross value added was not available for all years. Missing data were estimated.
2. Assistance in meeting social obligations and interest liabilities.
3. Aid figures are expressed as a percentage of value added in the whole transport sector as no separate figures are available for railways.

Source: European Commission (1995), *Fourth Survey on State Aids in the European Community in the Manufacturing and certain other Sectors,* Brussels.

on transport and coal (although the last colliery was closed in 1992) and little on manufacturing and agriculture. Manufacturing aid as a share of overall state aid is relatively small, but as a share of manufacturing value added in Belgium it is still larger than in most other EU Member states: 4.3 per cent as opposed to an average of 3.7 per cent in the 1990-92 period (Table 14, Panel B). Work done by the OECD Secretariat shows that, since 1989, support to the manufacturing industry has fallen by 30 per cent in real terms. Also the structure of aid has changed. The policy focus changed from a sectoral approach to one aimed at regional development and research and development. Institutional reforms have

boosted the role of regional authorities in the distribution of state aids. In 1993, the amount of aid distributed by regional authorities approached that given at the federal level, whereas in 1989 two-thirds of total state aid to manufacturing industries was provided by the central government.

Although social obligations and inherited liabilities account for most of the aid given to railways and inland waterways, aid as a per cent of value added in these sectors remains extremely high in Belgium (Figure 23). As far as coal mining is concerned, it should be noted that the last colliery was closed in 1992. Over the 1990-92 period, coal aid amounted to 24 per cent of total state aid, of which only 7 per cent was destined for current production. This aid targets the sector's former employees and is designed to soften the social impact of this industry's decline.

Competition in specific sectors

The analysis of indicators provided above fails to turn up strong evidence of anti-competitive practices for the Belgian economy as a whole. Yet, in Belgium as elsewhere, there are specific sectors where barriers to competition are erected by policy. These policies often target what may be legitimate needs (*e.g.* protecting public safety, off-setting the market power of natural monopolists) which justify some form of public intervention in the marketplace. But it is also clear that firms operating in these markets have a vested interest in diverting intervention policies to their own advantage. Moreover, intervention may often be costly in terms of reduced efficiency. Furthermore, technological change may eliminate the need to intervene or alter the nature of appropriate intervention. Thus, public intervention in the market place, if it is to be successful, must be subject to constant review to determine the costs of intervention and whether its objectives have not been deflected by vested interest or whether innovation and technical change has not rendered it obsolete. Box 2 illustrates the principles of regulation and ownership in network based industries. This section provides a review for a certain number of sectors where government intervention through regulation and public ownership is important. These include electricity, telecommunications, air and rail transport, postal services, distribution and professional services.

Box 2. **Efficiency aspects of network based industries**

Natural monopolies. The traditional theory of regulation rests on the belief that regulation serves the public interest by correcting some form of market failure, typically natural monopolies. If economies of scale are important, unregulated competition could quickly lead to the elimination of competitors, leaving only a monopoly. This is likely to occur in the rail, gas, electricity or parts of the telecommunications sectors and has led to stringent regulation or nationalisation of companies operating in these industries in most OECD countries. However, the importance of natural monopolies has declined due to technical progress (except for electricity and gas grids) and improved regulatory techniques, but monopolies have persisted in some countries. In addition, in most of these industries natural monopoly arguments only apply to the networks, but not to service provision. Therefore, many countries have opened to competition and privatised at least parts of the industries and re-regulated the provision of network services. A competition-friendly regulatory environment would include, among other elements, the guarantee of access on fair conditions to networks for all potential providers of inputs or services and regulations that do not impede competition among networks which are close substitutes.

Pricing and investment. Network infrastructure provides capacity (and sometimes quality attributes). If network services are wrongly priced, users will under or overuse networks, which will lead to congestion or underuse of networks, entailing a difference in private and social costs of the network. Regulated private or public operators of networks should set prices so that users pay prices in line with social cost (pricing rule). An optimal amount of investment will be achieved if capacity is raised to the point where the marginal social benefits from raising investment equals marginal social cost (investment rule). Correct pricing is a prerequisite for making efficient network investment and undistorted supply and demand decisions. Concerning the latter, cross-subsidisation of services was common in some network sectors. In recent years, greater transparency in accounting methods has been achieved by separating the accounts between different aspects of integrated firms' operations.

Public or private provision. In general, private provision is preferred over public provision to let market mechanisms enhance efficiency and to avoid the risk of government failure. However, where charging systems are difficult to devise, provision will need to be public. In addition, long gestation periods, break-even points far in the future, indivisibility and irreversibility imply a high risk to private investors and can make it difficult to achieve socially optimal network sizes. However, this does not necessarily imply public ownership, but can probably be remedied in most cases with a low degree of intervention. Also public service arguments (universal service provision could have positive externalities) do not necessarily militate for public ownership, but rather for an appropriate regulatory framework.

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Government failure. The traditional theory of regulation takes it for granted that policies can serve the public interest by correcting some form of market failure. However, social welfare maximisation is seldom the sole criterion for managing regulations or running public firms. Public provision has often meant that public companies were overburdened with conflicting objectives, which had little to do with their business. In some cases, their performance was also undermined by lax monitoring by the government. For several other reasons, regulation or public ownership can create, rather than eliminate, inefficiencies. For example, well-organised groups will tend to benefit more from regulation than broad, diffuse ones, such as consumers and taxpayers, and badly designed intervention and regulatory constraints could lead to the provision of services which fail significantly to minimise cost. Such problems appear to arise often, where the government is the owner and regulator at the same time.

Electricity

The Belgian electricity industry has traditionally been a private sector activity.[116] Until 1990, four companies were generating electricity. In 1990 three of the four firms merged and created a single firm, Electrabel, which is now by far the dominant actor in all stages of the industry (generation, transmission and distribution). Electrabel currently accounts for 93 per cent of all electricity generation. Everyone is allowed to produce for their own consumption and to sell any surplus to third parties or back to the grid at tariffs set by the Committee for Control of Electricity and Gas (CCEG). However, such ''auto-production'' accounts for only 3 to 4 per cent of total electricity generation. Similarly, Belgium imports electricity from neighbouring countries. The publicly-owned *Société coopérative pour la production d'électricité* (SPE) also plays a role, both as an independent producer and, especially, as a partner to Electrabel, in energy-related infrastructure projects. This role is set to grow over the next decade as Electrabel and SPE jointly embark on the expansion and modernisation of Belgium's generating and transmission infrastructure. SPE's participation in this programme is expected to increase its share of generation to 15 per cent in 2005 (up from 3 per cent in 1994).

Co-ordination of the production and transmission of electricity is the responsibility of the *Coordination de la production et du transport de l'énergie électrique* (CPTE), in which Electrabel and SPE are associates. In Belgium, municipalities have a legal monopoly on distribution of electricity to residential and small business clients in their area and this is a major source of municipal income. The *communes* are free to organise this distribution as they see fit, either on their own (*Régies communales*) or in co-operation with other municipalities (*intercommunales pures*) or in partnership with private companies (*intercommunales mixtes*). The market share of the *intercommunales mixtes* has amounted recently to 80 per cent of all distributed electricity. In all cases, the private partner of the *intercommunales* is Electrabel. Thus, Electrabel has a commanding position in virtually all aspects of the electrical power sector in Belgium. It was also the most profitable company listed on the Brussels stock exchange in 1993 and 1994.

Pricing in both electricity and natural gas is controlled by a private regulatory organisation, the Control Committee for Electricity and Gas (CCEG). CCEG is charged with ensuring that technical and economic developments and tariffs in the electricity and gas sectors are in the public interest and in line with general energy policy. It issues policy recommendations, which the producing and distributing companies have, at least to date, always followed. The Committee's recommendations regarding tariffs are given official status by royal decrees, which make them legal maximum prices. The voting members of the Committee consist of representatives of the three largest trade unions and the largest employers' organisation. The so-called ''responding'' members are the public and private companies and institutions involved in generation, transmission and distribution of both gas and electricity. Small businesses and households have no representation on this Committee. The Committee's staff and expenses are paid by the electricity producers. The Committee received a new term of reference in 1995 designed to make it more flexible. It has been given a legal status and the public authorities have been given a more active role (they can now sponsor proposals and can suspend Committee decisions).

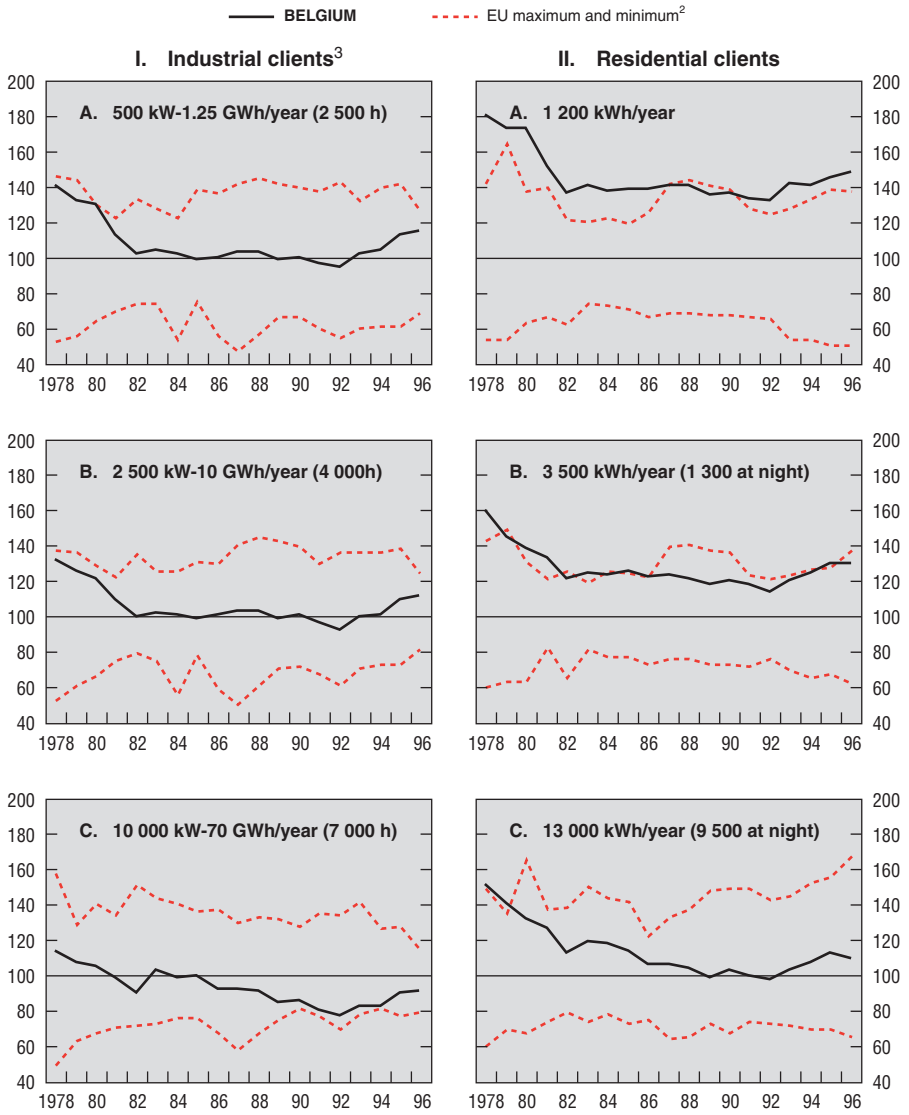
This organisation of the sector appears to give important market power to Electrabel and to the communes, and, in particular, allows them to charge excessive prices to small businesses and households. The International Energy Agency (1994) has stated that, in view of this organisation of the sector, ''it

comes as no surprise that electricity tariffs in Belgium are among the highest in Europe''. It states further that ''competition is carefully avoided'' in the sector and that ''barriers to entry of new generators are relatively high'' and that ''consumer choice is limited''. Residential prices are very high by European standards, while large business sector consumers enjoy quite competitive prices[117] (Figure 24). This presumably reflects a pricing strategy designed to pre-empt entry by large users who might find it profitable to set up their own generating facilities. In contrast, Electrabel and the *communes* are under little pressure to keep retail prices low. The high degree of vertical and horizontal integration and a weak regulatory framework has concentrated most decision-making powers in the hands of Electrabel itself. The *communes* also profit handsomely from this situation, since it allows them to collect a hidden tax from retail consumers in the form of high electricity prices.

Conditions in the electrical power industry may require strong vertical and horizontal co-ordination of decisions, but Belgian arrangements seem to allow a striking degree of both horizontal and vertical control by Electrabel with little countervailing regulatory control. The new EU directive in electricity is a less ambitious blueprint for an internal market in electricity than those defined in the EU directives for some other sectors (*e.g.* aviation and telecommunications). While the directive improves the transparency of the industry (by requiring better accounts to be kept), it allows a wide range of options for dealing with the fundamental challenge posed by the sector – how to prevent control of the transmission grid from becoming an insurmountable obstacle to competition in generation and distribution. It is not obvious that Belgium will have to change current arrangements by much in order to comply with this directive. Belgium should therefore undertake more ambitious initiatives that go beyond the requirements of the directive – for example by opting for so-called ''regulated third party access'' (a means of enhancing competition in the sector by allowing non-discriminatory access to the transmission grid). Related issues that need to be examined are whether Electrabel's horizontal and vertical domination of the industry should not be reduced through divestiture and whether its relations with the *communes* will require closer scrutiny (the EU Commission is currently looking into these relations). The Competition authorities might usefully play a role in this examination.

Figure 24. **ELECTRICITY PRICES IN THE EUROPEAN UNION**[1]

EU average[2] = 100



1. Figures in January. Prices include all taxes except for industrial clients where VAT is excluded. kW = Kilowatt, GW = Gigawatt, h/year = Hours per year.
2. Average of eleven EU countries. Belgium, Austria, Finland and Sweden are excluded.
3. Clients consuming a maximum of 10 MW.

Source: CCEG (1996), "Comparaison internationale des prix de l'électricité", Brussels.

Telecommunications

In September 1992, *la Régie des télégraphes et des téléphones* (RTT) was transformed into the EPA Belgacom. Belgacom was at that moment the sole provider of both Public Switch Telecommunications Network (PSTN) and mobile networks in Belgium. Policy administration and advisory activities were at that time separated from Belgacom, and have since been performed by the regulator, *l'Institut belge des services postaux et des télécommunications* (IBPT). Belgacom's CG defines obligations concerning tariffs and quality of telecommunications, but also detailed numerical targets in such areas as investment, digitalisation of the network and the number of installed main lines per inhabitant. Since 1995, the telecommunications law requires that Belgacom maintains separate accounts for the network operations.

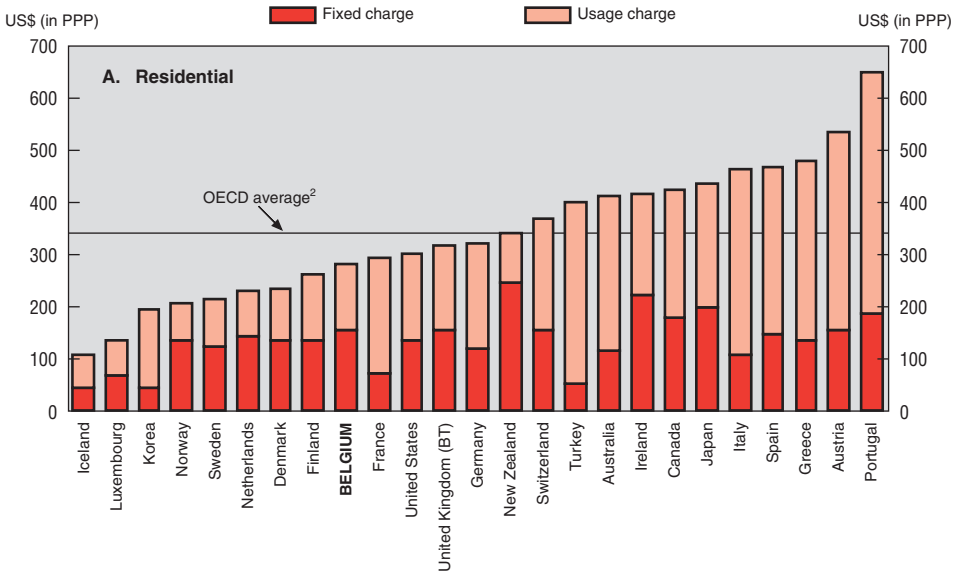
Belgacom is the third largest employer and the company with the third largest profit on the Brussels exchange. Belgacom became a *Société anonyme* and was subsequently partially privatised in December 1995. A participation of 49.9 per cent has been sold for a total amount of BF 73.3 billion to a foreign consortium. Furthermore, the Belgacom monopoly in mobile telephony has been transformed into a duopoly, an operation that yielded BF 9 billion in licensing fees. This has followed the opening up of the EU market for mobile telephony in January 1996. As of August 1996, Proximus (75 per cent Belgacom, 25 per cent Airtouch) and Mobistar, a subsidiary of France Télécom and the group Telinfo, shared the market.

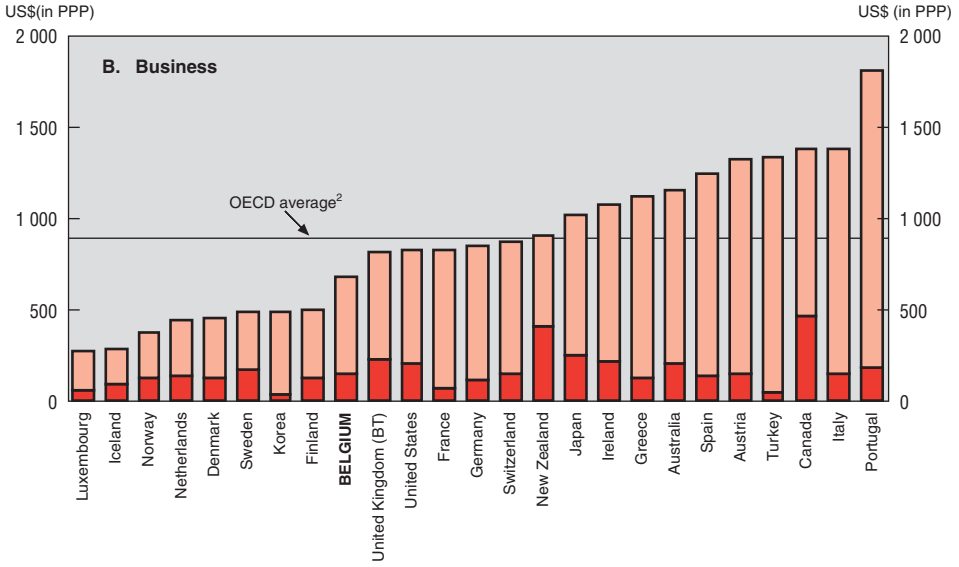
The effect of privatisation and liberalisation on prices has generally been to lower them. However, the degree of competition is only one determinant of telecommunications prices. Other factors influencing prices are the vintage telecommunications infrastructure and geographical features (for example, densely populated countries tend to have lower costs). For these reasons, it is sometimes difficult to distinguish between competitive and non-competitive countries when comparing average price levels. Indeed, residential and business prices in Belgium were lower in 1996 than those prevailing in some countries with a highly competitive telecommunication industry[118] (Figure 25).

In terms of innovative capacity, differences between competitive and monopolistic markets are more apparent. Belgium has fallen behind in mobile telephony and internet host penetration rates. In both domains, competitive countries dominate the top positions,[119] though growth in Belgium in these areas has

Figure 25. **TELECOMMUNICATION PRICES**[1]

Tariff basket, 1996





1. Average costs, excluding value added tax.
2. Average of countries shown.

Source: OECD (1997), *Communications Outlook,* Paris.

been rapid in recent years. In terms of service quality and quality of infrastructure, Belgian performance has improved recently and is now close to the OECD average. It is even a front-runner in terms of faults per 100 lines per year.

As from January 1998 the telecommunications sector in the European Union will be open to entry for telecommunication infrastructure investment and voice services. Thus, the EU initiatives in telecommunications take the sector a long way toward full liberalisation. The EU has established general guidelines with respect to ''universal services'', but it has given Member countries some leeway as regards its implementation. Belgium is in the process of defining ''universal services''. In line with the EU guidelines, the current proposal stipulates that everyone who asks for it is entitled to access to the network and to basic telecommunications services. If someone is not able to pay his telephone bills, he is still entitled to receive phone calls and to call any public emergency services. The Belgian proposal goes beyond these guidelines because its definition of ''universal service'' includes providing hospitals, schools and libraries with cheap and fast Internet connections. The source of financing for this part of the proposal will be proportional to each company's share of the telecommunications turnover. The EU guidelines say that only voice telephony providers should contribute to the fund for universal services.

An essential condition to assure competition in the telecommunications market is that new entrants should have access to the existing network of the incumbent operator under fair and non-discriminatory conditions. EU directives are in the process of establishing a general framework for these so-called interconnection conditions. The directives require that interconnection takes place through commercial negotiations, that interconnection charges are cost-oriented and that incumbents publish conditions and prices for interconnect services. Further, new entrants must be able to choose where physical interconnection takes place in the network. Finally, regulators at the national level (IBPT in Belgium) should have interconnection frameworks in place before the market is open to competition in 1998, *i.e.* IBPT needs to be in a position to arbitrate in case two parties cannot reach an agreement through commercial negotiations.

Postal services

Competition in postal services is also intensifying, especially with the development of fax, electronic mail and other modes of communication. Furthermore,

the European Union plans to open up the market in 2001 by liberalising entry for most delivery services. In order to meet these new demands, *la Poste*, Belgium's largest employer, was turned into an EPA in January 1992. Based on various indicators[120] the quality of postal services in Belgium is similar to that in neighbouring countries. However, in terms of cost effectiveness Belgian postal services have a low score and have deteriorated over the 1975-89 period.[121] Its first CG stated that *la Poste* has monopoly power in the selling of postage stamps and in collection, transmission and distribution of written post, but not in the delivery of parcels and in some financial operations. Most financial operations (for example operations in fiduciary money provided by the post for third parties) are considered services subject to competition.[122] Unlike Belgacom's case, the first CG of *la Poste* does not set quantitative objectives, but only minimum standards such as at least one post box and daily collection and distribution of letters in each community. *la Poste's* second CG, which recently came into effect, is an improvement because it sets clear targets. For the time being, it is unclear whether the measures taken to corporatise the postal services are sufficient to allow *la Poste* to establish a strong competitive position as the market and the regulatory context evolve.

Rail transport

Rail transport has proven to be a costly and problematic part of Belgium's transport policy. SNCB's losses have been large in relation to its value added and the subsidies extended to it have been large compared to those offered elsewhere in the EU. While much of this aid is compensation for public services, the share of Belgian state aid in relation to sectoral value added remains very high.

The competitive pressures facing rail are likely to continue to intensify, partly because of regulatory developments in the air transport sector. As elsewhere in Europe, the market share of rail transport has declined (notably relative to road and air) while costs have continued to rise. It would appear that, given current levels of efficiency, the transport niches in which rail can compete effectively are relatively narrow and include perhaps local transport using large cities as hubs and some types of inter-city transport and bulk freight transport. Parts of Belgium's dense rail network would probably not be viable under competitive conditions. A further problem for Belgium is that, due to its central geographic position, much of its rail traffic has both origins and destinations

Table 15. **State aid in EU countries**

Annual average, 1991 prices

	1988-90	1990-92	1988-90	1990-92	1988-90	1990-92
	Per cent of GDP		ECU per person employed		Per cent of total government expenditure	
A. Total						
Germany	2.5	2.4	1 031	1 090	5.0	4.8
France	2.1	1.8	870	801	4.1	3.6
United Kingdom	1.2	0.6	398	189	3.2	1.5
Belgium	**2.8**	**2.3**	**1 107**	**966**	**5.4**	**4.5**
Netherlands	1.1	0.9	391	338	2.0	1.7
European Union	2.1	1.9	777	704	4.4	3.8
	Per cent of value added		ECU per person employed		Million ECU	
B. Manufacturing						
Germany	2.1	2.1	1 099	979	8 488	7 134
France	3.7	3.0	1 449	1 138	6 424	5 044
United Kingdom	1.9	1.5	756	525	4 067	2 661
Belgium	**5.0**	**4.3**	**1 744**	**1 527**	**1 280**	**1 119**
Netherlands	3.2	2.6	1 266	978	1 177	929
European Union	3.8	3.7	1 372	1 293	40 704	37 822

Source: European commission (1995), *Fourth Survey on State Aids in the European Community in the Manufacturing and Certain other Sectors,* Brussels.

outside the country. This suggests that the profitability of the SNCB is particularly sensitive to the charges for this kind of use.

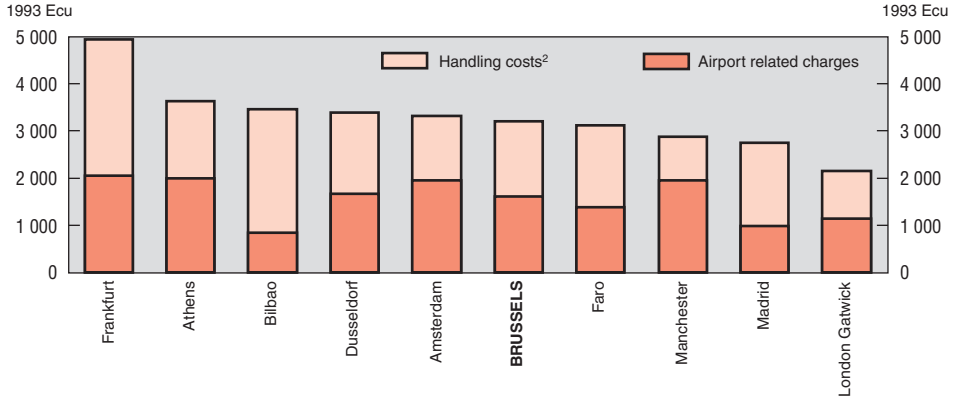
Belgium has already undertaken reforms in this sector. The Belgian ‘‘model’’ for reform has involved the creation of an *Entreprise publique autonome* whose accounts separate the rolling stock from the fixed infrastructure (as required by EU directive) and with a *contrat de gestion* that specifies in advance the level of financial transfers from the government and specifies SNCB’s public service functions. The Belgian approach appears to be less radical than some of the alternative approaches adopted in the EU (Table 15), but the verdict is still open on which approach will be most successful. In any case, one key to success for SNCB will be the elimination of its excess capacity.

Air transport

Air transport is another area where competitive forces are intensifying. The sector itself is evolving and the ability to forge effective alliances with other airlines and with other service providers in the travel industry is emerging as an essential capability. EU initiatives, now close to full implementation, have resulted in a fully liberalised regime within the EU air transport sector. But many EU governments, Belgium included, maintain extensive ownership of airlines. Public ownership is however only one of a number of instruments influencing competition. Allocation of landing slots, control over management of airport services and negotiation about bilateral aviation agreements are other very important factors.

The allocation of landing slots (*i.e.* the right to land or take off from an airport at a specified time) is probably the single most important policy area affecting competitive conditions in air transport. In order to compete effectively, airlines must be able to offer services at popular times and from popular airports. At present, the most common practice is to allocate slots based on previous rights

Figure 26. **AIRPORT AND HANDLING CHARGES AT EUROPEAN AIRPORTS**
Per turn-around[1]



1. For scheduled Airbus A320-100 service.
2. Adjusted to reflect labour cost differences.

Source: OECD (1997), *The Future of International Air Transport Policy,* Paris.

Table 16. **Organisation and financial situation of selected railways**

	Organisation	Legal status	Financial situation
Japan	Six assimilated companies plus one national freight transport company (passengers by region, infrastructure).	Private sector companies financed by public capital, currently being privatised.	Debt, before partial assumption by the State in 1984: seven years of turnover.
Germany	Single company, separate accounting and organisation (passengers short-distance, long-distance, freight, infrastructure). Private operators allowed.	Private sector joint stock company (100% of shares are owned by the State), the different activities will become private sector subsidiaries headed by a holding company.	Debt, before assumption by the State: two years of turnover.
France	Single company, separate accounting.	Public enterprise (*établissement public*).	Debt: several years of turnover. Losses: about 10% of turnover.
Italy	Single company, separate accounting and organisation, to become institutionalised.	Private sector joint stock company (100% of shares are owned by the State), private participation in subsidiaries.	Debt, before assumption by the State: many years of turnover.
United Kingdom	Many companies (passengers by railway groups, security, capacity management, infrastructure, etc.).	Private sector companies open to private investors. Privatisation is planned, except for ''Railtrack''.	Debt: about one month of turnover. Losses: relatively low.
Belgium	**Single company, separate accounting**	**Public enterprise (*établissement public*).**	**Debt: About two years of turnover. Losses: about 2% of turnover.**
Netherlands	Holding company with many subsidiaries (passengers, freight, infrastructure, equipment, etc.).	Private sector companies financed by public capital. A partial privatisation of subsidiaries is envisaged.	n.a.
Sweden	Institutional separation: infrastructure and services, main and regional lines. Private operators allowed.	Administration for infrastructure, monopolistic public enterprise for main railways, several competing enterprises for regional railway contracts.	n.a.

Source: SNCF and Commissariat général du Plan.

(grandfather clauses). New slots are generally allocated by an airport committee consisting of the carriers using the airport and the airport authorities. Once new slots are allocated, a secondary barter market is used by carriers in order to get matching combinations of slots between origin and destination airports. These practices are common everywhere and Belgian slot allocation practices are no exception. Clearly, though, this is an arrangement that invites abuse by incumbent carriers. Some very limited experimentation with auctioning off new airport slots and creating a non-barter secondary market has been attempted elsewhere, but, so far, no properly functioning markets have developed.

The performance of the Brussels airport appears to place it in the middle of the rankings of European airports. Handling charges at Brussels airport are significantly lower than in airports where the national flag carrier holds monopoly rights (*e.g.* Dusseldorf, Frankfurt) but are well above those prevailing in extremely competitive airports (*e.g.* London Gatwick) (Figure 26). These charges can be a significant part of an airline's costs, amounting to 10-20 per cent of total operating costs on typical one to two hour intra-European flights.[123] The comparative cost data shown in Figure 26 provide tentative evidence that this model for public control is working at least satisfactorily, but there still seems to be some room for improvement.

The Belgian national carrier, Sabena, was entirely owned by the government until recently. Forty-nine and a half per cent of Sabena's shares are now owned by Swissair.[124] Since the late 1980s Sabena has experienced financial difficulties. In 1991 it benefited from US$1.8 billion in EU approved subsidies. The 1991 subsidy was large relative to Sabena's total capitalisation but, in terms of absolute size, it was in the middle rankings of EU subsidies to airlines over the 1991-96 period (Table 16). In 1995 Sabena was restructured and negotiations about further restructuring are currently being conducted. In terms of prices and costs in the airline industry, Sabena is situated at the higher end of the OECD area (Table 17). This is only partly caused by the comparatively short average flight length, which tends to increase costs and prices (Figure 27). The performance of many European flag carriers has lagged that of other carriers operating in more competitive markets. For example, European carriers have productivity levels that are about 20 per cent lower than the average for US carriers, while their unit costs are about 50 per cent higher.[125]

Table 17. **European Union approved subsidies to European airlines**

1991-96

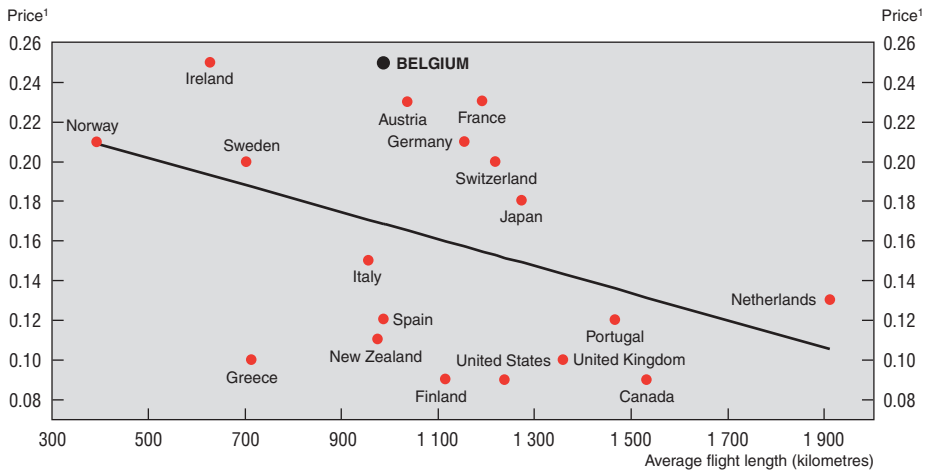
Airline	Subsidy (US$ million)	Date
Sabena	**1 800**	**August 1991**
Iberia	1 200	May 1992
Aer Lingus	250	December 1993
TAP	1 100	July 1994
Olympic	2 300	July 1994
Air France	3 700	July 1994
Iberia	690	January 1996

Source: OECD (1997), *The Future of International Air Transport Policy,* Paris.

The *Régie des voies aériennes* (RVA) is responsible for managing the part of the Brussels' airport that has not been privatised and for air traffic control beneath 19 500 feet. RVA was scheduled to become an EPA, but an agreement has not yet been reached and the government is still investigating several options

Figure 27. **AIRLINE PRICES PER PASSENGER KILOMETRE**

1993



1. Average price in US$ per passenger kilometre.
Source: Institute of Air Transport (ITA), Paris.

on how best to proceed. The RVA has not received state aid since 1987. Its revenues come mainly from airport taxes and from its 47.5 per cent participation in Brussels Air Terminal Company (BATC), a private company responsible since 1987 for the commercial management of the airport (including commercial management and investment in airport infrastructure). The other equity holders of BATC are private companies. The private and public shareholders each name the same number of directors to the Board of Directors of BATC, but the private shareholders have the right to name the chairman.

The distribution sector

The distribution sector is important in terms of output and employment. In 1993 it accounted for more than 15 per cent of total GDP and for almost 16 per cent of total employment. Over the 1979-93 period real output in distribution increased by 0.7 per cent a year and employment declined by an annual average 0.1 per cent over the same period. These trends differ sharply from the experiences in other Member countries, most of which had considerably higher real output and employment growth in distribution (Table 18). Table 18 also shows that retail outlets in Belgium are small compared to other OECD Member countries. Several studies have suggested that efficiency in the distribution sector is positively related to the size of establishments though in some cases negative externalities exist.

In Belgium, existing retailers can impede the establishment of new shops. This is probably the main reason for the small average size of a retail outlet and the high retail density in Belgium. Anyone intending to establish a retail store or commercial shopping centre or planning to modify, extend or move an existing one, has to file a so called ''socio-economic request'' in order to obtain authorisation.[126] Small shops whose surface does not exceed some minimum level are exempted. A zoning law applies, in the sense that in zones with high population densities and with high industrial and outlet densities, the threshold level of floor space above which a licence has to be requested is higher than in other zones. Since mid-1994 this legislation has been made even more restrictive. The threshold surface level, below which an authorisation is not needed, has been reduced by 33 to 50 per cent, depending on the zone. This has been done because the spirit of the regulations was not respected. In particular, shop owners have tried to circumvent the authorisation procedure by creating two stores, side by

Table 18. **Characteristics of the airline industry**

1993

	Domestic airlines (scheduled passenger services), 1995		Operating revenue as a per cent of GDP	Average price[2]	Average cost[3]	Average flight length (km)
	Ownership[1]	Entry, price, service				
United States	Private	Unregulated	1.04	0.09	0.06	1 240
Japan	Private	Regulated	0.43	0.18	0.12	1 274
Germany	Mixed (36.0)	Regulated	0.52	0.21	0.13	1 155
France	Mixed (99.3)	Regulated	0.96	0.23	0.16	1 193
Italy	Mixed (86.4)	Regulated	0.47	0.15	0.10	957
United Kingdom	Private	Unregulated	1.10	0.10	0.07	1 361
Canada	Private	Unregulated	0.73	0.09	0.06	1 534
Austria	Mixed	Regulated	0.48	0.23	0.14	1 038
Belgium	**Mixed (50.5)**	**Regulated**	**0.78**	**0.25**	**0.14**	**990**
Finland	Mixed	Regulated	0.87	0.09	0.06	1 117
Greece	Public	Regulated	0.91	0.10	0.07	714
Ireland	Public	Regulated	2.26	0.25	0.17	630
Netherlands	Mixed (38.2)	Regulated	1.48	0.13	0.08	1 912
New Zealand	Private	Unregulated	2.79	0.11	0.07	976
Norway	Mixed (50.0)	Regulated	0.41	0.21	0.12	399
Portugal	Public	Regulated	1.17	0.12	0.11	1 468
Spain	Mixed (99.8)	Regulated	0.67	0.12	0.09	988
Sweden	Mixed (50.0)	Regulated	1.95	0.20	0.13	702
Switzerland	Mixed (20.0)	Regulated	1.51	0.20	0.12	1 220
Unweighted average			1.08	0.16	0.10	1 098

1. Percentage in parentheses indicates public share.
2. Per passenger kilometre.
3. Per available seat kilometre.

Source: Institute of Air Transport (ITA), Paris.

side, that are both just under the authorisation threshold. These are then managed as one store. The number of requests accepted as a per cent of total requests has gone down from 90 per cent in 1992 to 72 per cent in 1995.[127] The establishment of what would have been the largest shopping centre in Europe is pending under this procedure.

Restricted shop-opening hours limit the choice of consumers. Restricted shopping hours also tend to protect small shops, which are less likely to expand opening hours than larger stores with more employees. Regulations on shop-opening hours are common in the OECD area, but they appear to be more restrictive in Belgium than in many Member countries. Data on opening hours

Table 19. **Characteristics of the distribution sector**

	Performance (annual average growth)			Sector size (distribution as a per cent of total)		Density and size of retail outlets		Regulations[1]		
	Real output 1979-93[2]	Productivity 1979-93[2, 3]	Employment 1979-93[2]	Output 1993	Employment 1993	Per 10 000 inhabitants 1990	Average size (in persons employed) 1990	Opening hours	Zoning laws	Maximum opening hours 8am-24pm 1990[4]
United States	3.5	1.9	1.6	15.7	15.5	79	9.6	UNR	PAR	112
Japan	4.0	3.0	1.0	12.5	18.4	132	4.2	PAR	REG	. .
Germany	2.2	1.2	1.0	7.8	11.3	85	4.4	REG	REG	60.5
France	1.4	1.5	–0.1	12.2	13.8	97	3.8	PAR	PAR	. .
Italy	2.1	0.6	1.5	15.3	19.3	171	2.4	REG	REG	66
United Kingdom	1.9	. .	. .	12.8	17.1	81	6.5	PAR	PAR	67
Canada	3.3	2.1	1.2	10.0	16.4	. .	. .	. .	PAR	. .
Australia	2.8	0.9	1.8	17.9	20.8	90	6.7	. .	PAR	. .
Austria	. .	. .	. .	12.8	14.4	69	4.8	REG	REG	. .
Belgium	**0.7**	**0.9**	**–0.1**	**15.4**	**15.9**	**141**	**2.0**	**PAR**	**REG**	**73**
Denmark	1.7	2.7	–1.0	10.7	10.8	100	3.9	REG	REG	63.5
Finland	0.6	1.4	–0.9	8.4	12.5	77	4.1	REG	REG	80
Greece	. .	. .	. .	9.6	15.5	184	1.8	UNR	REG	112
Iceland	. .	. .	. .	8.9	11.9	67	4.7	. .	PAR	. .
Ireland	. .	. .	. .	7.9	14.3	90	4.2	UNR	PAR	112
Netherlands	3.2	0.6	2.6	12.7	16.2	92	5.3	PAR	REG	55
New Zealand	. .	. .	. .	15.2	12.4	95	4.6	UNR	PAR	112
Norway	0.6	0.5	0.0	9.7	13.9	94	3.2	PAR	PAR	80
Portugal	. .	. .	. .	14.1	13.2	192	2.0	UNR	PAR	112
Spain	. .	. .	. .	14.2	16.7	134	2.8	UNR	PAR	112
Sweden	1.6	2.3	–0.7	8.3	11.9	94	3.9	UNR	PAR	112
Switzerland	. .	. .	. .	14.7	13.9	83	6.8	REG	REG	. .

1. UNR = Unregulated; PAR = partly regulated; REG = regulated.
2. 1979-92 for the United Kingdom, 1979-91 for Norway and 1985-93 for the Netherlands.
3. GDP per person employed.
4. In some countries, local governments can allow opening hours to deviate from legal requirements and maximum opening hours may differ.

Source: OECD International sectoral database and Høj *et al.* (1995), ''Deregulation and privatisation in the service sector'', *OECD Economic Studies,* No. 25, Paris.

are available for 15 OECD Member countries, seven of which have no regulations on maximum opening hours at the national level (Table 19). Only five countries seem to have more restrictive regulations than Belgium.

Professional services

The sector of professional services, which includes medical professions, legal services, architects, engineers and taxis, is highly regulated. Regulation of these professional services may be needed to protect the integrity and the quality of the services provided. However, regulations can be diverted from their original objectives and can become a barrier to entry. In May 1996, Belgium implemented the EU Diplomas Directive, providing for the full integration of a professional from another EU state into the profession in Belgium, upon the recognition of the home state qualifications. Regulations for medical professions (introduction of *numerus clausus* is being discussed at the moment) and taxis (price arrangement) are very similar to those in other countries. While regulation of engineering services in Belgium is rather liberal in an international perspective, this seems not to be the case for architects, where fee setting is regulated, nor for notaries.[128] The number of legal professionals per capita is average compared to that in other OECD member countries. However, there is a legal price fixed for notary activities, and access is regulated. This results in high prices for some services, notably the compulsory notary costs for buying an existing property.[129] The number of notaries has stayed constant over the last decade in Belgium, whereas OECD data indicate that employment in professional services increased significantly throughout the entire OECD area, for all professions.

Assessment and scope for further action

Much of the Belgian economy is open to competition from domestic and foreign sources. Despite this, impediments to the free play of market forces have been identified in a number of sectors. Most of these impediments stem from government policies of various sorts. Some – notably state aid to the ailing rail sector and social aids to a now extinct coal sector – are probably more important for public finances than for product market competition. But other, more serious problems exist in other sectors. EU directives have been providing an important impetus for getting regulation back on track in many of these sectors. Belgium has been complying with these directives and has contributed a few innovations

of its own, notably in the area of contracting for public services. Many of these changes will refocus regulation on genuine public needs – public safety, defining ground rules for access to infrastructure networks, providing public services, etc. In addition, the EU directives place constraints on the degree to which vested interests will be able to manipulate the regulatory process in the future. This will certainly be beneficial for Belgium. Box 3 summarises the policy recommendations to enhance competition.

In areas such as air transport and telecommunications, Belgium has taken important steps to open the sectors to competition and further steps are planned. For air transport, Belgium has not yet decided on full privatisation of Sabena, the national carrier. This would appear to be advisable, though. Air transport has turned into a dynamic consumer market and the Belgian government presumably has little comparative expertise in the strategic management of air transport firms. The government has already given extensive subsidies to Sabena and it is not clear that it has any fundamental reason to continue what might be a costly involvement in this sector. Likewise, in telecommunications, full privatisation of Belgacom is not yet being seriously considered, but probably should be. Belgium hopes to improve its control of Belgacom by adding the *contrat de gestion* to its arsenal of controls (in addition to its membership on the board of directors and to normal regulation). Adaptation of the regulatory framework to the still evolving telecommunications environment is incomplete and it would not be surprising if additional adjustments to policies were to be needed in the future. For example, new services (*e.g.* Internet) are developing that might, in the view of the Belgian authorities, also have strong public service dimensions. In these cases, the *contrats de gestion* for publicly owned companies could be replaced with tendering for the private supply of certain public services. This might be more appropriate for securing public services in telecommunications markets that are often very fast moving and that require mass marketing capabilities.

The chapter also identifies some areas where there is an urgent need for reform and where, at present, little seems to be planned. The distribution sector would benefit from significant liberalisation of entry conditions. While the zoning restrictions often target legitimate goals (*e.g.* enhancing the urban environment) current arrangements seem to be focused on other objectives. Local shopkeepers influence the application of Belgium's zoning law and use it as a barrier to entry. Several studies suggest that removal of entry-restricting regulations on

Box 3. **Policy recommendations to enhance competition**

I. Competition authorities

The competition authorities should be assigned more resources. The current staff has full-time obligations elsewhere in addition to its competition enforcement responsibilities. Hence the staff is not able to fully enforce the competition law.

II. Utilities and publicly owned enterprises

Electrabel's domination of virtually all aspects of the industry needs to be looked at carefully. It is crucial that, one way or another, competition be heightened in both distribution and generation. The EU directive on electricity will do little to diminish Electrabel's vertical and horizontal domination. The competition authorities could usefully examine this problem.

Sabena should be fully privatised. The air transport industry has become an increasingly dynamic industry, demanding marketing capabilities for business and leisure travellers and technical expertise in booking and parcel delivery systems. Further privatisation of Sabena will enhance its incentives for developing the capabilities that will be required to meet intensifying competition in the sector.

The logic underlying the contrat de gestion should be applied rigorously to the airport authority. RVA's role should be focused on public service functions. These include air traffic control and perhaps airport security. The more commercial aspects of airport management could be left to BATC, which might usefully be privatised.

III. Commercial markets

Regulations on establishment of shops and opening hours should be liberalised. The current licensing procedure for the establishment of shops acts as an excessive barrier to entry for incumbent shop keepers without necessarily advancing societal objectives in such areas as urban planning. This is one area where deregulation holds a clear promise of enhancing private sector job creation and would enhance both consumer choice and competition.

Regulatory controls on access to professional services need to be continuously reviewed. While these often protect consumers' interest, they can create unnecessary barriers to entry.

large establishments is likely to result in many benefits including reduced consumer prices, increased output of distribution services and higher employment.

Electricity is another sector with serious competition problems. Electrabel dominates all aspects of the industry. Its near monopoly allows it to earn hand-

some profits. This is a situation that calls for effective regulation of Electrabel. Yet despite the regulatory committee's diverse membership (consisting of officials from unions, government and large businesses), it does not provide an effective voice for defending the interests of smaller consumers, who pay some of the highest prices in Europe. Indeed, small consumers are not represented at all. Furthermore, the *intercommunales*, Electrabel's partners in retail distribution of electricity, appear to gain a significant portion of their municipal revenues from their monopoly distribution rights. EU directives will impose a certain amount of competition in this sector to come into effect in 1999/2000, but it will not be sufficient to put the sector on a solid competitive foundation. More will be required. The relatively easy steps would include turning the Committee for the Control of Electricity and Gas into a genuine watch-dog agency with a clear mandate to protect the interests of all consumers. In addition, making the highly lucrative distribution operations of the *communes* more transparent (by requiring that formal business accounts be kept and published) would also improve the operation of the sector. Over the longer run, significant restructuring of competitive conditions in the industry would appear to be called for. This might include breaking up Electrabel's strong vertical and horizontal dominance or, less drastically, focused regulation to make sure access to the transmission grid is open and fair. The newly-created Competition Council seems an obvious candidate for examining these questions.

It should be noted, in closing, that significant progress in labour market reform will facilitate adjustment to product market reform and *vice versa*. Belgium's reforms are still in progress and large shocks to employment may occur in certain sectors. OECD experience has shown that these may be either positive or negative. Airline deregulation in the United States, for example, led to massive employment creation in that sector. But electricity deregulation in the United Kingdom led to exactly the opposite result: massive layoffs. Telecommunications deregulation has also resulted in a shift in skills mix and a reallocation of workers between firms. Under current labour market policies, it is unclear whether Belgium has the flexibility needed to absorb these labour market shocks without sustaining a significant increase in unemployment. Thus, labour market reform is likely to be a crucial component for reaping the full benefits of product market reform in some sectors.

Notes

1. It is difficult to be more precise since the National Bank of Belgium does not provide a breakdown of its ''unofficial'' quarterly GDP figures into all the demand components.
2. As these buildings are sold to private holdings or enterprises, they correspondingly increase private investment. However, given the size of private investment, they affect only moderately its rate of growth (from an estimated 3 per cent to 4 per cent in 1996).
3. However, according to the National Bank, the lag between changes in economic activity and changes in labour market conditions has decreased in the 1990s, perhaps as a result of various measures taken since 1993 to encourage hiring unemployed persons.
4. Unemployed aged 50 years old or over.
5. *Population active en chômage*. End-June figure. Without the administrative measures discussed above, in 1996 this rate might have been somewhat higher than in 1995. On a monthly basis, and in terms of the number of unemployed persons and persons in the older unemployed programme, conditions deteriorated from mid-1995 until early 1996, and then started improving.
6. National Bank of Belgium, *Revue économique*, August 1996, p. 18.
7. According to estimates of the Belgian authorities, only about one-third of persons in the MINIMEX programme are also registered as unemployed (*demandeurs d'emploi inoccupés inscrits non indemnisés*).
8. Article 80 sets out the conditions under which a person can be suspended from receiving unemployment benefits on account of an ''abnormally long'' unemployment spell.
9. The estimated increase in the wage rate due to indexation – 1.4 per cent – is less than the expected increase in the ''health index'' – 1.6 per cent – the difference being due to technical rules in the indexation mechanism which delay the adjustment.
10. Figures provided by the National Bank of Belgium.
11. Due to the change-over in the reporting system for EU trade statistics in 1993, recent data on export market shares must be regarded as being somewhat tentative.
12. An indicator constructed by the firm Surveys Action. The latest observation refers to October 1996.
13. The saving ratio averaged 16.8 per cent a year from 1982 to 1996, and was an estimated 17 per cent at the end of this period.
14. This commitment – officially announced in June 1990 – was formulated in terms of a firm exchange rate link with the fundamentally strongest currencies of the Exchange Rate Mecha-

nism (ERM). While this strategy has remained unchanged, following the widening of the fluctuation margins of the ERM in August 1993, the Belgian authorities made the tactical decision to use more flexibility in the active conduct of foreign exchange policy. Hence, in the second half of 1993, the Belgian franc temporarily dipped to a level some 6½ per cent below its central rate *vis-à-vis* the Deutschemark.

15. The 1992 Convergence Plan also set annual targets for all subsets of the general government sector, that is the Federal Government, Communities and Regions, local governments, and the social security system. To enhance implementation, the Federal Government and the Communities and Regions agreed in 1994 to do their utmost to reach their respective targets. In the July 1996 *Accord de Coopération*, Communities and Regions agreed to respect the targets proposed by the *Conseil Supérieur des Finances*, *i.e.* that their deficit should fall to zero in 1999.

16. That is, without any increase in nominal terms in the annual subsidy received from the Treasury.

17. National Bank of Belgium, *Report 1995*, p. 52 and Table 14.

18. They include: normal and early retirement pensions and guaranteed income for older people; unemployment benefits and career interruptions; and sickness and disability allowances. National Bank of Belgium, *op. cit.*, Table 15.

19. According to the authorities, the global effect of the measures in the social security area should increase from BF 23 billion in 1997 to BF 34 billion in 2000 and BF 54 billion in 2005 (at 1997 prices).

20. Alternatively, it may be said that the overall rate of non-employment – the difference between the population of working age and employment as a percentage of the former – is particularly high in Belgium (Table 6).

21. OECD (1994), *The OECD Jobs Study: Facts, Analysis, Strategies*, Chart 11, Paris.

22. Work through temporary work agencies is also included in the services sector.

23. The discussion of unemployment by sex and region is based on national definitions. On this basis, overall unemployment was 13 per cent in 1995.

24. However, on this as well as on other points, inter-country comparisons may be biased due to institutional differences.

25. According to the unemployment legislation (article 80), unemployed in a two-income household (*cohabitants*) who are less than 50 years old and have a combined income of more than BF 600 000 can be suspended from receiving unemployment benefits if their unemployment spell is ''abnormally long''. The exact formulation of this rule – for instance, the determination of the ''abnormally long'' spell of unemployment – is rather complicated: as a general rule, the ''abnormally long'' spell is currently defined as being more than 1½ times the average duration of employment in the local labour market, but this rule varies by age and sex. At any rate, over the past few years the ''abnormally long'' spell has been reduced and the overall implementation of article 80 has been tightened. Over the 1991-94 period, 14 per cent of unemployed with an unemployment spell of over two years were excluded – 21 per cent in the case of women and 3 per cent in the case of men. This disparity between men and women is due to the fact that *cohabitants* are mostly women.

26. In 1993, at 8.6 per cent of the source population, Belgium's outflows from unemployment exceeded only those of Spain, the Netherlands, Ireland, Greece and France. OECD (1995), *Employment Outlook*, Table 1.9, Paris.

27. But, as shown in Table 7, in full-time equivalents, broad unemployment is significantly lower – a little over 900 000 in 1996.

28. OECD (1995), *Employment Outlook*, Table 2.18, Paris. Adding the estimates for discouraged workers and involuntary part-time workers to the standardised unemployment rate one gets the so-called ''U-7'' measure of labour market slack, which for Belgium was 11½ per cent in 1993 – compared with 8½ per cent in Germany, a little over 10 per cent both in the United States and Netherlands, and 14 per cent in France.

29. The labour market was the topic of the structural chapter of the 1991-92 *Survey* and was discussed again in some detail in the 1994 and 1995 *Surveys*.

30. In 1991, real labour costs in the business sector (total compensation, including social security contributions, deflated by the value-added price index) were nearly 50 per cent higher than in 1974, compared with less than 40 per cent on average in all European OECD countries. OECD (1991/92), *Economic Surveys, Belgium-Luxembourg*, Chapter III, Paris.

31. OECD (1991/92), *op. cit.*

32. Recent econometric work done by the National Bank reportedly shows that in Belgium real wages tend to be broadly neutral for real output growth but do affect the labour intensity of production and hence employment.

33. This interference with the automatic wage indexation system took the form of lengthening the indexation period. In 1984-86, the 6 per cent increase in nominal labour costs resulting from automatic wage indexation was passed on entirely to the Government for budgetary purposes (*saut d'index*), thereby increasing the wedge between total labour costs and take-home pay.

34. Wage indexation was suspended from early 1982 until August 1983.

35. According to the Law, competitiveness was threatened if export performance and at least one other indicator showed a deterioration.

36. Over the 1989-94 period, wages (compensation per employee in the business sector) grew somewhat faster than in other European countries (a little over 5 per cent a year, on average). Considering all trading partners and allowing for productivity gains, relative unit labour costs, in local currency, were broadly unchanged, but as the Belgian franc, in effective terms, appreciated by some 10 per cent, relative unit labour costs, in common currency, rose by a similar percentage.

37. The indexation of wages takes place automatically in all sectors, but its practical implementation may differ from one sector to another. It is indeed at the sectoral level that the social partners agree on the practical aspects of wage indexation in their sector, such as the frequency with which wages are indexed or the magnitude of the threshold that must be taken into account before an indexation (of an equivalent magnitude) takes place. However, these sectoral differences typically have only a minor influence on the final outcome of the indexation. Moreover, some arrangements are legally imposed. For instance, all sectors must

use a 4-month moving average of the consumer price index or, since 1994, the ''health index'' – *i.e.* the consumer price index excluding tobacco, alcohol and fuels.

38. Wage negotiations between the social partners (*i.e.* the employer organisations and the main union confederations) normally take place every two years. They generally start at the national or central level (*niveau interprofessionnel*) and result in an agreement (*accord interprofessionnel*) which typically sets broad guidelines as well as specific advantages for all workers in terms of wages (including the RMMMG) and work conditions. All these advantages are to be considered as minimum outcomes for the subsequent lower-level bargaining. The social partners may also agree on demands directed at the government, and parts of the *accord interprofessionnel* may be conditional upon such demands being met. The negotiation round then continues at the sectoral level, which is normally the most important one since it translates the broad guidelines and minimum advantages set at the national level into binding agreements. Finally, bargaining at the firm level cannot reduce advantages agreed at a higher level but can increase them (however, as discussed below, the law of 26 July 1996 on the preventive safeguard of employment and competitiveness will set a ceiling for wage increases for each biennial negotiation round).

39. According to the National Bank, it may take some six years for an exogenous change in production costs – such as a decrease in input prices due to an appreciation of the exchange rate – to have most of its impact on wages and hence international competitiveness. National Bank of Belgium, *Bulletin of the National Bank of Belgium*, December 1991.

40. OECD (1993), *Employment Outlook*, p. 158 and Table 5.1, Paris. A computation by the Bureau du Plan for the 1993-94 period gives broadly similar results.

41. Also, according to one measure, Belgium is one of the OECD countries with the lowest incidence of low-paid jobs. OECD (1996), *Employment Outlook*, Charts 3.3 and 3.4, Paris.

42. OECD (1994), *The OECD Jobs Study, Evidence and Explanations*, Part II, p. 2, Paris.

43. The Belgian authorities, however, feel that the relative inflexibility of the wage setting process at the microeconomic level in their country has been mitigated by the growing number of firms facing strong international competition. This has apparently resulted in numerous cases in which workers have accepted nominal wage reductions in return for their firms maintaining the overall employment level or restricting the number of redundancies.

44. OECD (1994), *The OECD Jobs Study, Evidence and Explanations*, Part II, Tables 6.5, 6.6 and 6.7, Paris.

45. Since 1978, legal notice-periods have been of 28 days for workers with less than 20-year seniority in the firm, and of 56 days for workers with more than this seniority. However, the same 1978 law allows (through an *arrêté royal*) specific notice-periods to be set in different sectors. Hence, in various sectors notice-periods have been shorter – for instance, in the textile industry notice-periods have been of seven days for workers with less than 6-month seniority.

46. Ministry of Employment and Labour (1995), *La Politique fédérale de l'emploi,* Brussels.

47. Registration fees (of the order of 12.5 per cent of the price of the real estate sold), notary fees and other administrative fees add up to 15 per cent or more (data supplied by the Belgian authorities).

48. For example, the unemployment rates in Courtrai (Flanders) and Mons (Wallonia) were 2 per cent and 19 per cent, respectively in 1990, although these two towns are less than 100 kilometres apart.

49. Under certain conditions, it was made possible to renew a fixed-term contract for a maximum of four times, without the contract becoming automatically a permanent contract.

50. Ministry of Employment and Labour, *op. cit*. Until mid-1995, employers had pledged to create some 2 700 new jobs as a result of time-sharing. In the more recent period, the number of beneficiaries in the time-sharing scheme has increased substantially but this does not seem to have translated into a net creation of jobs and a reduction in unemployment.

51. Data supplied by the Belgian authorities.

52. However, the Belgian authorities have recently strongly revised upward figures for gross earnings. According to their calculations this results in a reduction in the average unemployment benefit replacement rate of about 5 percentage points, to 37 per cent in 1995, making it only the fifth highest in the OECD area.

53. For instance, in 1994, gross replacement rates in the first month of unemployment were 46 per cent for both a single person and a couple with no children. On a net basis, the replacement rates were 64 and 66 per cent, respectively. See OECD (1996), *Employment Outlook*, Table 2.1. For a more general discussion of the OECD Secretariat calculations of average replacement rates see John, P. Martin, ''Measures of replacement rates for the purpose of international comparisons: a note'', OECD (1996) *Economic Studies*, No. 26, Vol. I, Paris.

54. According to these calculations of the Ministry of Employment and Labour, the average unemployment benefit replacement rate declined from nearly 40 per cent in the early 1980s to less than 36 per cent in 1994.

55. Cross-country studies suggest that long-term unemployment is linked to the duration of unemployment benefits and their disincentives for job search. OECD (1991), *Employment Outlook*, Chapter 7, Paris. See also OECD (1994), *The OECD Jobs Study*, *Evidence and Explanations*, Part II, Chapter 8, Paris.

56. The first programme allows employed persons to stop working and receive a benefit, provided they are replaced by an unemployed person. The second programme allows unemployed persons to claim dispensation from job-search for social or family reasons and hence to shift from the normal unemployment programme to a special programme with a related benefit.

57. For instance, for school-leavers aged under 26, the waiting period before receiving unemployment benefits was lengthened by three months.

58. OECD, *The Tax/Benefit Position of Production Workers*, various years.

59. OECD, 1996, *op. cit*. Table 11.

60. As noted above, the *Maribel-bis* programme of March 1993 was increased by 50 per cent.

61. Data supplied by the National Bank of Belgium. For the economy as a whole, total reductions in social security contributions were raised in 1995 to about 6 per cent of employers' total contributions and 1.3 per cent of enterprises' total wages and salaries. National Bank of Belgium, *Report 1995*, p. 52.

62. In addition to measures in favour of employment, the ''global plan'' included measures to safeguard competitiveness and redress the financial balance of the social security system. See OECD (1994), *Economic Surveys, Belgium-Luxembourg*, pp. 13-14, Paris.

63. In 1991, passive measures still represented more than 70 per cent of public expenditure on labour market programmes, the fifth highest percentage in Europe. OECD (1993), *Employment Outlook,* p. 73 and Chart 2.2, Paris.

64. Expenditure for passive measures (narrowly defined as unemployment compensation and early retirement for labour market reasons) represented nearly 3 per cent of GDP in 1991. OECD (1993), *Employment Outlook*, p. 73, Paris.

65. Some Belgian analysts have claimed that the importance of passive policies should not be understated. In their view it is perfectly reasonable to offer an official *non-demandeur* status to specific groups in exchange for some loss in benefit. Such an approach can be useful from a social point of view if it allows beneficiaries to fulfil tasks outside the official labour market – raising children, caring for the sick and elderly at home, etc. – which may result in budgetary cost savings and correspondingly reduce the cost to society of these special unemployment programmes.

66. See OECD (1991/92), *Economic Surveys, Belgium-Luxembourg*, Diagram 14, Paris.

67. In 1995, this programme was restricted to low-skilled unemployed.

68. The ONEM continues to exist as a national body with responsibility for managing unemployment insurance in the broad sense.

69. Participation in the *plan d'accompagnement des chômeurs* postpones the use of article 80 by six months.

70. This was part of a contribution of 0.25 per cent of total salaries which the 1993-94 ''interprofessional agreement'' decided to devote to employment.

71. Although the public employment service (first at the central and more recently at the regional level) has long enjoyed a near-monopolistic position, in the area of temporary work private agencies have already emerged as major players, and even with respect to normal jobs the tendency has been towards relaxing the system, especially in Flanders.

72. See Ministry of Employment and Labour, *op. cit*., pp. 115-117.

73. Total public expenditure on labour market policies represented 4.8 per cent of GDP in 1985, 3.9 per cent in 1990 and 4.4 per cent in 1994. That year, both total spending and spending on active measures, as a percentage of GDP, were higher than the EU average.

74. OECD (1994), *The OECD Jobs Study, Evidence and Explanations*, Part II, Chapter 7, Paris.

75. The wage structure itself is an important incentive regarding educational investment.

76. OECD (1993), *Review of National Policies for Education*, Chapter 7, Paris.

77. But data were limited to the French-speaking Community. OECD (1995), *Education at a Glance,* Paris.

78. OECD (1994), *The OECD Jobs Study*, *Evidence and Explantions*, Part II, Chapter 7, Paris.

79. See OECD (1996), *Science, Technology and Industry Outlook*, Paris. See also European Commission (1994), *Comparison of Scientific and Technological Policies of Community Member States*, Brussels.

80. Germany, United Kingdom, France, Italy and the Netherlands. Source: European Commission, *op. cit*.

81. OECD (1994), *The OECD Jobs Study*, *Evidence and Explanations*, Part II, Table 4.17, Paris.

82. R&D activities of private companies are highly concentrated in six sectors: electronic engineering, chemistry, pharmaceuticals, machine construction and precision instruments, transport equipment, and ferrous and non-ferrous metals.

83. This percentage refers to Belgium-Luxembourg. OECD (1994), *The OECD Jobs Study*, *Evidence and Explanations*, Part II, Table 4.12, Paris.

84. The exact percentage depends on the definition of SMEs. According to a widely used definition, a SME is an enterprise with fewer than 50 employees. On this basis, SMEs represented 97.4 per cent of all enterprises in 1993, and a little less than 50 per cent of employment in the private sector.

85. TACIS project, *1995 Draft Report of SME-Policy in the European Union*, Belgium.

86. This ceiling is well above the minimum wage which is currently a little over BF 42 000.

87. According to calculations done by the Bureau du Plan, all the measures taken in the 1996 budget under the multi-annual employment plan may lead to a creation of some 25 000 jobs by 1999 – representing an increase of 0.67 per cent in employment. However, this must be regarded as a gross result, since the impact of the financing of these measures is not allowed for.

88. Moreover, as persons interrupting their career receive a benefit, ''broad unemployment'' will remain unchanged (in persons).

89. The aim of the *cheque-service* programme is to encourage the demand for services in sectors largely affected by black-market activity. The programme will give clients a fiscal incentive to rely on qualified workers of firms approved by the local employment agency (*agence locale pour l'emploi).*

90. *Loi relative à la promotion de l'emploi et à la sauvegarde préventive de la compétitivité* of 26 July 1996. This new law does not entirely supersede the old Law on Competitiveness, some aspects of which remain in force – such as the possibility for the Government to intervene in case of a major external shock.

91. Resulting from moves up the wage scale (*augmentation barémiques).*

92. Under realistic assumptions, in the next couple of years, this margin may be only around 1 per cent a year in real terms.

93. For instance, in the case of *le stage des jeunes, le contrat de première expérience professionnelle* and *l'emploi-tremplin.*

94. These measures are being introduced in a few OECD countries, notably in the Netherlands, which is one of the reference countries in the new Belgian law on employment and competitiveness.

95. The ''poverty trap'' is defined as circumstances in which workers earning low pay have little or no incentive to raise their earnings by increasing the amount of time and effort in work as they face very high marginal effective tax rates. The ''unemployment trap'', as noted, arises

when unemployment and related welfare benefits are high relative to expected net earnings from taking a job so that the unemployed have little incentive to search actively for a job.

96. In Denmark, 80 per cent of those individuals in the lowest earnings decile have moved on to higher deciles after three years (Westergard-Nielsen, 1994) while in both the United States and Germany over 40 per cent of those in the lowest 20 per cent of earners have moved on to the higher 80 per cent of earners (Burkhauser and Wagner, 1994). For a more general analysis, see OECD (1996), *Employment Outlook*, Chapter 3, Paris.

97. In-work benefits are currently, in various forms, available in six OECD countries: Canada, Ireland, Italy, New Zealand, the United Kingdom and the United States. In general, employment-conditional benefits are likely to be most successful in countries with a relatively wide earning distribution and when the benefits are kept fairly low relative to average earnings. This is so, because to contain costs, benefits must be withdrawn from earnings close to the median wage. See OECD (1996), *Employment Outlook*, Chapter 2. For a general analysis of the income support/employment dilemma, see Robert Haveman, ''Reducing poverty while increasing employment: a primer on alternative strategies, and a blueprint'', *OECD (1996) Economic Studies*, No. 26, Vol. I, Paris.

98. In its work in this area, the Bureau du Plan assumes that the price elasticity of the demand for low-wage workers is twice as high as that for all other workers.

99. For instance, the *troisième circuit de travail*, the programme called *agents contractuels dans les services publics* (ACS), and more recently the *agences locales pour l'emploi*.

100. See Ministry of Employment and Labour, *op. cit.*, p. 18.

101. Recent calculations by the Bureau du Plan show that the budgetary cost of an additional job created through untargeted reductions in employers' social security contributions is BF 2.1 million, while it is only BF 0.4 million for reductions targeted on ''low wages'' (defined as wages not exceeding 125 per cent of the ''legal minimum wage''). It is to be noted that these results largely rest on the hypothesis that the price elasticity of the demand for low-wage workers is twice as high as that for all other workers. More generally, simulating the effects of various forms of alternative financing, the Bureau du Plan concludes that even in the most favourable cases the net job creating effects are limited compared with the size of under-employment in Belgium. For instance, a cut of BF 30 billion targeted on low wages and financed through an energy/CO_2 tax will lead, after a few years, to the net creation of only a little over 20 000 jobs. Using a ''generalised social contribution'' (*cotisation sociale généralisée*) for the financing results in a somewhat smaller job creation. Bureau du Plan (1995), *Variantes de réduction des cotisations sociales employeurs et de modalités de financement alternatives*.

102. Ministry of Employment and Labour, *op. cit.*, p. 71.

103. OECD (1995), *Economic Surveys, Belgium/Luxembourg*, Conclusions, Paris.

104. The number of job refusals transmitted to the ONEM by the VDAB, FOREM and ORBED is very limited. Ministry of Employment and Labour, *op. cit.*, p. 88.

105. Ministry of Employment and Labour, *op. cit.*

106. It should be noted that a relatively important part of Belgium's imports is re-exported. That is, many enterprises have their European headquarters in Belgium for various reasons, for

instance to profit from the fiscal climate, geographical location or the logistic facilities (the Antwerp harbour).

107. The evolution of concentration ratios (the employment or turnover share of the three largest firms in an industry) and profitability ratios (profits as a per cent of value added) in various industries do not point to any obvious shortcomings in competition. They show few clear trends and there is no instance over the last decade where a clear rise in the concentration ratio is accompanied by an increase in profitability.

108. See Ministry of Economic Affairs (1996), *Toets op het concurrentievermogen, Achtergrondrapport vervolgonderzoeken*, the Hague.

109. See Oliveira Martins, Scarpetta and Pilat (1996), ''Mark-up Ratios in Manufacturing Industries'', OECD Economics Department Working Paper, No. 162 , Paris, for the methodology.

110. The threshold level for market share was originally set at 20 per cent of the Belgian market, but was subsequently raised in order to reduce the number of notifications. The threshold level for sales was originally set at BF 1 billion.

111. Comparative data on staffing levels of competition authorities collected by the OECD Secretariat, suggest that the Belgian competition authorities are understaffed. Its current 27 staff members, some of whom are part-time, compare with 170 in Italy, 470 in the United Kingdom, 107 in Denmark, 100 in Norway and 150 in Sweden.

112. The contract must also be approved by a two-thirds majority of the administrative council and by the King through a royal decree drafted by the Council of Ministers.

113. Since the late 1980s several EU decisions have been taken to progressively open telecommunications services to competition. This liberalisation will be completed as from 1 January 1998.

114. EU regulations clarify the relationship between the railway operator and the Member state by distinguishing between infrastructural and transport services.

115. Unfortunately the most up-to-date source on international comparable data on overall state aid does not go further than 1992 [European Commission (1995), *Fourth Survey on State Aids in the European Community in the Manufacturing and certain other Sectors,* Brussels]. It includes aid falling within the scope of articles 92 and 93 of the EC Treaty (among which tax expenditures), given to the manufacturing, agriculture, fisheries, coal and transport sectors. It does not include a number of measures, for instance, aid granted by the Community, aid whose recipients are not enterprises and general reductions in value added tax.

116. Until 1955, the industry had 39 private electricity generating companies. In 1955, it was decided that production should be consolidated through mergers (which reduced the number of generating companies to three) and that pricing should be co-ordinated through a central (private) body, the CCEG.

117. In comparing prices between countries, it should be kept in mind that they reflect fuel mix (nuclear, coal, natural gas, hydropower) as well as competitive conditions in markets.

118. OECD (1995), *Communications Outlook,* Paris, includes the following countries in the list of ''competitive'' markets: United States, United Kingdom, Canada, Australia, New Zealand and Sweden.

119. See OECD (1997), *Communications Outlook,* Paris.

120. See Bock I., P. Debroux, Y. Poullet, R. Queck, C. Thiran and F. van der Mensbrugghe (1995), *La production de services par les institutions publiques: le contrat de gestion, ses limites et ses potentialités,* Services fédéraux des Affaires scientifiques, techniques et culturelles.

121. See Perelman O. and P. Pestieau (1994), ''A Comparative Performance Study of Postal Services: a Productive Efficiency Approach'', *Annales d'économie et de statistique* 33, pp. 187-201.

122. See Vincent A. (1995), ''Entreprises et holdings publics fédéraux,'' *Courrier Hebdomadaire,* No. 1488-1489, Centre de recherche et d'information socio-politiques, Brussels.

123. See OECD (1997), *The Future of International Air Transport Policy,* Paris.

124. Earlier partners were British Airways, KLM and Air France.

125. See OECD (1997), *The Future of International Air Transport Policy,* Paris.

126. The procedure is as follows. The *Comité socio-économique pour la distribution* – a committee whose membership includes civil servants representing the various ministerial departments, and a regional representative – issues an ''opinion'' about filed requests. Next, a decision is taken by the local authorities (*Le collège des bourgmestre et échevins*). In the absence of a decision by the local authorities, which is equivalent to a negative decision, the person who filed the request can ask the *Comité socio-économique* to make a decision. If that happens, and also if the local authorities decide to grant permission, both the person who filed the request and the members of the *Commission nationale pour la distribution* – a committee in which consumers, employers, retailers and wholesalers are represented – can appeal this initial decision. The *Commission nationale pour la distribution* treats the appeal and reports its opinion to the *Comité interministériel.* Finally, the *Comité interministériel* makes a decision based on these two reports. Ministère des Affaires Économiques de Belgique (1988), *Loi relative aux Implantations commerciales,* Brussels.

127. Ministry of Economic Affairs (1992, 1994, 1995), Commission nationale pour la distribution, *Rapport d'Activité,* Brussels.

128. OECD (1996), *Regulatory reform and professional business services,* Paris.

129. These notary costs come on top of the 12.5 per cent tax (*frais d'enregistrement*) to be paid when buying an existing property. These relatively high costs limit the mobility of workers, as mentioned in Chapter III.

Annex

Calendar of main economic events

BELGIUM

1995

June

The new Federal Government, headed again by Prime Minister Dehaene, is installed. The new government, a coalition of Christian Democrats and Socialists, has the same composition as the outgoing one.

September

The Government decides to sell 50 per cent of the *société nationale de crédit à l'industrie* (NMKN-SNCI) to the previously privatised bank ASLK-CGER for BF 4.6 billion.

October

The Government presents the 1996 Budget. It includes a package of corrective measures estimated at 1¼ per cent of GDP and aims to reduce the public sector deficit to 3 per cent of GDP in 1996.

November

The second mobile telephone licence is granted to Mobistar, a subsidiary of *France Télécom* and the group Telinfo.

December

A participation of 49.9 per cent in the national telecommunication firm, Belgacom, is sold to a consortium comprised of Ameritech, Tele Danmark and Singapore Telecom.

1996

January

The standard VAT rate is increased from 20.5 to 21 per cent. VAT rates on social housing are reduced from 12 to 6 per cent, and from 20.5 to 12 per cent for individual houses. Excise taxes are increased on all grades of petrol.

February

Prime Minister Dehaene invites employers' organisations, trade-unions and the government to draft a ''contract for the future to promote employment''.

The Belgian national railway, NMBS-SNCB, approves a restructuring plan. Employment will be reduced from 41 300 persons in 1995 to 35 000 in 2005.

April

Government, trade unions and employers' organisations reach agreement on the ''contract for the future to promote employment''. Following the rejection of the ''contract'' by the trade-union FGTB at the grass-root level, Prime Minister Dehaene announces that the Government will introduce the necessary laws.

May

The Government announces a supplementary fiscal package worth BF 25 billion ($^1/_4$ per cent of GDP) to keep the 1996 Budget on track.

June

The Government decides that Belgacom has to pay BF 9 billion for the licence of the mobile telephone network.

July

Parliament approves three framework laws (*lois-cadres*): on promoting employment and the preventive safeguarding of competitiveness; on the budget and Belgium's participation in EMU; and the modernisation of the social security systems. These laws will give the Government special powers to legislate by Royal Decrees in the areas of the budget (until August 1997), reform of the social security system (until April 1997), and wage settlements (no time limit).

September

The Government agrees on pension reform in the private sector, including the equal treatment of men and women. The pension regime for women will be brought in line with that of men by 2009.

October

The Government presents the 1997 Budget. It includes BF 80 billion of corrective measures aimed at reducing the public sector deficit to less than 3 per cent of GDP in 1996. It also includes BF 367 billion of debt reduction measures, the most important one being the use of a foreign exchange surplus on the sales of official gold reserves. The aim of these measures is to reduce the debt-to-GDP ratio by 10 percentage points in 4 years - *i.e.* from 137 per cent in 1993 to 127 per cent in 1997.

November

Excise duties are increased for alcohol (as announced in the 1997 Budget).

December

The European Commission orders Belgium to stop the reduction of employers' social security contributions targeted at enterprises faced with international competition (*Maribel bis* and *ter*).

As trade unions and employers' organisations fail to conclude an inter-professional agreement for the period 1997-98, the Government fixes the maximum wage increase for the coming two years at 6.1 per cent.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece
Population											
Total	Thousands	1994	17 840	8 031	10 124	29 251	5 206	5 088	57 960	81 407	10 430
Inhabitants per sq. km	Number	1994	2	96	332	3	121	15	106	228	79
Net average annual increase over previous 10 years	%	1994	1.4	0.6	0.3	1.6	0.2	0.4	0.5	2.9	0.5
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	7 680 (93)	3 737	3 724 (92)	13 292	2 508	2 015	21 781 (93)	35 894	3 790
of which: Agriculture	% of TCE	1994	5.3 (93)	7.2	2.6 (92)	4.1	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.7 (93)	33.2	27.7 (92)	22.6	26.8	26.8	27.7 (93)	37.6	23.6
Services	% of TCE	1994	71 (93)	59.6	69.7 (92)	73.3	68.1	64.9	67.2 (93)	59.1	55.5
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1994	331.6	198.1	227.9	544	146.7	97.2	1 328.5	1 832.3	73.1 (93)
Per capita	US$	1994	18 588	24 670	22 515	18 598	28 181	19 106	22 944	27 826	7 051 (93)
At current prices using current PPP's[3]	Bill. US$	1994	327.9	162.3	204.2	596.7	107	82.5	1 111.8	1 601.7	118
Per capita	US$	1994	18 382	20 210	20 166	20 401	20 546	16 208	19 201	24 325	1 450
Average annual volume growth over previous 5 years	%	1994	2.2	2.5	1.6	1.1	1.9	–1.6	1.1	2.6	1.4 (93)
Gross fixed capital formation (GFCF)	% of GDP	1994	21.4	24.8	17.4	18.7	14.8	14.3	18.1	18.5	17.4 (93)
of which: Machinery and equipment	% of GDP	1993	9.8	8.7	7.8	6.2	7.2	5.90	8.10	7.5	7.8
Residential construction	% of GDP	1993	5.2	6.3	4.6	6.1	2.9	3.7	4.9	6.5	3.6
Average annual volume growth over previous 5 years	%	1994	0.8	3.7	0.4	–0.1	–2.8	–12.9	–1	0.8	2.7 (93)
Gross saving ratio[4]	% of GDP	1994	16.8	25.3	22	16	17	16.6	19	21	15.5 (93)
General government											
Current expenditure on goods and services	% of GDP	1994	17.5	18.8	15	20.2	25.3	22.4	19.6	17.7	19.1 (93)
Current disbursements[5]	% of GDP	1993	36.9	48.4	55.3	49	61.1	58.9	51.5	45.6	51.2
Current receipts	% of GDP	1993	33.5	48.6	50.1	43	58.3	52.5	46.8	45.7	40.2
Net official development assistance	% of GNP	1993	0.34	0.31	0.41	0.46	1.03	0.76	0.66	0.44	..
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1993	10 803	10 546	12 090	11 863	10 042	8 814	11 395	10 733	6 367
Passenger cars, per 1 000 inhabitants	Number	1990	430	382	387	469	311	386	413	480[8]	169
Telephones, per 1 000 inhabitants	Number	1991	464	432	410	586	577	544	511	420[8]	413
Television sets, per 1 000 inhabitants	Number	1991	480	478	451	639	536	501	407	556[8]	197
Doctors, per 1 000 inhabitants	Number	1993	2.2 (91)	2.3	3.7	2.2	2.8 (92)	2.6 (92)	2.8	3.2 (92)	3.8 (92)
Infant mortality per 1 000 live births	Number		6.1	6.5	8	6.8	5.4	4.4	6.5	5.8	8.5
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1994	3	5.5	3.7	3.3	3.5	4.8	3.5	5.2	14.6
Consumer prices	%	1994	3	3.4	2.8	2.8	2.1	3.3	2.5	3.3	16.2
Foreign trade											
Exports of goods, fob*	Mill. US$	1994	47 363	44 881	137 259[7]	165 358	41 850	29 514	235 337	422 243	8 958
As % of GDP	%	1994	14.3	22.7	60.2	30.4	28.5	30.4	17.7	23	11.5 (93)
Average annual increase over previous 5 years	%	1994	5	6.7	6.5	7.1	8.3	4.9	5.6	4.4	3.4
Imports of goods, cif*	Mill. US$	1994	49 731	55 071	126 006[7]	148 297	35 932	23 091	220 508	376 566	21 111
As % of GDP	%	1994	15	27.8	55.3	27.3	24.5	23.8	16.6	20.6	30.1 (93)
Average annual increase over previous 5 years	%	1994	4	7.2	5	5.4	6.1	–1.3	3.5	6.9	5.4
Total official reserves[6]	Mill. SDRs	1994	7 730	11 523	9 505[7]	8 416	6 203	7 304	17 986	52 994	9 924
As ratio of average monthly imports of goods	Ratio	1994	1.9	2.5	0.9	0.7	2.1	3.8	1	1.7	5.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF, and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Iceland	Ireland	Italy	Japan	Luxembourg	Mexico	Netherlands	New Zealand
Population										
Total	Thousands	1994	267	3 571	57 190	124 960	398	93 010	15 382	3 526
Inhabitants per sq. km	Number	1994	3	51	190	331	153	47	377	13
Net average annual increase over previous 10 years	%	1994	1.1	0.1	0	0.4	0.8	2	0.6	0.8
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	138	1 168 (93)	20 152 (93)	64 530	162 (91)	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9.4	12.7 (93)	7.5 (93)	5.8	3.7 (91)	25.8	4	10.4
Industry	% of TCE	1994	26.1	27.7 (93)	33 (93)	34	31.5 (91)	22.2	23	25
Services	% of TCE	1994	65.2	59.7 (93)	59.6 (93)	60.2	64.8 (91)	52.1	73	64.6
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	6.2	52	1 017.8	4 590	10.6 (92)	371.2	334.3	51.2
Per capita	US$	1994	23 199	14 550	17 796	36 732	27 073 (92)	3 991	21 733	14 513
At current prices using current PPP's[3]	Bill. US$	1994	5.1	54.3	1 068.4	2 593.7	11.7	673.3	285.9	57.3
Per capita	US$	1994	19 271	15 212	18 681	20 756	29 454	7 239	18 589	16 248
Average annual volume growth over previous 5 years	%	1994	0.6	4.7	1	2.1	4.1 (92)	3	2.3	2.5
Gross fixed capital formation (GFCF)	% of GDP	1994	15.2	15.1	16.4	28.6	20.4 (93)	20.7	19.3	20
of which: Machinery and equipment	% of GDP	1993	3.9	6.3	7.4	11.5	..	9.4	8.6	9.3
Residential construction	% of GDP	1993	4.4	4.1	5.3	5.4	..	4.9	5.1	4.9
Average annual volume growth over previous 5 years	%	1994	–4	1	–2.3	1.4	6.5 (92)	7.7	0.4	5.8
Gross saving ratio[4]	% of GDP	1994	16.9	19.5	18.8	31.2	60.2 (92)	15.1	24.4	20.7
General government										
Current expenditure on goods and services	% of GDP	1994	20.6	16	17.1	9.8	17.1 (92)	11.8[9]	14.2	14.7
Current disbursements[5]	% of GDP	1993	34.9	..	53.2	26.9	..	..	55.4	..
Current receipts	% of GDP	1993	35.9	..	47.1	32.9	..	..	54.5	..
Net official development assistance	% of GNP	1993	..	0.15	0.42	0.27	0.34 (92)	..	0.88	0.22
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	11 546	7 750	11 029	11 791	15 545	4 853	10 726	9 266
Passenger cars, per 1 000 inhabitants	Number	1990	464	228	478	282	470	85	356	440
Telephones, per 1 000 inhabitants	Number	1991	527	300	400	454	511	70	477	436
Television sets, per 1 000 inhabitants	Number	1991	319	276	421	613	267	148	485	443
Doctors, per 1 000 inhabitants	Number	1993	3	1.7 (92)	1.7 (91)	1.7 (92)	2.1 (92)	1	2.5 (90)	2
Infant mortality per 1 000 live births	Number		4.8	5.9	7.3	4.5 (92)	8.5 (92)	18	6.3	7.3
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	..	4.6	5.9	2.4	..	5.3	3.2	2.1
Consumer prices	%	1994	6.3	2.7	5.2	2	3.1	16.1	2.8	2.5
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	1 628	34 125	189 802	396 149	..	60 882	155 084	12 169
As % of GDP	%	1994	26.3	65.7	18.6	8.6	..	16.4	46.4	23.8
Average annual increase over previous 5 years	%	1994	2.7	10.5	6.2	7.6	..	21.7	7.6	6.5
Imports of goods, cif*	Mill. US$	1994	1 464	25 812	167 690	274 916	..	79 346	139 800	11 859
As % of GDP	%	1994	23.6	49.7	16.5	6	..	21.4	41.8	23.2
Average annual increase over previous 5 years	%	1994	0.7	8.1	1.9	5.5	..	25.5	6.1	6.1
Total official reserves[6]	Mill. SDRs	1994	201	4 189	22 102	86 214	..	4 301	23 655	2 540
As ratio of average monthly imports of goods	Ratio	1994	1.6	1.9	1.6	3.8	..	0.7	2	2.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF, and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population										
Total	Thousands	1994	4 337	9 900	39 150	8 781	6 994	60 573	58 375	260 651
Inhabitants per sq. km	Number	1994	13	107	78	20	169	78	238	28
Net average annual increase over previous 10 years	%	1994	0.5	–0.1	0.2	0.5	0.7	2.1	0.3	1
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	1970 (93)	4 372	11 760	3 926	3 772	19 664	25 044 (93)	123 060
of which: Agriculture	% of TCE	1994	5.6 (93)	11.5	9.8	3.4	4	44.8	2.2 (93)	2.9
Industry	% of TCE	1994	23.1 (93)	32.8	30.1	25	28.8	22.2	26.2 (93)	24
Services	% of TCE	1994	71.3 (93)	55.7	60.2	71.6	67.2	33	71.6 (93)	73.1
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	103.4 (93)	87	482.4	196.6	257.3	130.7	1 019.5	6 649.8
Per capita	US$	1994	23 984 (93)	8 792	12 321	22 389	36 790	2 157	17 468	25 512
At current prices using current PPP's[3]	Bill. US$	1994	95.3	122	531.7	153	167.4	319.3	1 030.2	6 649.8
Per capita	US$	1994	21 968	12 335	13 581	17 422	23 942	5 271	17 650	25 512
Average annual volume growth over previous 5 years	%	1994	2.1 (93)	1.4	1.5	–0.3	0.5	3.6	0.8	2.1
Gross fixed capital formation (GFCF)	% of GDP	1994	22 (93)	25.7	19.8	13.7	22.8	24.5	15	17.2
of which: Machinery and equipment	% of GDP	1993	..	..	5.7	5.7	7.5	10.3	7.3	7.7
Residential construction	% of GDP	1993	..	..	4.1	4	14.9[10]	9.1	3.1	4
Average annual volume growth over previous 5 years	%	1994	–3.93	2.7	–1.2	–7.6	–0.4	5.1	–2.1	4.6
Gross saving ratio[4]	% of GDP	1994	21.9 (93)	24.2	18.8	13.7	29.3	22.5	13.5	16.2
General government										
Current expenditure on goods and services	% of GDP	1994	22.1 (93)	17.2	16.9	27.3	14.1	11.7	21.6	16.4
Current disbursements[5]	% of GDP	1993	..	..	43.7	67.3	36.7	..	42.7	35.8
Current disbursements[5]	% of GDP	1993	..	..	40.1	59	36	..	36.8	31.7
Current receipts	% of GDP	1993	1.23	0.36	0.32	1.33	0.49	..	0.34	0.19
Net official development assistance	% of GNP	1993	9 826	7 780	8 412	9 240	13 730	3 617	10 942	16 444
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	378	260	307	418	441	29	361	568
Passenger cars, per 1 000 inhabitants	Number	1990	515	273	340	687	603	143	445	553
Telephones, per 1 000 inhabitants	Number	1991	423	187	400	468	406	175	434	814
Television sets, per 1 000 inhabitants	Number	1991	3.2 (92)	2.9	4.1	3	3	0.9	1.5 (92)	2.3 (92)
Doctors, per 1 000 inhabitants	Number	1993	5	8.7	7.6	4.8	5.6	52.6	6.6	8.5 (92)
Infant mortality per 1 000 live births	Number		4	..	7.2	5.4	..	..	6.7	2.8
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	2.7	9	5.6	5.7	3.9	73	4.6	3.6
Consumer prices	%	1994	34 645	17 072	73 129	61 122	70 467	18 456	205 170	512 627
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	30.9 (93)	19.6	15.2	31.1	27.4	14.1	20.1	7.7
As % of GDP	%	1994	5	6.1	10.5	3.4	6.4	9.5	6.1	7.1
Average annual increase over previous 5 years	%	1994	27 345	25 967	92 182	51 730	68 126	22 976	227 026	663 256
Imports of goods, cif*	Mill. US$	1994	23.3 (93)	29.9	19.1	26.3	26.5	17.6	22.3	10
As % of GDP	%	1994	2.9	6.6	5.2	1	3.2	37.9	2.8	7
Average annual increase over previous 5 years	%	1994	13 033	10 627	28 475	15 929	23 790	4 911	28 094	43 350
Total official reserves[6]	Mill. SDRs	1994	5.7	4.9	3.7	3.7	4.2	2.6	1.5	0.8

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF, and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* series A. Total official reserves: IMF, *International Financial Statistics.*

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